



ANNUAL REPORT 2010

2010

Performance Highlights

- Revenues USD 439 Million
- EBITDA USD 176 Million (Adjusted)
- Net Earnings USD 37 Million (Adjusted)
- Fleet Utilization 81%

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- Execution of two Vyborg float-overs offshore Korea
 - Execution of Koniambo Logistical Management Contract
 - Execution of 80 contracts with 15 vessels in Heavy Marine Transport, Transport & Installation and Logistical Management
 - Assisted in Oil Spill Clean-up in Gulf of Mexico after Macondo incident
 - Sailing 18 destinations with four Yacht carriers for float on float off Yacht Transportation
 - Decision to build new super vessel with up to 110,000 mT lifting capacity
 - Rights issue to finance new build plans
 - Sale of MV Enterprise to optimize fleet mix

Table of Contents

1	Message From the Chairman.....	3
2	Who We Are	
	<i>a Group History and Development.....</i>	4
	<i>b Company Profile.....</i>	5
	<i>c Company Structure.....</i>	6
	<i>d Key Figures.....</i>	7
3	Our Business Overview and Strategy	
	<i>a Strategy.....</i>	10
	<i>b Products, Services and Markets.....</i>	10
	<i>c Competitive Strengths.....</i>	11
4	Executive's Report:	
	<i>a CEO's message.....</i>	13
	<i>b Our Safety, Health and Security Performance.....</i>	16
	<i>c MD&A of Our Operational Performance.....</i>	19
	<i>d MD&A of Our Financial Performance.....</i>	28
5	Our Resources	
	<i>a People.....</i>	33
	<i>b Assets.....</i>	35
	<i>c Equity and Credit Facilities.....</i>	41
6	Risk Management.....	45
7	Corporate Governance.....	49
	<i>a Values and Principles.....</i>	49
	<i>b Information, Monitoring and Communication.....</i>	49
	<i>c Accountability</i>	
	<i>i General Meeting of Shareholders.....</i>	50
	1 Nomination Committee.....	50
	<i>ii Board of Directors.....</i>	51
	1 Audit Committee.....	54
	2 Remuneration Committee.....	54
	3 Project Committee.....	55
	<i>iii Executive Management.....</i>	55
	<i>d Remuneration Policy.....</i>	57
	<i>e Norwegian Code of Practice.....</i>	59
Financial Statements 2010		
	Consolidated Income Statement for the Year ended 31 December 2010.....	71
	Consolidated Statement of Comprehensive Income for the Year ended 31 December 2010.....	72
	Consolidated Balance Sheet as at 31 December 2010.....	73
	Consolidated Statement of Changes in Equity.....	75
	Consolidated Statement of Cash Flows.....	77
	Notes to the Consolidated Financial Statements.....	79
	Company Balance Sheet as at 31 December 2010.....	124
	Company Income Statement for the Year ended 31 December 2010.....	125
	Notes to the Company Financial Statements.....	126
Other Information		
	Appropriation of result as provided for by the Articles of Association.....	135
	Group Companies.....	136
	Independent Auditors Report.....	137
Appendix		
	<i>a Disclaimer.....</i>	140
	<i>b Contact.....</i>	141

Executives report

Message From the Chairman

Welcome to the 2010 Dockwise Annual Report

Investing in the upturn of the cycle

Whilst 2009 reflected the cyclical nature of the energy markets with declining activities at Dockwise with the year progressing, 2010 demonstrated a cautious revival with a very low first quarter and a hesitant recovery towards the end of the year. Utilization of the fleet was 71% at the low point of the year (compared to 86% at the low point of 2009) to recover to 97% at yearend. Prices slightly increased from the start of the year but remained flat on a relatively low level from the second quarter onwards. The successful completion of two float-overs for the Vyborg project and the execution of the Koniombo logistical management contract were highlights of the year. The decision to build a new super vessel was of course an additional strategic highlight. The support from our shareholder base for this initiative is encouraging: 96% participated in the rights issue related to the investment that was fully committed to by four of our existing shareholders. We highly appreciate this statement of confidence and express our gratitude to our shareholders. The new vessel is expected to join the fleet by the end of 2012 to immediately execute its first client commitment.

Organized to be close to the business

At the Annual General Meeting of Shareholders in May 2010 Pietro Franco Tali resigned as a member of the Board of Directors. His know how of and experience in the oil services sector as a CEO of Saipem has been of great value to Dockwise. The Board would like to express its gratitude for his commitment during the three years he was on the Board of Directors. The Board Profile, profiles of Board Members and the current composition of the Board did not require immediate succession of Pietro Franco Tali. Following a positive advice from the Nomination Committee, Tom Ehret and myself were reelected by the Annual General Meeting of Shareholders as Board Members.

The Board of Directors has three Committees: an Audit Committee, a Remuneration Committee and a Project Committee. The Audit Committee meets at least four times per year in addition to monthly conference calls. The Remuneration and Project Committees meet at least twice per year. For the purpose of the rights issue that was conducted in November 2010 a Pricing Committee was installed on a temporary basis.

The investment decision taken in 2010 will position Dockwise for the new wave of business opportunities on the horizon for 2013 and beyond.

Adri Baan

Chairman of the Board of Directors.

Who We Are

Group History and development: more than 30 years of expertise

Dockwise has invented and developed the use of a vessel as a lifting device. Compared to a crane the advantages are that it can lift larger weights (max 14,000 metric tons for the largest crane compared to max 73,000 metric tons for the largest existing vessel) and it combines both vertical and horizontal transport. Compared to other means of horizontal transportation (tugs or tug- barge combinations) Dockwise vessels are faster (at least twice the speed) and safer.

Two separate companies from the early seventies came together and merged as one company, named Dockwise in 1993. The Company further expanded in 2002 through a merger with Offshore Heavy Transport, adding the Blue and the Black Marlin to the Dockwise-fleet, and in 2007 through a (reverse) take-over of Sealift, which resulted in an addition of 6 identical converted tankers to the Company's growing fleet. At the end of 2010 Dockwise operated 19 semi-submersible vessels. With more than 300 onshore and some 900 offshore passionate professionals, a global sales network, operating companies in the USA, China and The Netherlands, Dockwise is the market leader in reliable Heavy Marine Transport, providing innovative value added Installation Services and Logistical Management solutions. Yearly revenues amount to approximately USD 440 million (2010).
History of the Company:

1993	Founding of Dockwise through a merger between Wijsmuller Heavy Transport and Dock Express Shipping
2001	Merger of Dockwise and Offshore Heavy Transport adding Black and Blue Marlin to the fleet
2004	Strategy change targeting complex projects involving Transport & Installation of offshore structures and onshore modules.
2007	3i completes the buyout of Dockwise
2007	Sealift Ltd. completes initial USD 180 million Private Placement on the Norwegian OTC Market and issues 90 million shares
2007	Sealift Ltd. agrees to acquire six Suez max tankers from Frontline Ltd. to be converted into heavy-lift vessels
2007	Completion of the acquisition by Sealift Ltd. of six single ship companies; Sealift Ltd. begins operations and starts the conversion of the Suez max tankers into heavy-lift vessels
2007	Sealift Ltd. completes NOK 1.2 billion (USD 200 million) Private Placement on the Norwegian OTC Market
2007	Completion of merger between Sealift Ltd. and Dockwise, which adds six T- class vessels to the fleet. From an accounting point of view, the merger constitutes a "reverse acquisition" of Sealift by Dockwise. Sealift Ltd. was renamed Dockwise Ltd. on 31 July 2007
2007	Acquisition of OKI and ODL: two companies specializing in the design, engineering and installation of offshore modules
2007	Full listing on the Oslo Stock Exchange
2007	Issuance of 18,392,300 new shares
2007-2008	Completion of the conversion of the six Suez max tankers into heavy-lift vessels
2009	Three tier one investors take over the 26% 3i stake in Dockwise
2009	Completion of issuance of 183,122,011 common shares in Private Placement and Subsequent Offering
2009	Capital reduction and reversed stock split 20:1
2009	Secondary listing Dockwise on NYSE Euronext Amsterdam
2010	Issuance of 4,587,506 common shares in Rights Issue and 54,225 shares for subscription fees to finance new Type 0 super vessel

Company Profile

Company Profile: Adding Services to Our Core Transportation Products to Serve Different Markets

Our vision is to become the contractor of choice for the execution of exceptional ocean transport, logistical management- and installation projects. Key to our success is our global team of passionate people rendering reliable services through innovative products that respect the interests of all stakeholders. We believe that each project, each operation, and each achievement is unique and realizes something that is often perceived as impossible to the outside world. This is why our mission is to

“Create superior value by realizing the inconceivable.”

Offshore Oil & Gas Service Provider

A core market for Dockwise with some 67% of revenues in 2010 is the Energy sector where the vessels were mainly operated for the transportation of jack- up rigs. For the transportation of these rigs over longer distances or for ocean crossings there is no safe alternative to a vessel. Semi- submersible drilling rigs do have alternatives but are increasingly transported by a semi- submersible vessel. With some 30 to 40% of revenues the rig market is an important market segment for Dockwise. Clients are drilling contractors and new build yards.

Since 2003 Dockwise has offered additional services to the Oil & Gas- industry including the Transport & Installation (Float- Over) of production platforms and Logistical Management solutions mainly for modular (energy and mining) production facilities. To support these activities with the required engineering skills, Dockwise acquired Offshore Kinematics Inc. (OKI) and Ocean Dynamics LLC (ODL) in 2007. The drivers for this market are oil price and investments by the energy industry. Clients in this segment are the oil and mining companies, new build yards and Engineering, Procurement, Installation and Commissioning (EPIC) contractors.

Port and Marine Industry Services

Dockwise is also active in the market for Port and Marine Industry (P&MI). On an annual basis this represents some 20% of revenues. This includes the transportation of equipment that is used in Port and Marine Industries such as container cranes, dredging equipment, barges and ferries. Compared to the Oil & Gas market, this is at times a more commoditized market with a lower appreciation for added value services such as engineering, project- and riskmanagement . A main driver for this market is Gross World Product (GWP) and consumer confidence.

Main clients are dredging companies and industries that operate in the ports and marine environments.

Military Services

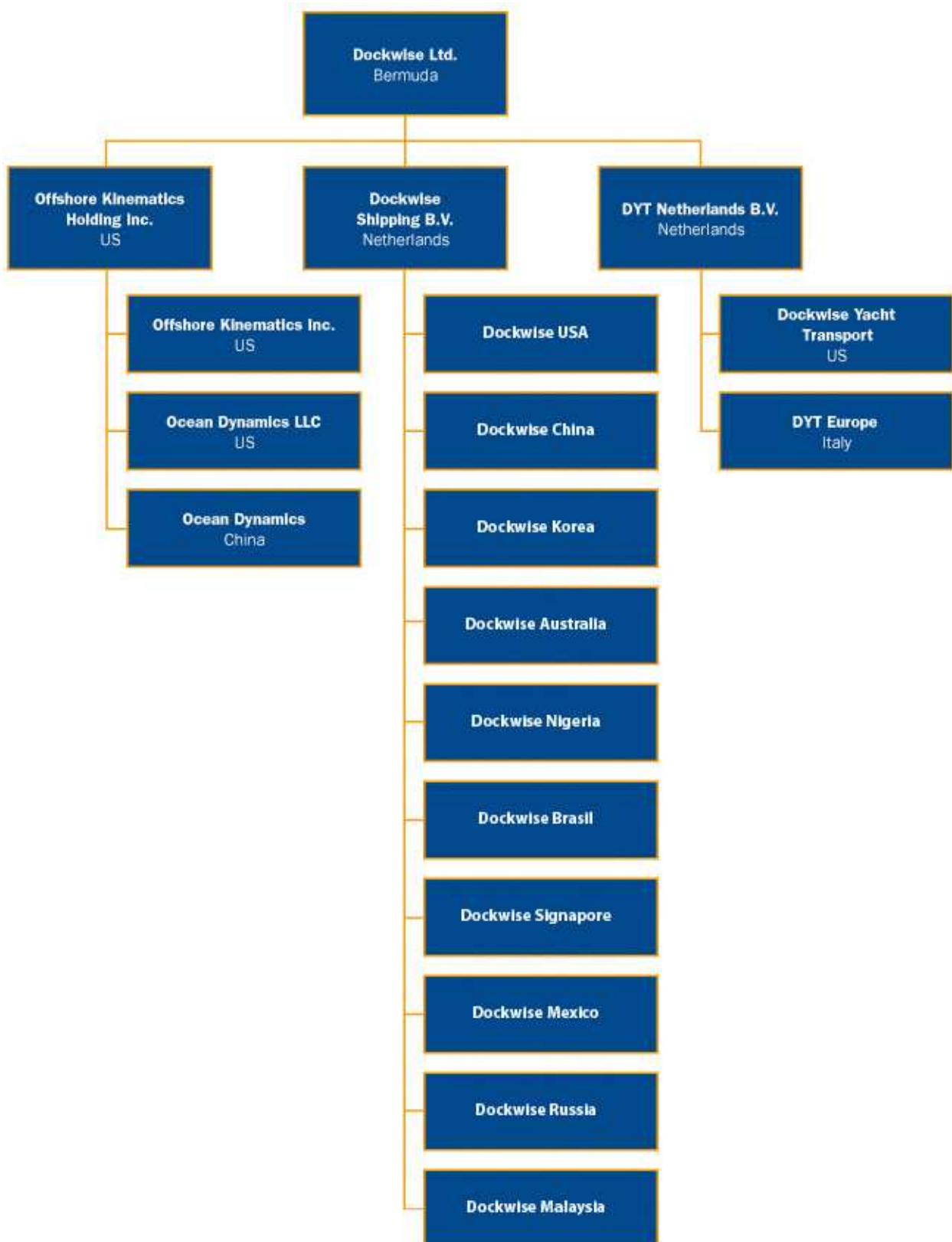
Five percent of revenues in 2010 came from the military market. This is both event related and industry related and clients are the navies from different countries. There are no particular drivers for this market. However on average some 5-10% revenues are realized in this market year on year.

Yacht Transport Services

In addition 8% of revenues are realized in transporting luxury yachts between cruising grounds across the world. This is more of a liner service where utilization is key. A key driver is GWP. Three of the fleet's vessels are dedicated to this business. Clients include representatives from within the yachting industries, charterers and also private yacht owners.

Company Structure: the World as Our Workplace

With some 1,200 employees worldwide, Dockwise is located in Houston and Fort Lauderdale (USA), Shanghai (China), Busan (Korea), Genoa (Italy), Perth (Australia), Lagos (Nigeria), Rio de Janeiro (Brazil), Mexico City (Mexico), Singapore (Singapore), Kuala Lumpur (Malaysia), Moscow (Russia), and Breda (The Netherlands). In 2010, our global team executed more than 80 projects around the world



Key Figures

(x USD 1,000)

	2010	2009	2008	2007	2006
INCOME					
Revenues	439,127	478,041	456,583	290,139	252,099
Revenues adjusted ¹	 439,127	490,706	495,429	329,985	252,099
Gross margin	270,802	309,450	293,385	199,268	175,522
EBITDA	166,796	208,859	201,105	104,538	101,847
EBITDA adjusted ²	 175,454	222,791	226,355	141,038	101,847
Depreciation and amortization	97,710	96,413	71,555	83,050	34,518
EBIT	69,086	112,446	129,550	21,488	67,329
Net financing costs	(52,028)	(74,388)	(82,786)	(96,396)	(6,137)
Earnings after tax	17,357	36,581	46,976	(75,773)	60,495
Earnings after tax adjusted ³	 37,215	62,913	73,514	6,741	60,495
BALANCE SHEET					
Tangible assets	886,157	941,941	1,008,245	837,582	295,403
Intangible assets	594,464	598,288	613,529	614,753	539
Shareholders equity	 979,900	858,262	576,210	553,950	209,835
Net debt	 456,940	640,825	1,003,128	949,006	62,842
CASH FLOW					
Operating	 116,168	131,691	155,981	19,117	117,057
Investment	(37,305)	(11,358)	(209,417)	(786,072)	(44,473)
Finance	(57,592)	(89,847)	59,314	782,449	(74,717)
Increase / (decrease) in cash and cash equivalents	21,271	30,486	5,878	15,494	(2,133)
EVA					
NOPAT	97,810	151,007	164,890	106,738	73,674
WACC (for EVA purposes)	7.5%	8.7%	9.2%	9.1%	10.4%
EVA (Economic Value Added)	(22,872)	11,790	25,560	(1,828)	(1,768)

(x USD 1,000)

	2010	2009	2008	2007	2006
PER SHARE					
Average number of shares outstanding x 1,000	21,106	13,397	12,510	9,504	n.a.
Earnings in USD	0.822	2.731	3.755	(7.973)	n.a.
Equity in USD	74.27	65.05	46.77	59.18	n.a.
Highest price (NOK)	176	197	446	506	n.a.
Lowest price (NOK)	132	79	74	402	n.a.
Highest price (EUR)	22.10	22.80	n.a.	n.a.	n.a.
Lowest price (EUR)	16.50	21.10	n.a.	n.a.	n.a.
RATIOS (on end of year basis)					
Net debt / EBITDA	2.7	3.1	5.0	9.1	0.6
Interest cover (EBITDA / net financing costs)	3.2	2.8	2.4	1.1	16.6
Average number of employees	325	315	289	213	186
Order book excl. DYT in USD million	380	324	388	233	-

1) Includes gross compensation for Mighty Servant 3 (MS3) FY 2009 USD 12.7 million, 2008: USD 38.8 million, 2007: USD 39.8 million.

2) Excludes derecognition MS3 claim FY 2010 USD 8.7 million (2009: includes net compensation for MS3 USD 8.2 million, 2008: USD 25.3 million and excludes non recurring costs for the listing at the NYSE Euronext Amsterdam and pre acquisition costs totalling USD 5.7 million for FY 2009, 2008: nil).

3) Excludes write-off MS3 claim FY 2010 USD 8.7 million, excludes impairments and book losses on assets totalling USD 6.2 million (2009: USD 9.0 million, 2008: nil), amortization backlog 2008: USD 1.3 million, 2007: USD 34.5 million and non recurring finance income and costs relating to debt buy back, loan redemptions and arrangement fees USD 5.0 million (2009: USD 3.4 million, 2008: nil, 2007: USD 11.5 million).

The exchange rate used for USD/EUR conversion as at 31 December 2010 is EUR 1.333.

The exchange rate used for USD/NOK conversion as at 31 December 2010 is NOK 0.171.

Note: Dockwise Transport N.V. was the reporting entity for the Consolidated Financial Statements 2006, which are available upon request from Dockwise Transport N.V.'s registered office at Breda, The Netherlands.

Fig: Revenues adjusted¹

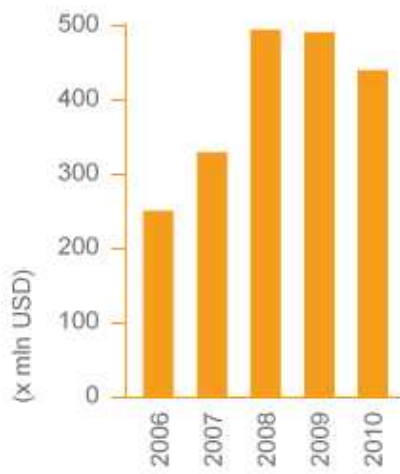


Fig: EBITDA adjusted²

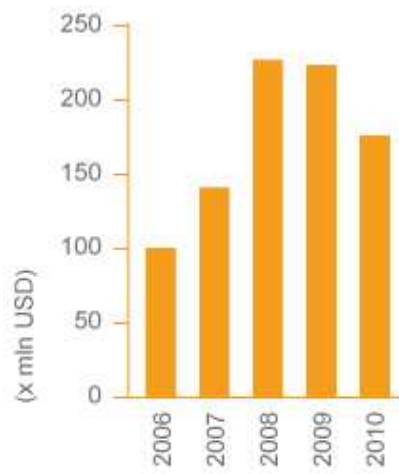


Fig: Earnings after tax adjusted³

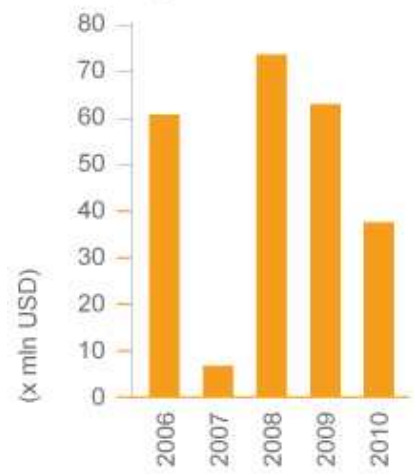


Fig: Shareholders equity

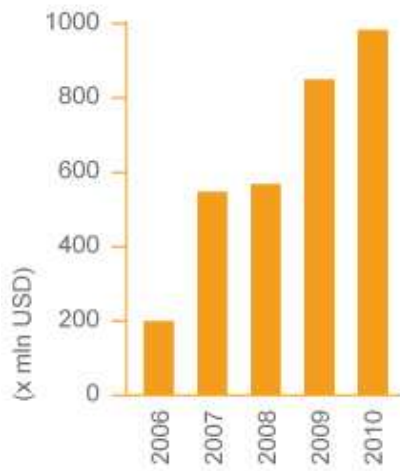


Fig: Net debt

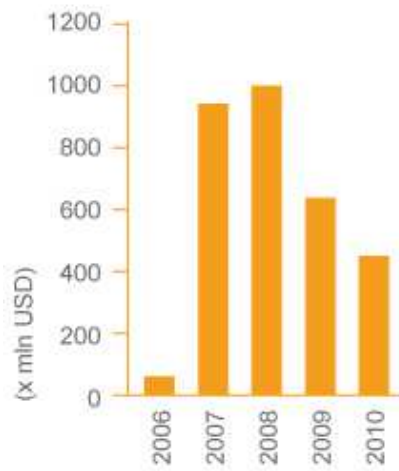
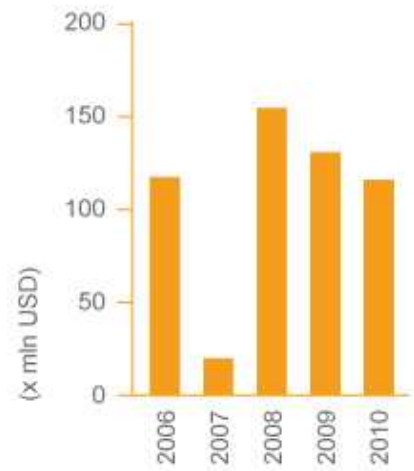


Fig: Operating Cash flow



Our Business Overview and Strategy

Strategy

Dockwise aims to consistently develop customized solutions in serving its global customers' transportation and installation needs and to maintain efficient, high quality and safe operations.

The Company's overall strategy involves:

- Maintaining and strengthening its leading market position in Heavy Marine Transport;
- Growing its contracting capabilities for Offshore Transport & Installation projects;
- Offering customers total turn-key Logistical Management solutions for transport and installation of onshore industrial projects;
- Building on its engineering and project management experience.

Dockwise implements its overall business strategy by:

- Understanding client demands and offering innovative, safe and reliable solutions
- Leveraging its market leadership in Heavy Marine Transport to obtain project management contracts for transport & installation of both offshore and onshore projects;
- Offering in-house engineering and project management teams who interact directly with clients and support them from pre FEED studies through to project execution;
- Permanently optimizing the composition of the Company's fleet whereby ownership is only pursued of assets that are strategic to the implementation of the business strategy.

Products, Services and Markets

To achieve our vision, we deliver the following six services to our clients:

Heavy Marine Transport (HMT)

Dockwise aims to maintain and secure its leadership position in Heavy Marine Transport (HMT) by using the flexibility and size of its vessels to strengthen our ability to respond to diverse opportunities worldwide. Dockwise extends its HMT services to all of its target markets and market segments including:

- Oil & Gas market segment in exploration (offshore drilling rigs both jack-ups and semi-submersibles), production (offshore production structures be it fixed, floating or gravity based) and processing (onshore industrial projects which include LNG, refineries and chemical-, mining-, power- and desalination plants);
- Military market (vessels, new build programs, salvage and special navy projects);
- Port & Marine Industry market (cranes, dredging equipment, offshore services equipment, coastal & river vessels and all other various floating and non-floating equipment).

For HMT Dockwise uses Type I through IV vessels

Transport & Installation

For the Oil & Gas market Dockwise offers a total marine scope for float-over and deck-mating operations, which is supported by our in-house engineering, procurement and project management capabilities. The marine scope includes the load-out operation and transportation from the construction site to the field whereby offshore installation is conducted by lowering a fully-integrated topside construction onto a pre-installed jacket. Offshore Kinematics Inc. is the leader in the development and supply of Leg Mating Units (LMUs) and Deck Support Units (DSUs) for float-over operations. The Company's thorough quality control standards and fabrication procedures have been developed over decades of experience. Every component is manufactured to strict tolerances and tested for quality. For the period 2011-2012 Dockwise aims at being awarded several Transport & Installation projects.

For the float-over technique, Dockwise uses Type I and II flat deck and open stern vessels and/or a combination of semi-submersible barges.

Logistical Management

Dockwise offers total transport management solutions for all aspects of modular project transportation. The Company also provides installation and interface management for onshore industrial projects in the Oil & Gas processing business as well as in other resource industries. These projects are often located in remote areas where multiple transports of numerous onshore modules can be highly complex. The fleet of Heavy Marine Transportation vessels combined with partner vessels, project management, procurement, land transport and robust interface management enables Dockwise to improve the total efficiency of these complex projects and reduce risks. This combined and cooperative approach provides significant scheduling flexibility as well as overall project savings for the client. For the period 2011 and 2012 Dockwise aims at being awarded two Logistical Management contracts.

For this service Dockwise will use its Type I through IV vessels potentially in collaboration with vessels provided by third parties.

Engineering Services

Dockwise supports its clients in mainly the Oil & Gas market from the pre-FEED phase all the way through the complete project execution by offering all crucial engineering disciplines. Around the globe, Dockwise's international offices cooperate to provide the most dedicated and skilled engineering teams able to advise customers during all phases of the project including the conceptual design and the assistance with the selection of various alternative options. Furthermore, all transports executed by Dockwise are supported with transport and outfitting plans. To deliver these services, Dockwise employs more than 80 skilled and highly experienced Transport Engineers, Project Engineers, Marine Engineers, Structural Engineers and a dedicated CAD department.

Offshore Installation Equipment

Dockwise delivers a variety of offshore installation equipment. Dockwise subsidiary, Offshore Kinematics Inc. (OKI) is recognized as the market leader in float-over hardware, engineering, design, analysis, testing and supply of offshore installation equipment. Examples of services delivered include:

- Float-over Hardware: Complete Engineering, Design, Analysis, Testing & Supply;
- Engineering & Design: FEED to Completion including Site and Offshore Services;
- Research & Development: Extensive Technical Database and Testing Programs.

Yacht Transport Services

In addition to the Company's large, semi-submersible HMT vessels, Dockwise operates four yacht carriers (Type V vessels) for the transportation of luxury yachts across different regions of the world. Customers in this market segment are yacht owners, yacht charter companies and yacht builders. Owners may choose DYT's yacht service for voyages that are considered to be out of cruising range, or to lower fuel related and other costs. Yacht owners and yacht charter companies may also seek DYT's services to expand their cruising grounds to benefit from two seasons within one year. For example, yachts are transported from the Mediterranean to the Caribbean during fall and vice versa during spring. Dockwise has historically operated only in the float-on/float-off segment, by which the carrier submerges and the yachts are floated-on and floated-off of the carrier. The high-end luxury yachts drive this market segment. Dockwise has also entered the lift-on/lift-off segment as a complement for the segment of smaller yachts.

Competitive Strengths

The following key strengths characterize the position of Dockwise:

- **Market leader in Heavy Marine Transport:** Dockwise holds a leading position in the Heavy Marine Transport industry, based on the safety and reliability of its operations and the size of its fleet, which guarantees Dockwise a certain amount of flexibility to deploy interchangeable vessels throughout the world. Dockwise also operates the Blue Marlin and the Mighty Servant 1, the largest, semi-submersible heavy transport vessels in the world, making it the only company in the world able to transport certain structures and modules.
- **Well positioned in expanding value added installation and logistical management services:** Dockwise completes complex transportation, logistical management and installation projects by providing its customers with the benefits of specialized in-house engineering capabilities, proprietary software, processes, project management and extensive experience in all areas of Heavy Marine Transportation & Installation services for offshore structures and modules for onshore industrial projects.

- **Loyal and diversified customer and business partner base:** Dockwise has developed a brand name and good reputation in the market by providing consistent, high quality, reliable and safe execution of projects. This record of strong performance is key to Dockwise's strong relationships and assurance of repeat business. Key customers and end users include major oil companies such as ExxonMobil, Chevron, Petronas and Shell, drilling contractors such as Noble Drilling, Diamond Offshore and Rowan and other well-known firms such as Technip, Saipem, Fluor, Bechtel, KBR, Boskalis, McDermott, Hyundai Heavy Industries, Daewoo International and Samsung Heavy Industries. Business partners include companies as Mammoet, Sarens and ALE.
- **Largest and most versatile fleet:** The diversity and size of Dockwise's Transportation fleet in comparison to its competitors enables Dockwise to deploy vessels around the world (in a manner that its competitors cannot match), and to respond rapidly to customer needs. Dockwise operates nineteen (four yacht carriers included) flat-deck Heavy Marine Transportation vessels, five of which have an open stern.
- **Experienced management team with a strong track record:** Dockwise's highly qualified and experienced management team boasts considerable expertise in all areas of Heavy Marine Transport, Logistical Management and Installation services. Dockwise has developed an in-house sales organization with a global footprint that allows it to emphasize a presence in the various key national and regional markets and to identify and pursue new business opportunities.
- **Highest quality, safety and risk management standards:** Dockwise works to the highest quality, safety and risk management standards with ISO 9001, OHSAS 18001 and ISO 14001 certifications. Furthermore, Dockwise operates numerous internal quality, safety and risk management procedures, including extensive quantitative risk modeling for all major projects. Dockwise is pre-qualified by a premier Oil & Gas major as a stand-alone float-over contractor.

Executive's Report

CEO's Message

The effects of the 2008 financial crisis still echo in our industry, although a fragile economic recovery has started in 2010. In spite of these market challenges, the Company celebrated various milestones. These included two successful float-overs for the Vyborg Project in Korea, and the Logistical Management of the Koniambo Project in New Caledonia. In 2010 the Company also decided to invest in the design and construction of a unique super vessel, designed to help meet the growing need of clients for larger transport solutions in the years to come.

Dockwise welcomes the opportunity to be the contractor of choice in the Heavy Marine Transport, Transport & Installation, and Logistical Management markets for 2011 and years to come. These are exciting times and our ambition is the same: to be a larger company with a better balance between large multi- year projects and spot market cargoes. The opportunities in the markets are there for us to achieve that goal.

Successfully Navigating Difficult Economic Waters

2010 was a year filled with unique challenges, as well as opportunities: in the wake of a difficult economic market recovery, and the aftermath of the Macondo oil spill in the Gulf of Mexico, that heavily impacted our industry, Dockwise continued to navigate through markets that offered tough competition, as well as more opportunities and increased volumes.

In 2010, Dockwise maintained its market leadership position in the rig transportation segment by transporting 34 jack-up and 7 semi- submersible rigs. In addition, Dockwise also transported mobile offshore production units, navy and dredging equipment, tender assisted rigs, lift boats, tugs, work and accommodation barges, hull sections for vessels, and installation jack-ups for offshore windmills. Our ability to effectively manage short-term market uncertainties and basically get out of the market what was in it, while also effectively investing in the future of larger exceptional transport solutions speaks to the entrepreneurial spirit within the Company.

Overall, in 2010, Dockwise realized revenues of USD 439 million with USD 176 million adjusted EBITDA and USD 37 million adjusted net earnings.

Delivering Innovative Solutions

After nearly two years of engineering, procurement, and project preparations, Dockwise successfully executed two float-over operations for two new build arctic semi-submersible rigs for Gazflot (a subsidiary of Gazprom) via the Vyborg Project in Korea. The Vyborg Project involved moving two 15,000 metric ton semi-submersible hulls and two topsides that weighed approximately 19,000 metric tons each. These pieces were constructed in locations more than 27,000 km apart and the Dockwise vessels *Talisman* and *Treasure* were used to transport the hulls to the float-over location in Korea. *The Black Marlin* was used in two consecutive float-over operations to install the topsides on the hulls.

The floating structure was anchored and ballasted down to keep it in place while Dockwise performed the float-over operation. Currently Dockwise holds 4 float-overs in its backlog, which are scheduled to occur in 2011 and 2013. The float-over for ATP's Cheviot is technically spoken comparable to the Vyborg float-overs.

In 2010, Dockwise successfully executed the transport and Logistical Management of 15 onshore modules for the Koniambo Nickel Project in New Caledonia. Developed by Koniambo Nickel SAS, this project was a joint venture between Société Minière du Sud Pacifique (SMSP), and Xstrata Nickel. The Koniambo Project involved the construction of a metallurgical facility in the northern part of New Caledonia in the South Pacific. Major project facilities include the mine, the process plant, a power station, water supply facilities, a port, ore and coal storage stockpiles, slag and ash stockpiles, and overland ore conveyors. The modules for the process plant were constructed in Qingdao, China.

After their completion, the modules were transported to the new plant site near Vavouto, New Caledonia, via multiple, consecutive voyages onboard the Dockwise vessels *Transporter* and *Trustee*. The 15 modules were transported inland to the Koniambo Nickel site, where they were assembled to form one huge nickel processing plant. Dockwise's scope of work for this project included the detailed engineering of grillages and sea fastenings to ensure safe transport of the modules across the swells of the Pacific Ocean. The contract was one of the Company's first large extended scope onshore industrial contracts.

Looking ahead

As the economic recovery continues into 2011, the reality is that our world still needs oil, as well as equipment to find and produce it. As a result, a new wave of business developments can be seen on the horizon, and we are positioning ourselves to sail full-steam ahead towards these new market opportunities. A stronger economy, combined with the need for oil companies to replenish their reserves, provides a basis for further sustainable growth of the company. More short term it is likely that we will see drilling in 2011 and beyond slowly increase as well as a result of an increased level of spending in exploration by the oil companies. Business forecasts also indicate that with increased levels of trade returning to pre- economic crisis levels, ports will be more active during the next couple of years. This increased port activity will have an impact on our Port & Marine Industry segment. As a result, we can expect better utilization of our fleet within this segment.

Going Where No One Has Gone Before: Introducing the Type "O" Super Vessel

Current trends for upcoming projects in the Oil & Gas industry reflect the need for a new, larger vessel that can handle heavier cargoes. As the world's leading Heavy Marine Transport (HMT) provider, Dockwise is constructing a unique super vessel, with an overall deck size of 275 X 70 meters, a revolutionary, bowless design, and a carrying capacity of up to 110,000 metric tons. Although the concept is new, there are no technical issues which individually have not been proven. This vessel is a first of its kind for the maritime transport industry, and will play an important role in helping clients meet their needs for bigger, integrated structures. The addition of this unique vessel to our fleet will allow Dockwise to meet the needs of our clients, oil industries, engineers, and fabrication yards for years and decades to come.

I look forward to our vessel's first journey – for which we already have cargo booked. Post balance sheet date we announced that Hyundai Heavy Industries, a top class EPIC contractor and offshore yard, will manufacture the vessel. The total investment in the new build is estimated at USD 240 million.

Commitment to Corporate Governance

We are serious about our responsibility with regard to Corporate Governance. To ensure the optimal management and transparent operation of our business operations around the globe, Dockwise implemented the Values in Action Initiative in 2010. Through this initiative, our employees around the globe received training, information, and awareness on the Company's Values in Values in Action documents (Code of Conduct and business Ethics, Values and Principles, Insider Trading Policy, Manual of Authorities, Antitrust Compliance Manual) and how they affect our work, how to avoid situations that are potential conflicts of interest, and what to do and who to contact if they suspect a violation of our code and principles. These policies are more than just words on paper – they are guiding principles for how we conduct our day-to-day business activities throughout our worldwide offices.

Focus on Safety and the Environment

While Dockwise continues to operate the world's largest fleet of specialized vessels, it is ultimately our focus on clients that set us apart from our competitors. And while our vessels do the job, in the end, it is the people who do the work. Our goal at Dockwise is zero accidents, both onshore and offshore. We believe that a project is only truly successful when it is also injury free. Our commitment to quality, safety, and reducing our impact on the environment remain in the forefront of our goals for a sustainable future.

Our work requires us to travel through high-risk piracy areas. While it's impossible to prevent piracy completely, Dockwise never hesitates to make the investments necessary to provide our crew and vessels with the skills, training, and equipment necessary to minimize their risk as much as possible. We also work closely with our clients and international organizations to assess and address potential security issues for each voyage. We have invested in effective and proactive anti-piracy protection measures, which we piloted onboard one of our vessels during 2010 and are part of the international

debate on the dilemma of putting armed security personnel onboard our vessels. With the increase in the level of violence and the geographical areas covered by piracy this issue is becoming increasingly more pressing and rapid international governmental co- operation and decision making in this respect is of the essence.

It is the unique people who work for Dockwise who make our Company truly different. I am proud of what we have accomplished during the past year and look forward to the new wave of business opportunities we see on the horizon. These are exciting times for Dockwise and our ambition hasn't changed: We will become a larger company, and the opportunities in the markets are there for us to achieve our goal.

André Goedée

Chief Executive Officer

Our Safety, Health and Security Performance

Dockwise operates an integrated management system and continued its certification in accordance with:

- ISO 9001:2008 (quality);
- ISO 14001:2004 (environment);
- OHSAS 18001:2007 (health & safety).

Maintenance and crewing of the vessels is contracted to Anglo Eastern Ship Management, a reliable partner who shares the same vision and who manages the Dockwise vessels beyond compliance with applicable international and national legislation such as International Safety Management (ISM), International Ship and Port Security (ISPS) and other flag /class requirements. This partnership is continuously maintained and strengthened via the annual strategy meeting, crew seminars and the quarterly HSES Management Committee & Incident Review Panel meetings.

Health and Safety

Most of the Company's health and safety issues occur on vessels and projects. Avoiding these requires a health and safety culture throughout the company. To further enhance this culture, Dockwise in 2010 continued its Increased Safety Awareness Program (ISAP). ISAP is aimed at three significant fields of attention: Dockwise leaders from Executive Management and supervisory staff directly operating on projects and vessels ('Lead Safety'), Dockwise worldwide staff displaying pro- active behavior in and beyond their day-to-day activities ('Experience Safety') and the Masters, Officers and crew onboard Dockwise vessels working towards enhanced safety performance ('Sail Safety').

Implementation of the 2010 ISAP initiative included:

- Global introduction of the 5 office Golden Rules;
- Management Office Safety Visits;
- Management Vessel Safety Visits;
- Speaker's Corner sessions with HSE elements.

Dockwise performance on health and safety is measured by the type and number of incident reports. These reports can be related to vessels, projects and offices. The statistics are updated on a monthly basis and measured on a Year To Date and a 12 month rolling average basis.

Traditionally, Dockwise has measured its performance using a range of lagging indicators (so called, because they represent the reaction to undesired events such as numbers of lost time injuries, damage or near miss incidents).

In 2010, a set of leading performance indicators (indicators which represent the activities that are designed to improve the profile of safety management and so ultimately reduce undesired events), was developed to reduce the high reliance on lagging indicators such as Lost Time Injury (LTI) as the main indicator of safety performance. These leading performance indicators will be implemented in 2011. Dockwise pursues a zero safety and security incident policy.

TABLE: Overview of the 2010 health and safety performance compared to previous years, including statistics of subcontractors on Dockwise projects.

	2010	2009	2008	2007
Fatalities	-	-	-	-
Lost Time Injuries (LTI)	4	3	6	10
Medical Treatment Case/Restricted Workday Case (MTC/RWC)	8	10	4	4
First Aid Case (FAC)	10	4	9	13
Damage Reports	68	36	38	36
Near Miss Reports	109	102	72	62
Environmental Incidents	9	3	1	6
Security Incidents	1	-	-	-
Lost Time Injury Frequency (LTIF) per 1,000,000 hours	0.79	0.56	1.56	3.20
Lost Time Injury Frequency Benchmark (IMCA overall)	0.67	0.72	0.74	1.25
Total Recordable Case Frequency (LTI+RWC+MTC per 1,000,000 hours)	2.36	2.43	2.60	4.27
Total Recordable Case Frequency Benchmark (IMCA overall)	2.54	2.50	4.38	4.14

LTIF/TRCF are calculated in accordance with IMCA guidelines, IMCA benchmarks are from previous year.

The total number of recordable cases has decreased by one, resulting in a stable TRFC of 2.36. This is the third consecutive outperformance of the IMCA benchmark.

LTIF at Dockwise has increased from 0.56 to 0.79, slightly underperforming the IMCA benchmark.

Analysis from LTI's revealed that three out of the four LTI's were related to slips, trips and falls onboard the vessels. Therefore, a joint Dockwise- Anglo Eastern safety campaign, aimed at preventing these will be launched in early 2011.

The LTIF for the onshore / offshore projects managed by Dockwise is zero. One MTC (Medical Treatment Case) occurred on projects. Dockwise health and safety engineers delivered both shore based (Bongkot float-over, SHWE float-over and Koniambo Logistical Management) and on-site support (outfitting yard in China, float-over of the two Vygorg hulls in South Korea and the load-out of the HRSG module in Italy). Health and safety engineers are also actively involved in the tendering process for projects and the execution of HAZID's for various clients.

The Dockwise vessels are managed in partnership with Anglo Eastern Ship Management from their offices in Glasgow and Hong Kong. Being active in the international trade, the vessels are subject to internal and external inspections and audits. Examples are Port State Control Inspections and ISM/ISPS audits on behalf of the Flag State. On board the fleet procedures are being followed which comply with voluntary safety and environmental standards OHSAS 18001 and ISO 14001. Dockwise and Anglo Eastern work closely together to monitor the performance and to strive towards continuous improvement by using the IDEA action tracking & monitoring system.

Environment

Dockwise is aware of the environmental risks associated with all the operations executed by the Company. The basis for addressing identified risks is in compliance with applicable rules and regulations as laid down in international and local legislation. In 2010 Dockwise registered nine environmental incidents compared to three in 2009. All incidents were related to small rapidly containable (hydraulic) oil spills on decks of vessels. Two of these spills originated from non-Dockwise vessels, but resulted in hull pollution of our vessels.

It is obvious that from all activities by Dockwise, the effluents of the vessels have the highest impact on the environment. Another important aspect of the operations is the use of ballast water by the vessels, essential for safe operations. Future legislation will require ballast water treatment before discharge. Dockwise is looking for ways to reduce the amount of ballast water needed to be transported around the globe, without compromising safety. A program to measure the volume of ballast water affected by vessel operations has been started, enabling Dockwise to enhance its environmental performance in that area.

The issue of hazardous substances in parts such as brake-pads, seals and gaskets has been reviewed and levels present on Dockwise vessels are within the boundaries of applicable legislation. All transports and installation projects are organized by the Company through a project management structure. In this structure, environmental performance plays an important role. This is for example reflected in the environmental aspects and impacts register, prepared for the SHWE float-over project listing all environmental influences due to operations and the controls in place. This register is the basis that enables Dockwise to work in environmentally vulnerable areas.

In its drive towards improvement of environmental performance, Dockwise conducted a study to find alternative solutions for the use of cribbing wood needed for the safe stowage of the cargo. It turned out that a general replacement of cribbing wood with an alternative solution was not feasible. However for certain projects where extreme high deck loads are anticipated, the use of alternative for cribbing wood is still under investigation.

Security

World-wide operations do include operating in high risk areas. The main high risk area in which Dockwise operated in the year under review is the Gulf of Aden and the Indian Ocean. The risk area has shifted from the Gulf of Aden to the east and nowadays precautions are to be taken for the whole of the Indian Ocean. The Dockwise Security Council has proven to be effective as a body to review security risks for each voyage through that area and to oversee the overall security policy. Measures resulting from assessments done by the Dockwise Security Council can go as far as having Navy vessels escorting Dockwise during the passage through high risk areas.

In 2010, 14 transports through the Gulf of Aden have taken place and over USD two million has been spent on additional security measures for the vessels passing this area. Management continuously assesses the situation to decide if policies in place are still adequate to protect our crew and our clients' assets.

Dockwise has piloted an anti piracy prototype system on one of the ships. The purpose of the system is to prevent small boats from coming alongside when the ship transits the risk area. The test was successful and expanded use is anticipated.

Travel security arrangements have been enhanced by utilizing one of the main security consultant organizations in the world. This organization provides security advice when Dockwise employees encounter security risks anywhere in the world. This can be expanded to an evacuation if needed.

MD&A of Our Operational Performance

Industry Trends

Overview

The Company offers a range of marine transportation and related services. The Company is a global leader in the transport and installation of extremely large and heavy structures and equipment, primarily in the Oil & Gas Industry. The oil and gas market has three principal segments: exploration, production and processing.

The Company also provides marine transportation and related services in other energy resources, military, port and marine and yachting industries.

Fig: Revenues 2010



Industry Developments

Within each of the Oil & Gas industry's market segments, the Company's clients require Heavy Marine Transportation, Transport & Installation and Logistical Management Services for different types of equipment and structures.

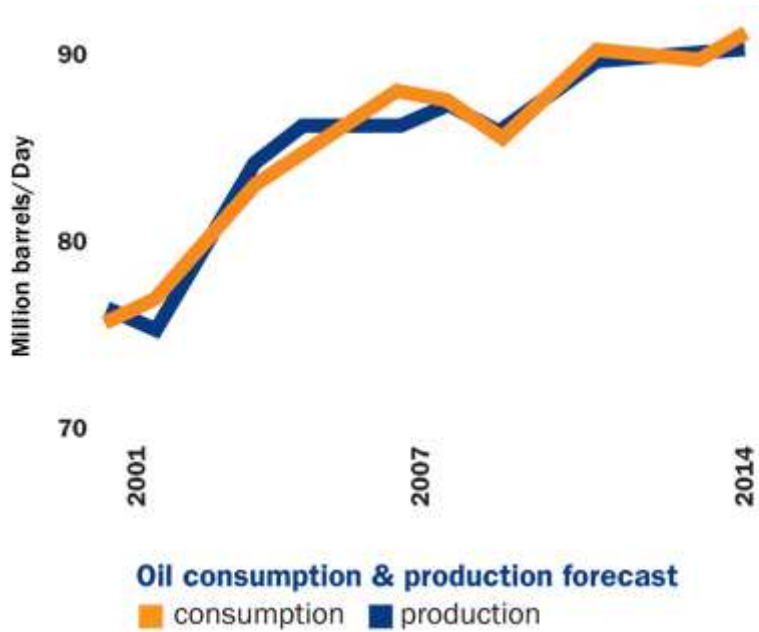
The Company's clients engage in the following activities within the Oil & Gas Industry:

- Exploration & Development Segment: operating offshore jack-up and semi-submersible drilling rigs that locate and develop new oil and gas sources;
- Production Segment: operating various types of offshore production structures, which can be fixed, floating or gravity-based, that extract oil and gas;
- Processing Segment: operating various onshore and offshore industrial projects using oil and gas feedstock, such as LNG terminals, refineries and chemical plants.

Oil and Gas Related Demand Dynamics

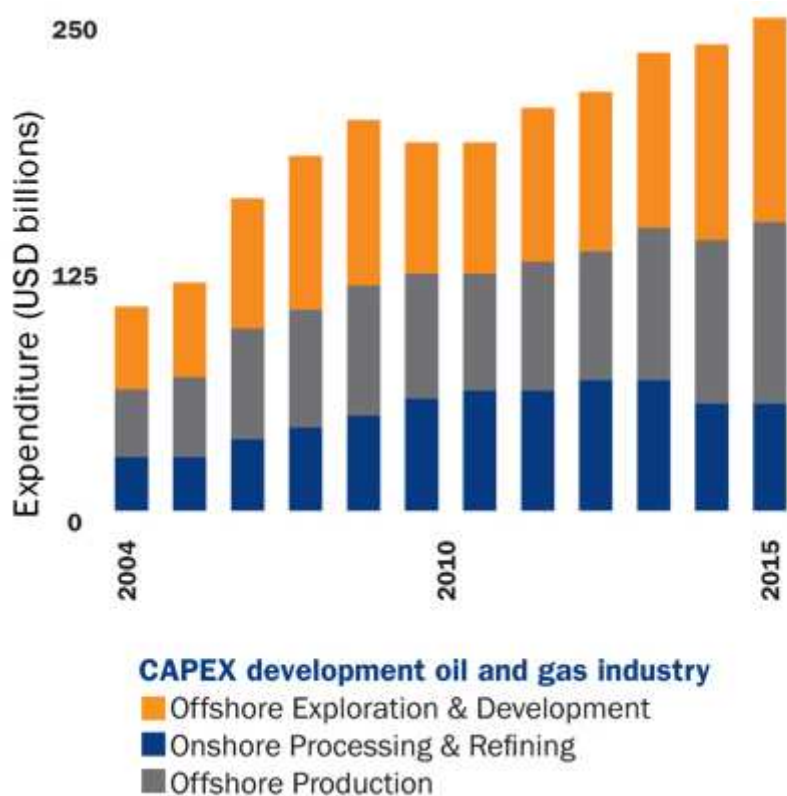
Although the economic downturn has resulted in lower consumption of oil and gas in 2010, the Company believes the long-term fundamentals for the Oil & Gas Industry are robust. This belief is consistent with - among other things - the expectations of the International Energy Agency, which projects oil prices averaging around \$85/bbl the coming years. This anticipated price is based on projected changes in demand and supplies of oil, with demand for crude oil expected to grow by an annual average of approximately 1.4% until 2015 and existing oil field output estimated to decrease between 5% and 7.5% per year.

Fig: Oil Consumption & Production Forecast
Source: Infield Systems Ltd



According to a Douglas Westwood study, total CAPEX decreased by approximately 5% in 2009. In 2010 the total CAPEX has grown by some 10% after which it is expected to grow between 10 and 20% in 2011 with a continued growth onwards.

Fig: CAPEX Development Oil & Gas Industry
(Source: Douglas Westwood September 2010)



Oil & Gas – Exploration and Development

Transport requirements for offshore drilling rigs consist primarily of (i) delivery from the construction shipyard to the initial exploration or production location (referred to as “new builds”), (ii) movements of existing offshore drilling rigs between different exploration basins (referred to as “inter-basin moves”) and (iii), intra-basin movements, which are generally carried out over short distances. In general, movements of more than 1,000 miles represent a better target market for Dockwise’s Heavy Marine Transport services than shorter movements of less than 1,000 miles. There are two types of drilling rigs in general use today: Jack-up rigs for water depths up to 500 feet and semi-submersible rigs for water depths beyond 500 feet up to 10,000 feet.

Although the drilling moratorium introduced after the Macondo disaster ended in October 2010, drilling activity is still limited in the US Gulf of Mexico. It is expected that drilling activity in the Gulf will gradually reach normal levels during a two-year period due to a new one-time required BOP certification for floating drilling, and more time consuming well approval. The US Gulf of Mexico area is especially important for deepwater exploration and development drilling.

Jack-up rigs

Jack-up rigs are drilling platforms typically used in water depths up to 500 feet which are carried out to sea and then jacked up on three or four (hydraulic) legs attached to the platform. There were approximately 54 jack-up drilling rigs under construction as of January 2011 with scheduled delivery from 2011 to 2013, which will need to be transported from the construction site to oil fields. In addition, the percentage of existing jack-up rigs projected to be moved inter-basin is expected to remain fairly stable between 2011 and 2015 at 7% or 8% per annum.

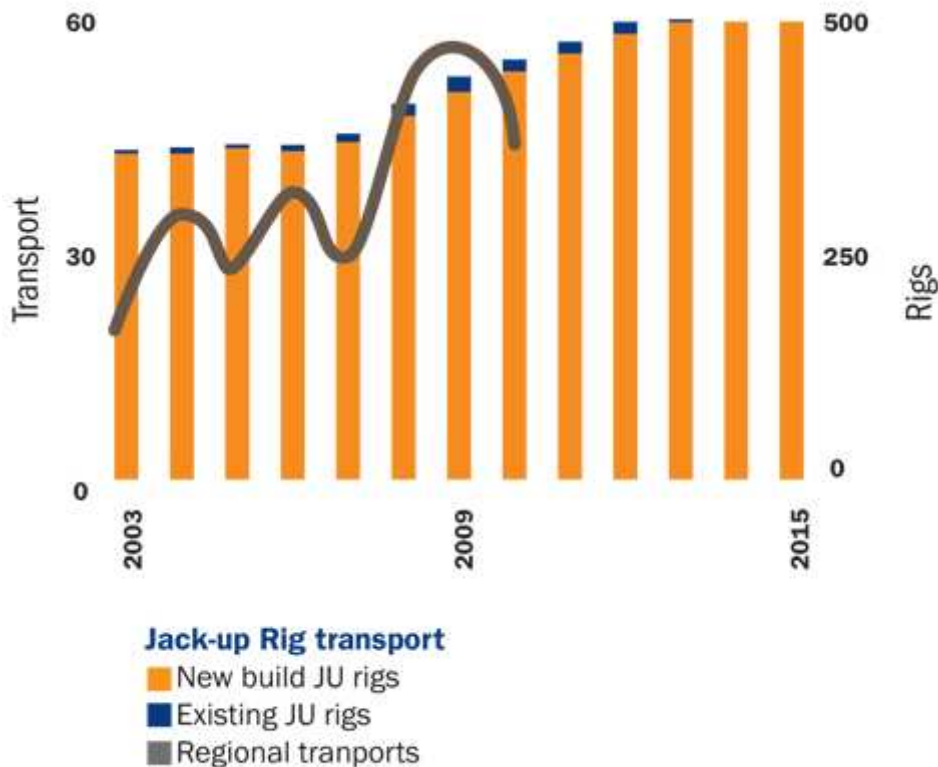
During the recession, many of the global oil companies have reduced or delayed their investment in exploration of new oil fields. Consequently, during this period, there was less movement of jack-up rigs for distances in excess of 1,000 nautical miles in certain geographical areas, including China, the Middle East, India and the Persian Gulf. The average time between customer enquiry and contract award has been significantly reduced, with the contract award occurring only shortly before the commencement of drilling operations. These two elements have changed the demand-dynamics in 2010 to the extent that planning and scheduling of the fleet has become more and more complex.

As a result of the compression in the contracting process, the time between the tender for a new transport and the loading of the offshore drilling rig has decreased significantly, which has made it increasingly important to have adequate available shipping capacity and has also resulted in less visibility for future contract awards.

During the last quarter of 2010 the sentiment in the jack-up rig market seemed to have become more positive. In addition the tender activity for jack-up rigs has increased by the end of 2010, resulting in more opportunities for the drilling contractors. Supported by the changed market sentiment, companies including Atwood, Maersk, Noble and Transocean, have announced their intention to build or acquire newly built jack-up rigs.

In 2010 approximately 9% of the world’s jack-up rigs, including newly built rigs were moved to another region. This was 2% less than in 2009. The number of transports was supported by 21 newly built jack-up rigs entering the market. Dockwise moved 34 jack-up rigs in 2010 (compared to 31 in 2009) of which were eight new builds (12 in 2009). In 2011 the world’s jack-up fleet is expected to grow with the addition of 22 newly built rigs. However, more than 110 smaller jack-ups capable of drilling in water depths up to 300 feet and older than 25 years are stacked. It has become questionable if the older generation jack-ups will eventually return to the active global fleet. This development effectively reduces the total number of active jack-up drilling rigs but at the same time the water depth and size profile of the rig fleet increases in favor of the Dockwise types of vessels.

Fig: Jack-up Rig Transports
(Source: ODS-Petrodata)



(Source: ODS-Petrodata)

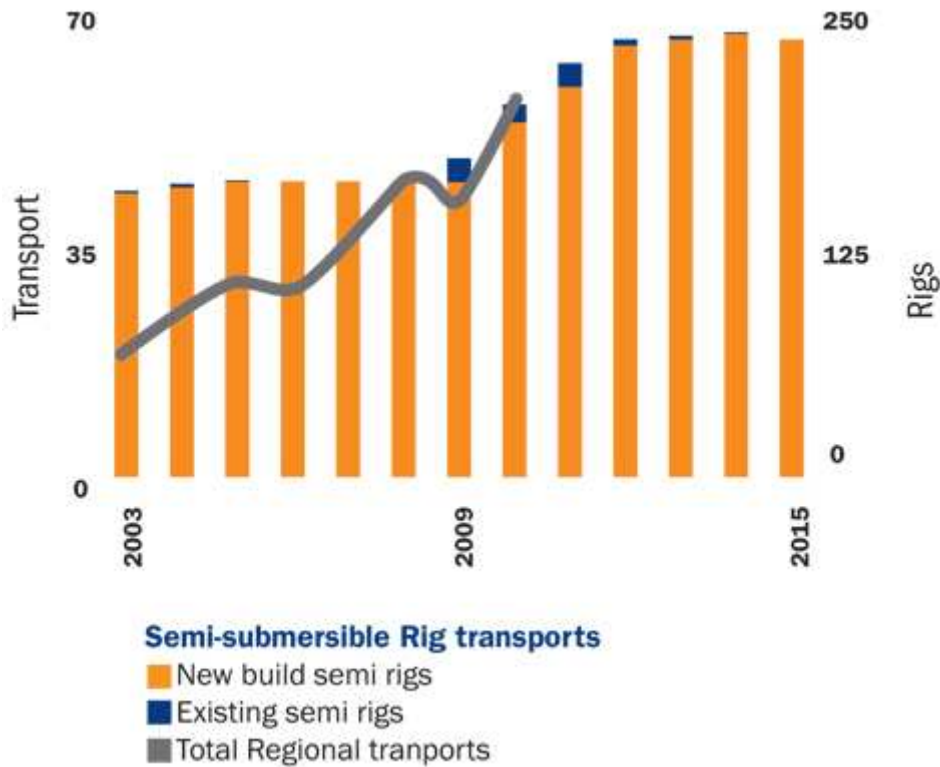
Semi-submersible Rigs

Semi-submersible rigs are floating drilling rigs used in water depths from 500 feet and up to 10,000 feet. Six generations of semi-submersible rigs have been developed by the Oil & Gas industry to date, each with higher degrees of sophistication and greater size than the previous generation. All six generations remain in use. Most of the recently built semi-submersible rigs are self-propelled and can travel at a speed of six to eight knots. However, this is still significantly slower than a dry-transport aboard a Heavy Marine Transportation vessel, with average speeds of approximately 10 to 12 knots. There are approximately 26 semi-submersible drilling rigs under construction as of January 2011 with scheduled delivery from 2011 to 2014. These offshore drilling rigs are primarily constructed in Asia for operation in the deep waters near Brazil, the US Gulf of Mexico and West Africa.

Contractors owning these drilling rigs are typically paid based on a daily rate. Due to the high drilling day rates paid in these oil fields, Dockwise expects that these offshore drilling rigs, when completed, will need to be transported by the fastest transportation method available. Furthermore, the percentage of existing semi-submersible rigs projected to be moved inter-basin is expected to be relatively stable between 2011 and 2015 at 25%.

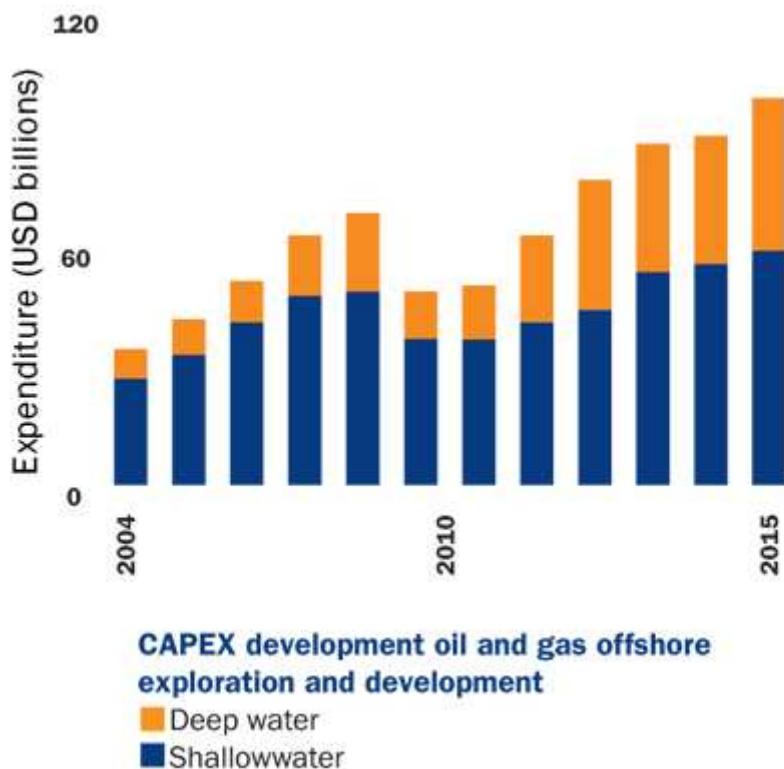
By the end of 2010 there were 193 semi-submersible drilling rigs including 13 newly built deliveries. Dockwise moved seven semi's in 2010 (2009: five) of which two new deliveries (2009: two). Seventeen newly built semi-submersible rigs are expected to be added to the market in 2011.

Fig: Semi-submersible Rig Transports
(Source: ODS-Petrodata)



In the Oil & Gas industry the CAPEX of the exploration segment was most affected by the economic downturn of 2009 and 2010. Shallow water activities were hit the most, but are expected to recover strong returning above the 2008 level by 2012.

Fig: CAPEX Development Oil and Gas Offshore Exploration and Development
(CAPEX includes (next to drilling activities) engineering, geosciences and support services)
(Source: Douglas Westwood September 2010)



Oil & Gas – Production

Offshore production structures include fixed platforms, floating platforms and gravity based structures. Examples of floating platforms are semi-submersible production structures, stabilized spar buoy structures, floating production storage and offloading structures (or FPSOs) and tension-leg platforms (or TLPs). These structures are mainly built in Asia and typically need to be moved and installed over long distances. Most of these structures, as whole or modularized units, are transported from the fabrication yard to the installation site on board a Heavy Marine Transportation vessel or towed via tug or tug and barge combination. Platforms or “topsides” can be installed using several types of heavy crane vessels or by using the “float-over” technique, illustrated below. The ongoing trend towards the construction of larger fully integrated offshore structures with a weight greater than approximately 14,000 metric tons, which is the maximum weight cranes can carry, combined with the high cost and time required to assemble, hook- up and commission a structure offshore, is driving the market towards the use of the float-over technique and towards the development of larger transportation devices.

Float-Over Installation (shown on the pictures below)

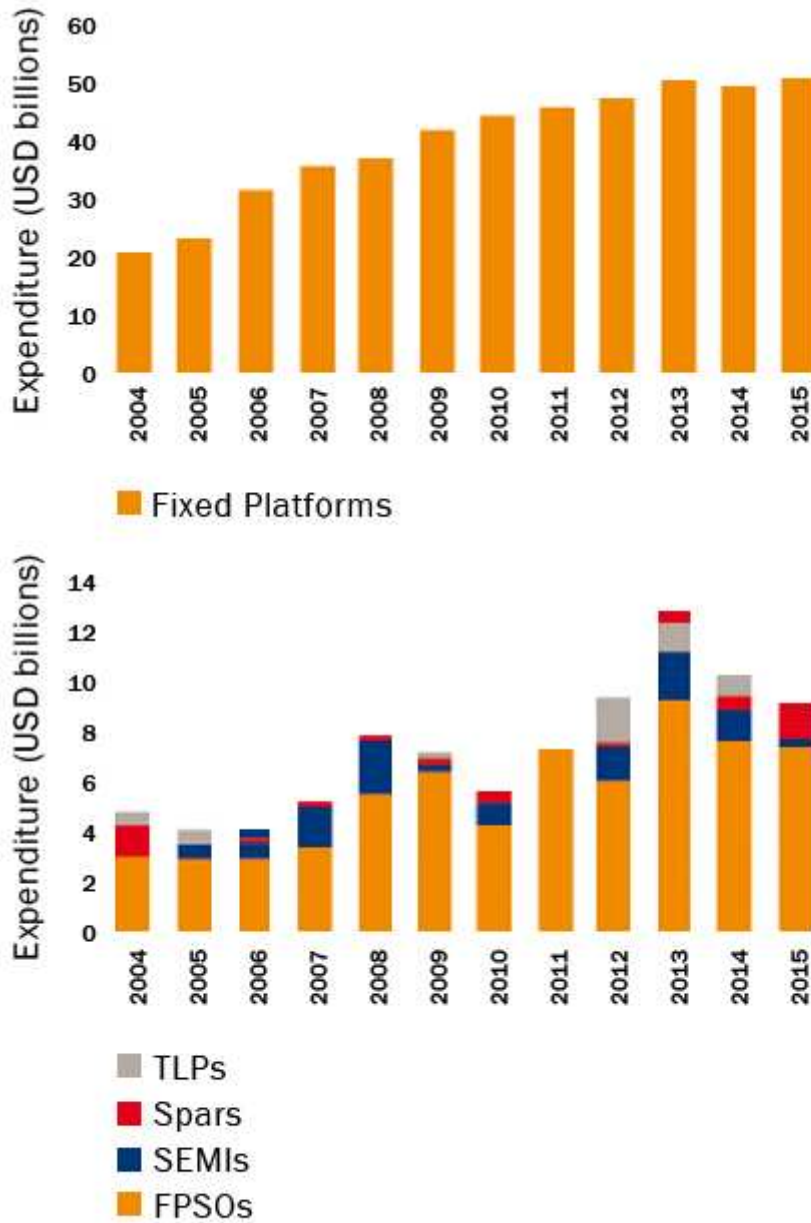


A float-over is basically a two-in-one discharge-installation operation. The large topside constructions, which will remain above water once installed, are built onshore, at a significantly lower cost than construction at the production site. They are then transported on top of a Heavy Marine Transportation vessel. On location, the construction is discharged from the vessel and directly installed onto a jacket or floating hull during one single operation.

In order to accomplish this, the vessel maneuvers between the legs of a pre-installed jacket or floating hull, so that the top construction stabilizes precisely above the structure. The vessel then slowly lowers itself by ballasting, combined with a load transfer system until the topside and jacket mate, resulting in the platform “resting” on the jacket. Once the platform “rests” on the jacket, the construction is installed and the final commissioning continues.

During the second half of 2010 the number of Final Investment Decisions for offshore oil and gas production has picked up driven by the robust long term fundamentals of the Oil & Gas industry.

Fig: CAPEX Development Oil and Gas Offshore Production
(Source: Douglas Westwood September 2010)



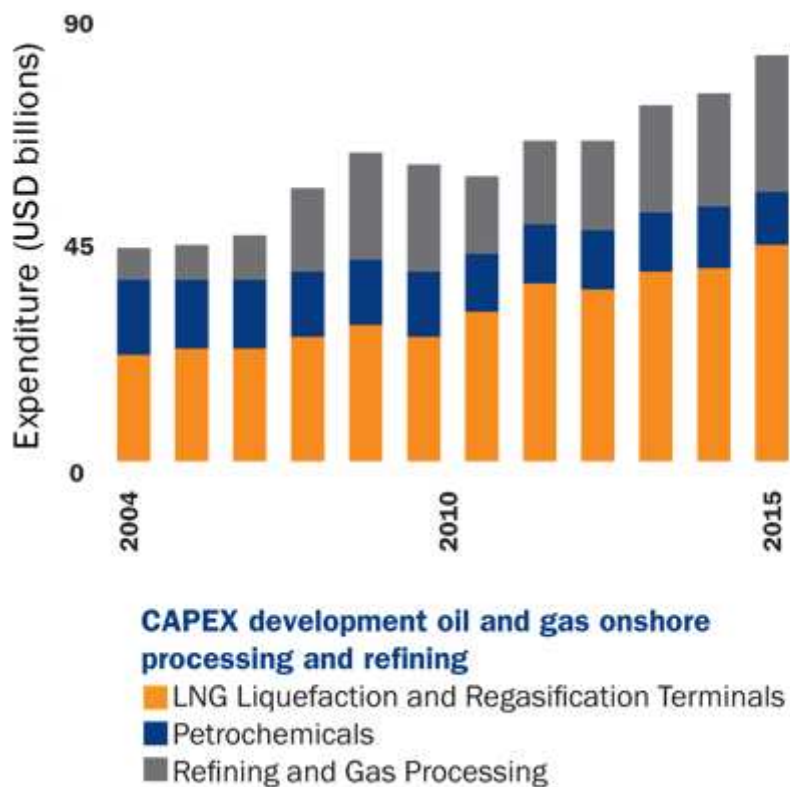
CAPEX Development Oil and Gas Offshore Production

Oil & Gas – Processing

For the Oil & Gas processing industry, marine transport services are required for heavy onshore structures that include modules for LNG plants, refineries and petro-chemical plants. Transporting large integrated units provides customers with a number of benefits, including the option to build and assemble large projects or parts of projects in lower cost environments.

Shorter transit times and operating efficiencies arise from the reduced need for on-site support equipment. In this industry segment, LNG projects in Australia have been less affected by the economic downturn and are needed to help meet the demand for LNG supplies in Asia and the Far East. It is expected that a number of LNG projects will come on-line between 2013 and 2017 to help meet this demand. Because the bulk of heavy transport services for an LNG project is executed one to two years before the project comes on-line, additional business opportunities for Dockwise exist between 2011 and 2015. In contrast to LNG projects, as a result of the recession, investments in refineries and petro-chemical plants have been delayed, as oil companies seek to reduce costs by re-bidding and postponing Final Investment Decisions with respect to major projects.

Fig: CAPEX Development Oil and Gas Onshore Processing and Refining
(Source: Douglas Westwood September 2010)



Other Energy & Resources

Large infrastructure projects such as desalination plants, power plants and mining projects will require transport services that include heavy marine and onshore transport. In contrast to the Oil & Gas industry, this industry has been less affected by the economic downturn and big power and drinking water projects have continued. The mining industry has been more affected by swings in commodity prices, particularly during 2007 and 2008. However, these markets showed signs of recovery in 2010, driven by demand in developing countries and governmental supported infrastructure projects and are expected to develop along with the general global economic development.

Military

In the military segment, new-build and decommissioning programs often require Heavy Marine Transport services, such as the transport of newly-built vessels from the fabrication yard to the working area, or the transport of modules between shipyards during new-build projects or the transport of completed hulls. In addition, the transfer of used Navy vessels between developed and developing countries and the transport of damaged submarines and other Navy vessels as part of salvage operations, create transport opportunities. During the economic crisis new build programs have been delayed, postponed or cancelled due to cuts to the defense budget especially in developed countries.

Port and Marine (P&M)

The P&M industry segment consists of various types of equipment such as dredging equipment, container cranes, offshore services (e.g. floating cranes, floating hotels and dry docks), construction (e.g. bridge modules) and river and coastal vessels. Although the P&M industry has been adversely affected by the current recession, Dockwise expects a slow pickup in activities when the recession has ended. Currently this market is driven by activities in developing countries and major projects such as the expansion project for the Panama Canal. The transport of most of the above mentioned as well as all other floating and non-floating equipment such as power- and work barges, workboats, accommodation units, and river vessels is characterized as a short term market. Dockwise expects activity in this market segment to pick up on a basis consistent with Gross World Product ("GWP") growth.

Yacht Transport

Yacht owners may have their yachts transported when they are out of cruising range, or to save on wear and tear, engine hours fuel and other related costs. Yacht owners and yacht charter companies may also seek expansion of their cruising grounds to benefit from two seasons within one year. For example, yachts are transported from the Mediterranean to the Caribbean during the fall and vice versa during the spring season. In addition to yacht owners and yacht charter companies, Dockwise Yacht Transport (DYT) transports yachts for yacht builders and shipyards. The market can be divided into the float-on/float-off segment, by which the carrier submerges and the yachts are floated on, and the lift-on/lift-off segment, in which yachts are loaded and unloaded using cranes on a general cargo vessel. Dockwise is the only operator in the float-on/float-off segment, a method that is believed to be safer. Furthermore, yachts in excess of 120 feet or more can only be transported by means of float-on/float-off transport due to their weight. Although the current trading conditions are negatively affected by the overall economic developments, Dockwise expects longer-term growth in the sector as a whole to increase, primarily due to higher client awareness of the benefits of using yacht carrier services.

Competition

The Company operates in a highly specialized, global market, in which a limited number of competitors and vessels compete. The Company operates 15 out of the approximately 30 Type I, Type II and Type III vessels currently in the world.

On average Type I vessels can carry cargoes from 25,000 metric tons up to 50,000 metric tons (generally consisting of TLP's, semi submersible drilling rigs, large jack- up drilling rigs), Type II 12,500 metric tons up to 25,000 metric tons, (mostly large modules, jack- up drilling rigs, smaller semi submersible drilling rigs, dredging equipment) and Type III up to 12,500 metric tons (Modules, smaller jack- up drilling rigs, barges, dredging equipment, container cranes). Other dimensions of the cargo such as height, length, breadth and Vertical Centre of Gravity (VCG) can impact whether a cargo fits on a specific vessel. Also vessel characteristics like deck strength, deck space, draft and water above deck must also be taken into account.

The most dedicated players in the market next to Dockwise are Offshore Heavy Transport (OHT) with four converted tankers (type 2), COSCO with three open stern vessels (two type 3 and one type 2) and Fairstar with two converted barges (one type 2 and one type 3). Both COSCO and Fairstar have ordered new vessels (three open stern type 2 in total). Other players include ZPMC and CCCC. The latter players are hitherto certainly not dedicated players and operate in their domestic Korean or Chinese markets or in a captive environment carrying their own projects and competing for international business when they have spare capacity.

In the float-over business, the Company's competitors traditionally operated through a combination of tug and barge and/or module installation by crane. Accordingly, in the transportation and installation of offshore structures, the Company's direct competitors are predominantly subcontractors providing either transportation services, mainly COSCO, or installation services, such as Heerema Group, McDermott International Inc and Saipem S.p.A.

Next to the other Heavy Marine Transportation companies, the Company also experiences competition from tug and barge combinations. Traditionally, tugs and tug and barge combinations compete in intra-basin moves and shorter distances where speed is less important.

In addition, the Company competes in the yacht transport market against multiple competitors from across the global competitive market, especially operators offering lift-on/lift-off services, such as Sevenstar Yacht Transport and Yachtpath. Three of the Company's semi- submersible Heavy Marine Transportation vessels are specifically operated for the yacht transport.

MD&A of Our Financial Performance

Revenues

Dockwise is segmenting its heavy lift revenues between the long term offshore/onshore transportation and installation contracts and the more short term Heavy Marine Transport contracts. The table below shows an overview of the revenue split according to the current segmentation.

<i>In USD million</i>	2010		2009		2008	
Heavy Marine Transport	276	63%	373	78%	363	79%
Offshore/onshore	127	29%	61	13%	41	9%
Yacht Transport	36	8%	44	9%	53	12%
Total revenues	439	100%	478	100%	457	100%
MS 3 compensation	-		13		39	
Adjusted revenues	439		491		496	

Revenues at Dockwise are driven by the so called early warning indicators Oil Price, oil industry capex, demand for oil (for energy markets) and Gross World Product (for port & marine industries and yacht transport). The following table sets forth these key performance indicators in the relevant periods.

	2010	2009	2008
Oil price WTI (USD)*	91	79	45
Oil demand (million barrels per day)	88	84	86
Gross World Product growth**	4.6%	3.1%	5.2%

*source west texas intermediate WTI

**source CIA world factbook; adjusted for inflation

Dockwise Heavy Marine Transport and Offshore/Onshore Projects

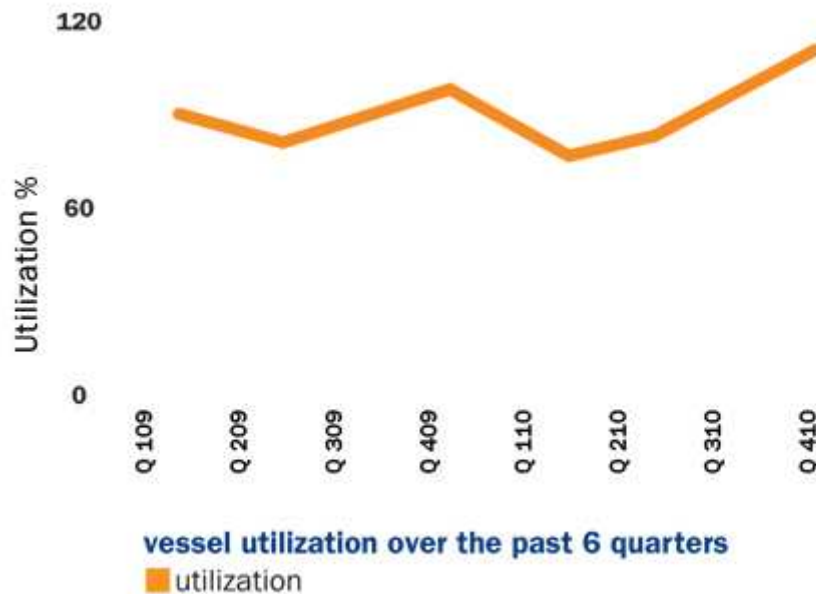
Revenues in Heavy Marine Transport declined by 26% to USD 276 million compared to 2009 due to lower utilization and lower prices. The drop in activity especially occurred in the Port and Marine Industry where global activity levels lagged. Activity in Oil & Gas markets was maintained at healthy levels. In 2010 the contribution from Military markets was lower than in general. Utilization gradually improved with the year progressing. Prices for Heavy Marine Transport projects were stable from the second quarter in 2010. Revenues were supported by large offshore and onshore projects that were already booked in 2008. Revenues in these projects increased by 108% to USD 127 million in 2010.

Dockwise Yacht Transport (DYT)

The yacht transportation business is seasonal. It experiences significantly greater activity in spring and fall than at other times in the year, principally because yacht owners tend to move their yachts from the Caribbean to the Mediterranean in the spring and back in the fall. As a result of these seasonal fluctuations, the Company's revenues are not evenly distributed throughout the year.

Utilization Rate

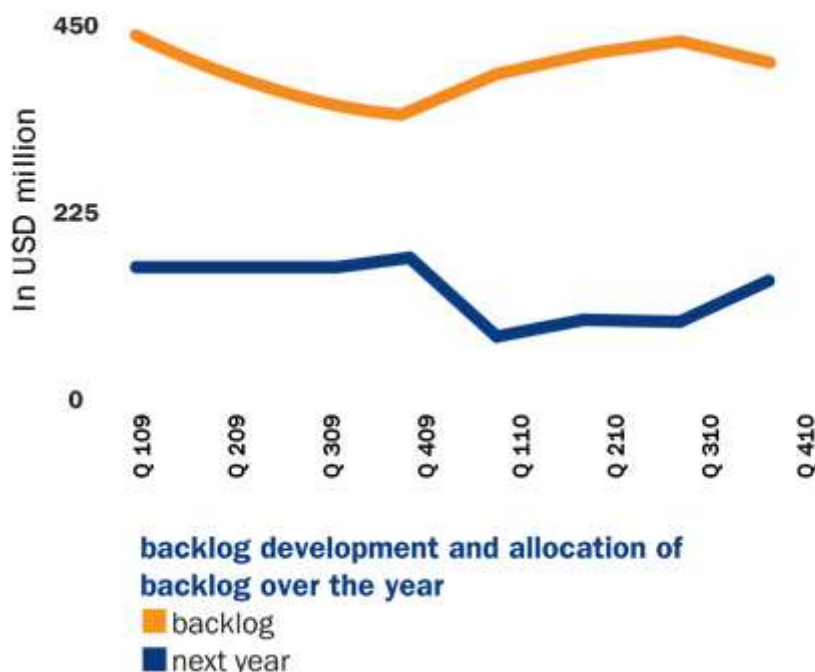
The utilization rate for each of the vessels is calculated by dividing the number of days the vessels are booked, from the point of mobilization or start of preparation to the point at which the contract is completed, by 320 days. Below is a graph showing quarterly utilization rates for the past two years.



Revenue backlog

Revenue backlog represents the aggregate value of the company's signed contracts (and letters of award or intent for large contracts) less revenues recognized from those contracts. The Company only includes the contract price of signed contracts related to its Heavy Marine Transport business, including transportation, installation and engineering contracts, in its revenue backlog. References to Dockwise's revenue backlog do not include any revenue backlog for its yacht transportation business. To the extent work advances on contracts, revenue is recognized in accordance with the company's revenue recognition policy.

As at December 31, 2010 Dockwise had a revenue backlog of USD 380 million (USD 324 million at the same date in 2009) in contracts to be executed during the years 2011 until 2015. The graph below illustrates the allocation of backlog during the next years, as well as the development of backlog over the past quarters.



The following table sets forth the company's margins and profits for the periods indicated:

<i>In USD million</i>	2010		2009		2008	
Revenue	439		478		457	
Contract related expenses	168		169		163	
Gross margin	271	62%	309	65%	294	64%
Vessel operating expenses	48		50		47	
Depreciation & amortization	98		96		72	
Gross profit	125	28%	163	34%	175	38%
Other income	-		3		5	
Administrative expenses	47		54		50	
Other expenses	9		-		-	
Profit from operating activities	69	16%	112	23%	130	28%
Net finance costs	52		74		83	
Income tax expense	-		1		-	
Net profit	17	4%	37	8%	47	10%

Gross Margin, Gross Profit

Gross margin is calculated for contracts by subtracting contract related expenses attributable to such contracts from revenues from such contracts. Gross profit represents revenue less direct costs. Direct costs are composed of contract-related expenses, vessel operating expenses, depreciation and amortization.

Contract related Expenses

Contract related expenses include fuel, harbor dues, canal dues and expenses related to preparing a vessel and securing cargo for the voyage. At lower utilization rates and prices the contract related costs increased percentage wise since these remained at the same levels as in previous years.

Vessel Operating Expenses

Vessel operating expenses are relatively fixed and consist of crewing costs, insurance premiums and repair and maintenance costs. Vessel operating expenses decreased by 4%, to USD 48 million from USD 50 million in 2009, mainly as a result of adjustments in insurance rates and fewer vessels following the sale of Enterprise in 2009.

Depreciation and Amortization

Depreciation and amortization are rather equal on a quarter to quarter basis. In 2010 depreciation included USD 6 million impairment on the MV Enterprise and higher project related depreciation charges and in 2009 USD 9 million impairment and book losses on other assets.

Other Income

Other income in 2009 included the book profit on the divestment of the vessels Dock Express 10 and Dock Express 12.

Administrative Expenses

Administrative expenses include the personnel expenses of management and office staff and other general expenses. On a like for like basis the 2010 administrative expenses were USD 2 million lower than for 2009 when USD 4.5 million non- recurring expenses were included relating to the NYSE Euronext listing and pre- acquisition costs.

Other Expenses

In November 2010 Dockwise settled a dispute with the former owners related to the reinstatement of the Mighty Servant 3. As a result, the company will, in the event of an award, be entitled to the full proceeds of the arbitration it has initiated against its hull and machinery underwrites at the time of the sinking of the Mighty Servant 3, which occurred prior to the change in ownership of the company in 2006. These full expected proceeds represent an amount of USD 9.5 million interest and costs excluded. As a consequence Dockwise will no longer pursue its claim in this respect against its former shareholders.

As the requirements for recognizing an asset from a claim on insurers (payment should be virtually certain) differ from the requirements for recognizing an asset based on a receivable from a contract party (payment should be probable), Dockwise has derecognized in the fourth quarter of 2010 through profit and loss the USD 8.7 receivable on the former shareholders it had recorded on its balance sheet. Any proceeds from the arbitration process will be recognized as income through the profit and loss if and when these are awarded.

Profit/(Loss) From Operating activities

Profit from operations decreased by 38%, to USD 69 million from USD 112 million for 2009. This was primarily due to a combination of lower utilization and lower prices throughout the year.

EBITDA

EBITDA is calculated as profit/loss for the period before interest, tax, depreciation and amortization. EBITDA margin is calculated by dividing EBITDA for the period by revenues for that same period. EBITDA margin for 2010 was 40% on an adjusted basis compared to 45% in 2009. During the year 2010 EBITDA margins increased from a 33% low in the first quarter to 41% in the last quarter. From the second quarter the margins could be kept on a stable level mainly from contributions by high margin offshore/onshore projects that were awarded in 2008.

Finance Income

Finance income comprises interest income from cash deposits. The positive result on the debt buy back transactions in 2010 was USD 1 million (2009: USD 2 million). In 2009 interests were accounted for from the escrow account relating to the reinstatement of the Mighty Servant 3. Interest from cash deposits in 2010 are almost nil due to low interest compensation in the market.

Finance Expenses

Finance expenses principally comprise interest expenses and financial charges on the indebtedness incurred during the periods. Financial expenses decreased to USD 53 million from USD 77 million in 2009 and include non-recurring items relating to the debt buy back, loan redemptions and arrangement fees for in total USD 6 million (2009: USD 5 million). Furthermore, lower outstanding debt had a positive effect on financial expenses. Interest expenses at closing of the year under review were some 7.3%, based on LIBOR plus, on average a 2.4% margin. Almost 98% of total interest exposure has a hedged LIBOR rate of 4.9%.

Net Finance Costs

Net finance costs represent the difference between financial income and financial costs. Net financing costs decreased to USD 52 million from USD 74 million in 2009.

Profit/(Loss) Before Income Tax

Profit before income tax is profit from operations less net financing costs. Profit before tax decreased to USD 17 million (USD 37 million on an adjusted basis) from USD 38 million for 2009 (USD 64 million on an adjusted basis), because of the items discussed above.

Income Tax Expense

Dockwise is considered a tax resident of the Netherlands. As such, it is subject to Dutch taxes. Dockwise pays only minimal tax because most of its income is subject to the Dutch tonnage tax regime. This system assesses tax on a dead weight tonnage capacity of the fleet and not on income. Income tax expense decreased to nil from USD 1 million in 2009.

Adjustments Relating to Mighty Servant 3

Dockwise was compensated by the former owners of Dockwise for the loss of gross margin related to the sinking of the Mighty Servant 3 in 2006. All revenues and direct costs have been adjusted in order to reflect the effect on revenues and direct costs of being compensated for the sinking of the Mighty Servant 3. Such adjustments are based on the related cash received in this respect from the previous owners. By adjusting both revenues and associated direct costs the company's results can be represented during the relevant period as if the Mighty Servant 3 was operational during that period.

Liquidity and Cash Resources

Dockwise's liquidity needs are principally related to financing its existing operations, survey and docking and lifetime extension programs for its vessels. They will also include the requirement to pay the capital expenditure for the new vessel from 2011 onwards. Dockwise's principal sources of funding have been cash from operations, bank borrowings and proceeds from a capital raise in the second half of 2010.

Working Capital

Net working capital (excluding cash and cash equivalents and including current maturities of interest bearing borrowings) decreased to negative USD 66 million as at December 31, 2010 as compared to a negative USD 68 million as at December 31, 2009.

Cash Flows

The table below sets forth a summary of Dockwise's cash flows for the years 2010, 2009 and 2008.

<i>In USD million</i>	2010	2009	2008
Net cash generated from operating activities	116	132	156
Net cash used in investing activities	(37)	(11)	(209)
Net cash from/(used in) financing activities	(58)	(90)	59
Net increase/(decrease) in cash and cash equivalents	21	30	6

Table: Cash Flow Summary

Cash from operating activities decreased due to lower activity levels and lower margins partly compensated by lower interest paid. Cash from investing activities increased due to lower proceeds from disposals, no releases from escrow accounts relating to Mighty Servant 3 and higher capital expenditures. Cash from financing activities decreased due to higher repayments under the senior credit facilities in 2009 and lower proceeds from the equity issue.

Capital Expenditure

The table below sets forth the Company's capital expenditures relating to property, plant and equipment and intangible assets incurred during the periods indicated. Dockwise expects to make capital expenditures (excluding intangibles) of USD 50 million (average) in total per year, primarily related to survey and docking of current vessels. For 2010 this maintenance capex amounted to USD 24 million (USD 17 million in 2009). Dockwise intends to finance this capital expenditure primarily through the cash flow generated from operations. For 2011 and 2012 additional CAPEX will be required for the new build Type 0 Super Vessel to an amount of approximately USD 240 million, with 45% in 2011 and 55% in 2012.

<i>In USD million</i>	2010	2009	2008
Life time extension program	8	(1)	16
New vessels and conversions	2	(2)	176
Survey and docking	24	17	20
Non- vessel related investments	6	14	11
Total	40	28	223

Balance Sheet Restructuring

At the end of 2010 Dockwise completed a financial (balance sheet restructuring) transaction including:

- A USD 103 million equity issue by means of a committed Rights Issue;
- Repayment of USD 110 million outstanding long term debt;
- Increase in available revolving facility by USD 110 million to USD 170 million.

Both the equity issue and the increase in revolving facility were realized for financing the new build Type 0 Vessel in case cash generated from operating activities would fail short to expectations. In this way the completion of the new build is secured.

People

Dockwise believes that in today's competitive world the difference a company makes is ultimately determined by the quality of its employees: their expertise and commitment, their well being, their involvement with the company and the community are critical to the company's success. We realize it takes the best people, working together, for us to achieve our goals.

Dockwise expects certain characteristics that come with the best people:

- **RELIABLE** in delivering results within time and budget, safe & secure;
- **PASSIONATELY** focused on driving for success;
- Excellent in results and **INNOVATIVE** in solutions;
- **RESPECT** the Dockwise Guiding Principles, every day.

And in return Dockwise provides:

- An opportunity to work for a leader in the industry in an entrepreneurial environment;
- An opportunity to invest and participate in the future of a financially strong Company that creates value for customers and shareholders;
- A culture that provides challenging opportunities for professional growth;
- Competitive pay and benefits with the opportunity for personal financial success through the EVA bonus system and long term incentive plan for management.

Staff

At the end of 2010 the number of office-based employees was 314. Turnover rate was stable at 5% with the exception of the Shanghai office in China where most of the staff was replaced during the first and second quarters of the year. Dockwise also successfully moved the engineering office in China from Shenzhen to Shanghai. The majority of the staff moved to Shanghai as well. We believe that in Shanghai we have better access to engineering resources and are closer to our customers.

Table: Workforce per Location

Country	City	Number of FTE
The Netherlands	Breda	173
United States	Houston	59
United States	Ft. Lauderdale	23
Brazil	Rio de Janeiro	2
China	Shanghai	45
Singapore	Singapore	3
Australia	Perth	2
Malaysia	Kuala Lumpur	3
Korea	Busan	2
Russia	Moscow	2
		314

Of Dockwise's staff 224 are male and 90 are female. Dockwise Values and Principles advocate a non discrimination policy on race, sex, age or sexual preference. Dockwise does not employ children or work with contractors that employ children. Nor does Dockwise operate in countries that violate human rights. None of our employees were subject to collective labor agreements. Based upon the geographic diversification of these employees, we believe any risk of loss from employee strikes or other collective actions would not be material to the conduct of our operations taken as a whole.

Works Council

In 2010 the Works Council was consulted on various topics such as a new job family and salary system based on Mercers IPE system, the new Code of Conduct and Business Ethics, workplace safety, investment in the new Type 0 Super Vessel and the December "rights Issue". There are currently seven members on the council, elected by the employees of the Company. In 2011 there will be interim elections whereby half of the council needs to be replaced.

Organizational Development

Organizational development (OD) plays a vital part in harnessing the collective talent of our organization, bringing about change and improving performance. It involves taking planned steps to create an environment that will enable our staff to understand and deliver our organization's objectives.

These steps include developing appropriate skills, behaviors and attitudes, culture and a style of leadership that enables our organization to achieve optimum performance.

A clear sense of direction, strong leadership and a focus on people management issues including the management of performance and the promotion of learning, development, creativity and innovation are essential.

In 2010 organizational development activities included performance evaluation, organizational values & principles, change management, succession planning, leadership & management development and various technical training.

Values in Action

In 2010 Dockwise launched the Values in Action initiative where we confirmed and reaffirmed our values and principles, code of conduct, compliance manual and the manual of authorities.

Departmental values in action meetings were rolled out and in these sessions discussions took place to create transparency in our actions and decisions we all make in the jobs we do and why we think these are important for the company.

At the end of these meetings we encouraged all to sign a certificate of affirmation.

The objective was and is that we want to maintain the highest standards of ethical conduct, as well as personal and professional integrity. We are expected to act in a responsible manner that preserves Dockwise's reputation of being reliable, innovative, passionate, and respectful, as well as for maintaining our integrity and highest professional ethics standards.

Dockwise cares about the health and well-being of all employees, including the office based personnel. This is reflected in the low sickness absence rate of 2.51% for the Breda office, which is a marginal improvement on the 2009 percentage of 2.56%. This rate is significantly lower than the industry overall average.

Assets

Dockwise operates the world's largest Heavy Marine Transportation (HMT) fleet of 19 semi-submersible vessels of different concepts and designs, which excludes the new Type 0 Super Vessel that is currently under construction. As a result, our versatile fleet will be able to handle heavier cargoes of up to 110,000 metric tons. The main target markets for this vessel will be offshore structures between 50,000 and 110,000 mTonnes. These structures can be categorized in floating production structures for water depths of more than 1,500 feet (tension leg platforms, semi-submersible platforms and spar buoys), gravity based production structures for shallow water depths less than 300 feet in harsh environments, FPSO's, FLNG's and semi-submersible crane vessels.

The fleet includes six flat-deck, open-stern vessels (one Type 0, two Type I and three Type II) and ten flat-deck, closed-stern vessels (six Type II and four Type III), which are mainly deployed for transporting drilling rigs and offshore structures. Additionally, there is one dock-type vessel (Type IV) that is used primarily for transporting cargoes in the various segments. Three Type V vessels are dedicated to the transport of yachts.

All of the vessels are crewed and managed by Anglo-Eastern. Anglo-Eastern has the responsibility for maintenance of the vessels, crew management, accounting, marine operations and liaising with port agents. Under a three year umbrella agreement (renewed in 2009) Anglo-Eastern is entitled to a fixed management fee per vessel per year. Most of the crew are from Latvia and Ukraine and are generally employed subject to the laws of those countries.

All the Company's vessels are registered in Curacao and sail under the flag of the Kingdom of The Netherlands.

Dockwise is continuously optimizing the mix of its fleet customization. In 2010, The Enterprise was sold and in 2011 the construction of the new Type 0 Super Vessel began.

The average age of Dockwise's fleet is approximately 22 years when based on the date of keel laying. However the Mighty Servant 3 and the six converted Suez max tankers were reinstated, converted and largely renewed in 2009 and 2008 respectively. Based on these dates, the average age is approximately 16 years. Dockwise seeks to extend the lifetime of its fleet by periodically undertaking lifetime extension programs for certain vessels. In these programs Dockwise contemplates spending approximately USD 20 million per annum. A life time extension program can extend the life time of a vessel, depending on the type, by five to twenty years. Dockwise believes that its lifetime extension program is made possible partly because its vessels are maintained to offshore equipment standards throughout their originally expected lifetimes.

Fleet overview

Dockwise currently operates a Heavy Marine Transportation (HMT) fleet of 19 semi-submersible vessels of different concepts and designs, the largest of which can transport loads up to 73,000 tonnes.

	Type	Specifications	Name of vessel	Width (M)	Length (M)	Cargo deck space (sqm)	Tons	Built	Retire date after life time extension
	Type I	Flat Deck with	Blue Marlin	63	225	11,227	76,051	2000	2025-2030
		open stern	Mighty Servant 1	50	190	7,500	40,190	1983	2021-2023
	Type II	Flat Deck with	Mighty Servant 3	40	181	5,600	27,720	1981	2025-2029
		open stern	Black Marlin	42	218	7,480	57,021	1999	2025-2030
			Transshelf	40	173	5,280	34,030	1987	2021-2023
	Converted tanker		Transporter	45	217	5,785	54,000	1990	2027-2029
			Target	45	217	5,785	54,000	1990	2027-2029
			Treasure	45	217	5,785	54,000	1990	2027-2029
			Talisman	45	217	5,785	54,000	1993	2027-2029
			Trustee	45	217	5,785	54,000	1991	2027-2029
			Triumph	45	217	5,785	54,000	1992	2027-2029
	Type III	Flat deck with	Swan	32	181	4,000	32,650	1982	2021-2023
		tanker capacity	Swift	32	181	4,000	32,187	1983	2021-2023
			Tern	32	181	4,000	32,650	1982	2021-2023
			Teal	32	181	4,000	32,187	1984	2021-2023
	Type IV	Dock-type	Explorer	31	159	2,823	10,763	1984	2013
	Type V	Dedicated	Super Servant 3	32	139	3,712	14,138	1982	2017
		yacht carriers	Super Servant 4	32	169	4,672	17,600	1982	2017
			Yacht Express	32	209	5,163	16,250	2007	2034-2037

Type I vessels

Key characteristics:

- **Average speed: 11-12 knots**
- **Deck: Length: 150-178 meters, width: 50-63 meters**
- **Cargo capability: 41,000-73,000 tonnes**

Dockwise's two Type I vessels are large, purpose-built, semi-submersible vessels with large flat decks and open sterns. Type I vessels are capable of carrying the largest and heaviest cargoes in the Heavy Marine Transport market primarily because they are not limited by stern structures. For certain projects, such as the transport of spar buoys, there is at present no alternative to Type I vessels because of the sheer size of the spar buoys. In 2009, Type I vessels were primarily involved in transporting offshore structures, jack-up rigs and semi-submersible rigs.



Blue Marlin is the largest Heavy Marine Transportation vessel in the world. This vessel has 11,227 square meters of unobstructed cargo deck space and can carry fully integrated, extremely heavy and large offshore and onshore structures and drilling rigs of up to 73,000 tonnes (the largest cargo transported to date was BP's Thunder Horse, the world's largest floating platform at a total weight of almost 60,000 tonnes). The Blue Marlin has carried cargoes such as the U.S. radar system SBX (Sea-Based X-Band Radar) for Boeing and the U.S. Navy. As the largest Heavy Marine Transportation vessel in the world, Blue Marlin provides the Company with the exclusive capacity to transport the largest and most complex cargoes in the world.



Mighty Servant 1 has also been engineered to carry extremely heavy cargoes. A specially strengthened open cargo deck provides a solution for transporting the heaviest semi-submersible drilling units, harsh environment deepwater jack-up rigs and large offshore and onshore structures. The movable buoyancy casings on both the port and starboard side of the vessel can be positioned forward to give a clear open deck for stern skid-on or roll-on loading and discharging operations. The Mighty Servant 1 was widened and lengthened in 1998 and in 2003 the main engines were renewed to maintain a reliable service.

Type II vessels

Key characteristics:

- **Average speed: 12-13 knots**
- **Deck: Length: 130-157 meters, width: 40-45 meters**
- **Cargo capability: 30,000-40,000 tonnes**

Dockwise currently operates three purpose-built Type II semi-submersible vessels with large flat decks and open sterns. In 2009, Dockwise's Type II vessels mainly transported jack-up rigs and offshore structures. In addition, the T-Class Vessels (Transporter, Target, Treasure, Talisman, Trustee and Triumph) are operating as Type II Heavy Marine Transportation vessels after completing their conversion from Suez max oil tankers.



Black Marlin is a vessel designed for carrying extremely heavy cargoes as well as loading large floating cargoes. Equipped with a special ballasting system, the Black Marlin is specifically designed for float-over, float-on/float-off, roll-on/roll-off, skid-on/skid-off and lift-on/lift-off methods. Advanced structural design allows for increased cargo stowage possibilities by moving the portside buoyancy casing.



Transshelf has an unobstructed deck area of 5,280 square meters. Floating cargoes with a draft of up to nine meters can be loaded with the float-on/float-off method by utilizing the vessel's ballast system. The Transshelf is also designed for float-overs.



Mighty Servant 3 was designed to support cargoes with an overhang on three sides by removing the aft buoyancy casings and using counter-ballast weight. The Mighty Servant 3 re-entered active service on 7 August 2009.



Transporter, Target, Treasure, Talisman, Trustee and Triumph are Suez max oil tankers that have been converted into semi-submersible, Heavy Marine Transportation vessels used to primarily transport jack-ups and other cargoes such as dredging equipment and cranes. These vessels have 130 x 44.5 meter decks and can support heavy cargoes up to 35,000 tonnes. By submerging, they can load and discharge a cargo using the float-on/float-off, roll-on/roll-off, skid-on/skid-off and lift-on/lift-off methods, or any combination of these methods.

Type III vessels

Key characteristics:

- **Average speed: 12-13 knots**
- **Deck: Length: 126.6 meters, width: 31.7 meters**
- **Cargo capability: 15,000-20,000 tonnes**



Dockwise owns four Type III vessels, which are smaller semi-submersible vessels with superstructures positioned on the stern. **Swan, Swift, Tern and Teal** are virtually identical. Their 126.6 x 31.7 meter flat decks can support heavy cargoes weighing up to 25,000 tonnes. By submerging, these vessels can load and discharge cargo with the float-on/float-off method.

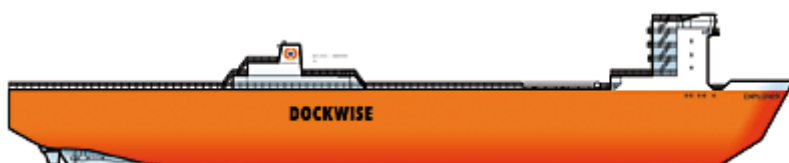
By ballasting, they can load and discharge cargoes using the roll-on/roll-off, skid-on/skid-off and lift-on/lift-off methods, or any combination of these methods. In 2009, Type III vessels were principally employed in transporting small jack-up rigs, P&MI and smaller offshore structures.

Type IV vessels

Key characteristics:

- **Average speed: 9-13 knots**
- **Deck: Length: 117-119 meters, width: 20-23 meters**
- **Cargo capability: 4,000-9,000 tonnes**

Dockwise owns one semi-submersible purpose-built dock-type vessel. This vessel transports mainly P&MI, small offshore structures and military cargoes.



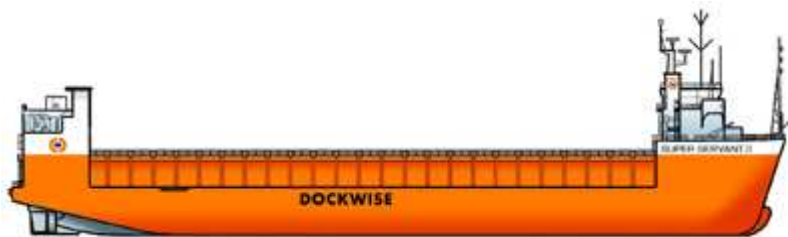
Explorer is a twin-propelled, semi-submersible dock-type vessel suited for handling floating and roll-on/roll-off cargo's loaded by the stern. Dock-type vessels have closed decks with the purpose of cargo protection and are only capable of loading via the stern. The Explorer is successfully utilized in the transportation of luxury yachts by Dockwise Yacht Transport over the past years.

Type V vessels (yacht carriers)

Key characteristics:

- Average speed: 9-12 knots
- Deck: Length: 116-165 meters, width: 20-23 meters
- Cargo capability: 4,000-9,000 tonnes

Type V vessels refer to yacht carriers, which are semi-submersible vessels that allow the on- and off-loading of yachts. Dockwise operates four yacht carriers (one Type IV and three Type V vessels). All of Dockwise's yacht carriers feature dock walls, which protect yachts from adverse weather during marine transport. With decks up to 146 meters long, the **Yacht Express**, **Super Servant 3** and **Super Servant 4** are capable of transporting a large number of yachts.



The purpose-built **Yacht Express** was added to the fleet in 2007. All of Dockwise's yacht carriers feature dock walls, which protect yachts from adverse weather during marine transport. With decks up to 146 meters long, each of these carriers is capable of transporting a large number of yachts.

Equity and Credit Facilities

Equity

Authorized share capital of Dockwise is USD 200,000,000 divided into 40,000,000 common shares with par value of USD 5 each. As at December 31, 2010 25,285,511 shares were issued. Of these 16,398,541 were listed on NYSE Euronext Amsterdam under symbol DOCKW with ISIN code BMG2786A2052 held in Euroclear and 8,886,970 were listed on Oslo Stock Exchange under symbol DOCK with ISIN code BMG2786A1062 held in VPS. The Oslo Stock Exchange is the primary venue of listing for Dockwise shares implying Dockwise is subject to full supervision by the Financial Supervisory Authority of Norway (FSAN) and to market supervision by the Autoriteit Financiële Markten (AFM) in the Netherlands. Each share carries one vote and all shares rank equally in all respects. Dockwise has not issued any preference shares.

The date of Dockwise's first listing at the Oslo Stock Exchange was October 2, 2007 at a shareprice of 500 NoK (corrected for reverse split of 2009). The date of Dockwise's secondary listing at NYSE Euronext Amsterdam was December 3, 2009 at a shareprice of Euro 21,90.

Dockwise has three shareholders with reported holdings larger than 5%.

Name	Number of shares	Voting power
HAL Investments, Rotterdam The Netherlands	4,518,272	17.87%
Sankaty Advisors, Boston USA	2,839,108	11.23%
Project Holland Fonds, Amsterdam The Netherlands	2,240,847	8.86%
Total	9,598,227	37.96%

To finance the new Type 0 Vessel Dockwise issued USD 103 million (net of transaction costs) new shares through a rights issue in December 2010.

The Board of Directors may award, at its discretion, the payment of future dividends on shares as stated in the Bye-laws. This is subject to Bermuda law. In the year under review Dockwise has adopted a dividend policy stating that the Board will apply a dividend that is based on a pay out ratio of between 35 and 45% of adjusted net profit in any year, whilst enabling the Company's growth. The proposal in any year to actually pay out is subject to:

- The Company's target net debt: EBITDA ratio of 2.5:1 (no dividend as long as net debt:EBITDA exceeds 2.5);
- The Company generating positive free cash flows, sufficient to meet its obligations under the Senior Facilities Agreement;
- Absence of contractual restrictions limiting the Company's ability to pay dividends (no dividends if contractual restrictions of any kind prohibit the company to pay dividend).

Dividends will be credited automatically to the shareholder's accounts without the need for shareholders to present documentation proving their ownership of the shares. Dividend and distribution payments are subject to Dutch dividend withholding tax at a rate of 15%.

At the end of 2010 a total of thirteen equity sell side analysts were covering Dockwise with research. At year end there were seven buy, one outperform, one equal weight, three hold and one sell recommendations. Communications with these analysts are subject to Dockwise's fair disclosure policy.

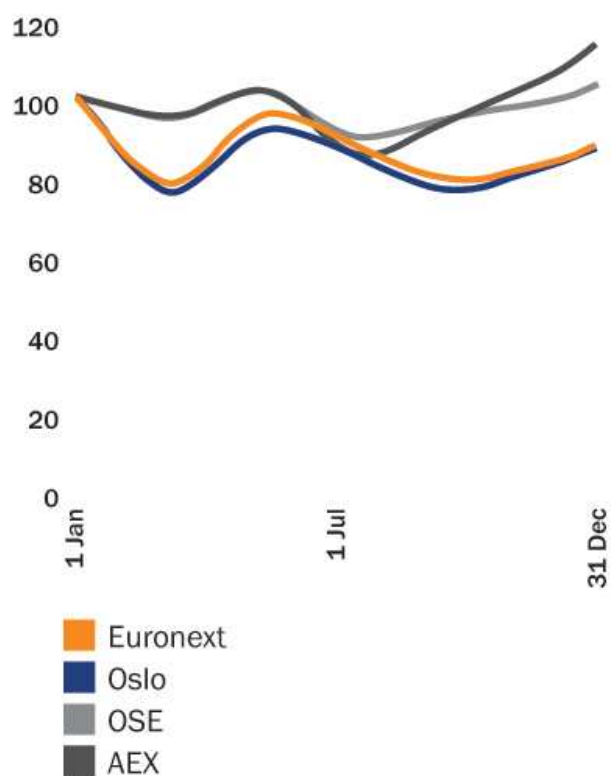
Below table indicates names of broker-analysts.

Broker firm	Analyst name	Nationality
Barclays Capital	Mick Pickup/ Tom Ackermans	United Kingdom
Carnegie	Frederik Lunde	Norway
Fearnley	Haakon Magne Ore	Norway
ING	Quirijn Mulder	The Netherlands
Kempen & Co	Erwin Dut	The Netherlands
KBC securities	Michael Roeg	Belgium
Nordea	Jorgen Andreas Lande	Norway
Pareto	Magne Motzfeldt	Norway
Petercam	Thijs Berkelder	Belgium / The Netherlands
Rabo securities	Frank Claassen	The Netherlands
RBS	Mark Hesselink	United Kingdom / The Netherlands
SNS securities	Edwin de Jong	The Netherlands
Theodoor Gilissen	Jos Versteeg	The Netherlands

Based on Earnings per Share Dockwise performed as in below table:

<i>(In USD)</i>	2010	2009
EPS based on average number of shares	0.822	2.731
Same adjusted earnings	1.768	4.698
EPS based on number of shares issued per yearend	0.686	1.772
Same adjusted earnings	1.476	3.049

Relative to indexes the Dockwise shares showed following performance:



Credit Facilities

Senior Credit Facilities

On 4 May 2007, Dockwise group companies Delphi Acquisition Holding I B.V., Dockwise Transport N.V. and Dockwise Transport B.V., as borrowers, and certain subsidiaries, as guarantors, entered into the Senior Credit Facilities.

The Senior Credit Facilities are secured through the vesting of security interests on the majority of Dockwise's material assets. The charged assets include the vessels of the Company, bank accounts, other fixed assets, insurance policies, intercompany receivables and shares in its consolidated companies. The Senior Credit Facilities provide four term loan facilities, referred to as facilities A, B, C and D respectively. Borrowings under the Senior Credit Facilities bear interest at a rate of LIBOR plus a margin of between 1.25% and 4.50% per annum depending on the specific tranche of loans the facility is drawn under. The margin on undrawn amounts under the revolving facility is 0.625% per annum. The margin payable for certain tranches of loans decreases as the Company's leverage ratio (as described below) decreases. Dockwise has currently hedged LIBOR for 98% at 4.9%. The average margin on the outstanding debt was some 2.4%. The total amount outstanding under the Senior Credit Facilities as of December 31, 2010 was USD 530 million (USD 693 million end of 2009). In addition the Senior Credit Facilities provide for a USD 170 million revolving credit facility available for bank guarantees and revolving credit borrowings.

Required Repayments and Prepayments

One tranche of the Senior Credit Facilities (facility A) requires repayment in semi-annual amounts which started on June 30, 2009 with a remaining amount being due December 31, 2012. The other tranches mature in 2015 and 2016. The outstanding amounts (excluding capitalized bank fees) under the Senior Credit Facilities as of December 31, 2010 are as follows: facility A USD 45 million, facility B USD 215 million, facility C USD 204 million and facility D USD 66 million. In addition to this fixed repayment schedule, Dockwise is required to make annual prepayments based on its excess cash flow (as defined under the Senior Credit Facilities) for the prior year and its leverage ratio at that time. The percentage of this annual prepayment is 75% if the leverage ratio exceeds 4.25, 50% if the leverage ratio exceeds 3.5 but is lower than or equals 4.25, 25% if the leverage ratio exceeds 2.5 but is lower than or equals 3.5 and 0% if the leverage ratio is lower than or equals 2.5. Payments under this so called "cash sweep clause" will be deducted from the fixed repayment schedule.

Covenants

Dockwise has undertaken to meet certain financial covenants set forth in the Senior Credit Facilities. These financial covenants relate to the total level of leverage allowed, the level of interest covered and the level of cash flows generated. These financial covenants are described in greater detail below. If these financial covenants are not met, this would trigger an event of default, allowing the lenders to take certain actions including demanding early repayment of the amounts outstanding under the facilities.

Dockwise must comply with three principal covenants under the Senior Credit Facilities. Dockwise must maintain a ratio of consolidated cash flow to consolidated net debt service (each as defined in the Senior Credit Facilities) equal to or greater than a specified level, as described below. This is referred to as the "Cash flow cover ratio". Dockwise must also maintain a ratio of consolidated normalized EBITDA to consolidated net debt service (each as defined in the Senior Credit Facilities) equal to or greater than a specified level, as described below. This is referred to as the "Interest Coverage Ratio". Finally, Dockwise must maintain a ratio of consolidated net debt to consolidated normalized EBITDA (each as defined in the Senior Credit Facilities) equal to or less than a specified level, as described below. This is referred to as the "Leverage Ratio". Following the waiver request granted in October 2010, capital expenditure related to the new Type O Vessel will be excluded from this calculation. Furthermore, covenant ratios for leverage in the years 2011, 2012 and 2013 have been relaxed. Set forth below is a summary of these requirements.

Ratio	2010 Q4	2011 Q2	2011 Q4	2012 Q2	2012 Q4	2013 Q2
Leverage ratio < or=	4.00	3.75	3.75	3.50	3.50	3.00
Interest rate cover >or=	2.25	2.25	2.25	2.25	2.25	2.25
Cash flow cover >or=	1.00	1.00	1.00	1.00	1.00	1.00

Table: Bank covenant ratios

Each of these financial ratio covenants is tested on a quarterly basis on results of operations for the prior 12 months. As of 31 December 2010 Dockwise's leverage ratio was 2.59 to 1. Dockwise's interest cover ratio was 4.01 to 1 and Dockwise's cash flow cover ratio was 4.34 to 1.

The table below sets forth the maturity dates as per December 31, 2010 for the Senior Credit Facilities:

	Outstanding	2011	2012		2013		2014	2015	2016	
	31 Dec 2010	Q2	Q4	Q2	Q4	Q1	Q1	Q1	Q1	Q2
Facility A	45	4	6	6	29					
Facility B	215							215		
Facility C	204								204	
Facility D	66									66
Total	530	4	6	6	29	0	0	215	204	66

Risk Management

Enterprise Risk Management

Dockwise performs pro-active risk management in its portfolio of proposals and projects, which it considers the key towards Enterprise wide Risk Management (ERM) for the Company. In addition to this Project Risk Management function, the Dockwise ERM framework comprises integrated processes for Security Risk Management, Business Risk Management, Corporate Risk Management and Risk Based Auditing.

For active risk identification, risk control and risk reporting purposes, a set of risk management support functions and support systems have been developed:

- A framework of risk management procedures;
- A project Board and Security Counsel; supervising all projects;
- A risk Audit Committee;
- An integrated risk management and planning & control cycle;
- A quantitative risk analysis system.

Project and Portfolio Risk Management

From the start, all projects require a pro-active risk management process that is engaged throughout the proposal and execution stages in order to safely realize budget and planning objectives. Risks associated with Heavy Marine Transport differ from risks associated with Transportation & Installation of offshore structures or onshore industrial projects. All risks can affect business, operations, financial conditions and future prospects.

The Dockwise proposal scan triggers early identification of minimum risk management requirements during the early proposal phase. It recognizes three types of risk profiles (A, B and C), differentiated according project complexity, contractual and operational scope, management responsibilities and liabilities.

Top-5 risks in category A and B projects

Projects with a Type A risk profile, in general cover contracts concluded on the basis of an industry standard shipping contract (a so called Heavycon Agreement) without additional services and/or liabilities. These contracts are subject to a qualitative process of key-threat identification and risk management follow-up. Projects with a Type B risk profile in general contain an additional scope of services. They are subject to a semi-quantitative process of risk-analysis. Risks, opportunities and control measures are qualified for all applicable technical and non-technical risk aspects within the project scope. As part of risk management follow-up, all initial and residual risk levels for relevant project result parameters are quantified and mitigation actions are selected.

1. Timing of vessel and cargo availability.

This risk is mitigated via a functional and project specific notification mechanism, which is acceptable to the client and Dockwise along with maintaining a feasible vessel planning.

2. Availability of services arranged by the client , on time and as per specification.

This risk is mitigated via explicit contract qualification and regular expediting by experienced Operations Management as part of work preparation.

3. Cargo lay-out as per drawing.

When drawings are incorrect, cargo protrusions may damage or even penetrate the deck of the vessel, causing damage, or even flooding and sinking of the vessel. This risk is mitigated by establishing and maintaining direct contact between the client and Dockwise's engineers to identify any such protrusions via diver inspections - prior to and during the loading process.

4. Reliability of significant weather data.

This risk is mitigated by close involvement of Dockwise's engineering departments during the entire project lifecycle from the commercial phase onwards. This may result in the selection of a longer, but safer voyage route.

5. Last minute expenses on procurements.

This introduces a commercial exposure for Dockwise as additional costs. These additional costs are not always covered under the contract with the client. This project and business risk is gradually reduced by the development and pro-active involvement of Dockwise's Procurement & Subcontracting Department.

Top-5 risks in category C projects

Projects with a Type C risk profile are in general multi-disciplinary offshore and onshore Transport & Installation projects with raised Dockwise exposure due to contractual liquidated damages and overall project management responsibilities. In addition to Type B risk management requirements, these projects are subject to a regime of full quantitative risk analysis. Quantitative risk modeling techniques have become an integrated part of Dockwise's cost estimation and project planning processes.

1. Health, safety and/or environmental incident.

The overall Health, Safety, Environmental and Security (HSES) risk is reduced by establishing a safety culture and by timely involving experienced HSES engineers from the commercial phase onwards, securing follow-up on Dockwise's internal HSES Management System as well as follow-up on Client specific requirements.

2. Qualification and contracting process.

In general, Dockwise is willing to accept increased responsibility and liability in category C transport management projects, however a general principle in the Company's contracting philosophy is that both the client and Dockwise should be held responsible for the risks for which either one is the most capable party to manage the risk and related technical and non-technical control measures. This risk for Dockwise is mitigated by introducing the Risk Register as an explicit part of the contracting process, to speed up contract negotiations and by involving skilled commercial and operational experts in the contracting process to explain a preferable risk split using best practices and other examples.

3. Cargo not available due to fabrication delays.

This risk is mitigated by maintaining a flexible but feasible notification mechanism between the client (and yard) and Dockwise.

4. Cargo exceeds load-out and/or transportation limits.

In general Dockwise mitigates this risk by establishing clear contractually defined interface responsibilities between the yard, the client and Dockwise and by regularly performing site visits and audits on fabricator's locations.

5. Spot market contracting and availability of qualified support spreads.

This risk is mitigated by maintaining a detailed overview and network of operators around the globe and by anticipating on cost overruns in Dockwise's internal quotations. Availability of qualified tugs is frequently a problem and sometimes remains a 'last minute surprise'. This risk is mitigated by maintaining an historic record of support spreads used in various operations and by (when possible) performing audits on a spread of support vessels.

The Project Board monitors quality and compliance with project risk management processes from the business acquisition phase onwards. As a result, the Project Board controls the overall risk level of the proposals and projects portfolio. When a project or vessel transit crosses security exposed regions, the Security Council is involved in bid/no-bid decision making in the commercial phase and becomes responsible for monitoring developing regional Security Conditions. Furthermore, it approves the technical and non-technical measures identified to mitigate the security risk exposure for crew and assets.

Top business and corporate risks

Business and corporate risk management is the process of early identification and follow-up on risks and opportunities emerging in economic or reputational terms from technical, commercial and general market developments (strategic) as well as from internal business processes (tactical).

Key risks for the Dockwise Group are related to possible non-compliance with local regulations and subsequent government litigation, the general ability to maintain all vessels in their respective Class (certified and properly outfitted for all sorts of operations), the above mentioned staff risk and the security threat for people and assets when working in security exposed regions (crime, piracy & terrorism).

Prospects and business results depend largely on developments in the Oil & Gas industry and the willingness and ability of Oil & Gas companies to invest in exploration and production of new Oil & Gas fields. This willingness and ability are driven by macroeconomics and geopolitical factors beyond the control of Dockwise. They are subject to business cycles and volatility. To mitigate the risk of operating in a cyclical Oil & Gas market, Dockwise aims to provide services that bridge different cycles in the Oil & Gas industry. The Company also provides services to other marine related industries and the Military, which also have their own cycles and macroeconomic dependencies.

1. Business is dependent on capital expenditures by Oil & Gas companies and general economic conditions. Dockwise business largely depends on the robustness of the Oil & Gas industry, on the ability of oil companies to fund the exploration and production of Oil & Gas fields, actual price levels and anticipated growths in global Oil & Gas demand. For non- energy related activities Dockwise depends on general economic conditions and trade amongst ports. Factors influencing this robustness are beyond Dockwise control, but may cause short term and long term material adverse effects on business and results of operations. This risk is reduced by actively exploring new markets, with focus on onshore civil works and special projects.

2. Dockwise operates in a maritime environment, which is subject to the forces of nature as well as environmental and climatological risks that could cause capsizing, grounding, sinking and loss of or damage to, or suspension of operations of Dockwise's vessels and could result in reduced levels of offshore activity.

3. Crime, piracy, terrorism and war could have a materially negative impact on business continuity. Dockwise operations are exposed to acts of crime, piracy, terrorism and war in regions characterized as 'war risk zones' by the Joint War Committee, but also in a number of other regions around the globe. As a Heavy Marine Transport company with slow- moving vessels, Dockwise is particularly vulnerable to these kind of activities. Employment of the vessels in 'war risk zones' could cause higher premiums payable for insurance coverage. To mitigate the Company's overall security risk, Dockwise established a Security Counsel and implemented a Security risk management process that forms an integrated part of project management from the commercial stage onwards. Generic and project specific security measures are implemented for each transit through - or loading & discharge operation inside a security exposed region.

4. Competition could either enter the market or expand existing capacity.

Dockwise could face additional supply of vessels in the Heavy Marine Transport industry that could materially adversely affect Dockwise's competitive position and the rates it can charge for its services.

5. One catastrophic or multiple, big safety events involving people and vessel assets.

Although Health Safety Environment and Security (HSES) management is a top priority for Dockwise management and employees, the nature of Dockwise's business means safety risks may occur. When multiple serious incidents would occur during a limited period of time, this would not only cause a direct impact on business continuity, but this would also have a strong impact on Dockwise's market reputation and the valuation of the Company by shareholders. To mitigate this risk, drills on HSES procedures, -work instructions and project specific HSES management plans are given first priority.

6. Failure to maintain one or multiple vessels 'in Class'.

This risk is mitigated by pro-actively investing in lifetime extension programs for part of the fleet and by pro-actively performing vessel audits and the planning of robust time windows for dockings as part of vessel portfolio planning.

7. Dockwise decided to build a Type 0 Vessel. This new vessel is designed to serve the absolute premium end of our Heavy Marine Transport (HMT) market. Risks identified are the relevant market demand, meeting the building schedule and cost overrun due to construction issues, which could have consequences in terms of having to convert another vessel in addition to the new build T-0.

8. Dockwise may fail to successfully expand both its Transportation & Installation of offshore structures and onshore modules business or to manage the risks associated with operating such businesses.

9. Non compliance by employees or subcontractors.

10. Implementation of environmental taxes or regulations but also of health, security and safety laws may increase the Company's taxation or other costs or limit the Company's ability to operate. This could relate to CO2 emission or new ballast water regulations. But also failure to obtain or maintain regulatory permissions or approvals or necessary waivers from such laws, regulations and standards.

Insurance

Dockwise maintains insurance policies to cover risks relating to damages to, or loss of, its heavy lift vessels and its equipment. Moreover, Dockwise insures many liabilities that may arise through the course of its normal business operations.

All vessels are insured under policies for damage and/or loss of the hull and machinery and for claims arising from collisions. Dockwise insures each vessel for at least its market value. Dockwise's basic war policy also covers the fleet for losses due to war and acts of terrorism, except when these vessels operate in excluded warzones, in which case additional war risk insurance is taken out. Those additional premiums are generally charged to Dockwise's customers.

Dockwise also maintains protection and indemnity policies for all vessels for third party claims arising from carriage of goods and for claims arising from the operation of owned and chartered vessels including injury or death to crew, passengers or others, for damage to property of third parties, for pollution arising from oil and other substances and salvage and other related costs. Dockwise does not accept liability with respect to cargoes it carries, nor consequential damages irrespective of their nature.

Dockwise maintains various other insurance policies to cover a number of other risks related to its business, including director and officer insurance, loss of income and professional liability insurance.

Risk Based Auditing

Internal and external audits are used to back up Dockwise's risk management processes. This includes an annual assessment of the risk management framework itself.

Foreign exchange and interest rate risk

SG&A related net cash flows in EUR (related to the office in Breda) are defined as economic risks that cannot realistically be hedged for their duration. In 2011 approximately 67% of EUR needs of some EUR 30 million will be bought on spot basis, the remaining 33% are hedged via forward contracts.

The Group adopts an interest rate policy of ensuring that at least 80 percent of its exposure to changes in interest rates on borrowings is on a fixed rate basis. This is achieved by entering into interest rate swaps. For more detailed information reference is made to note 26 in the Consolidated Financial Statements.

Corporate Governance

Dockwise is an exempted limited liability company organized under the laws of Bermuda. Dockwise is registered with the Bermuda Registrar of Companies under registration number 39466. Head office of the Company is in the Netherlands where Dockwise is registered in the trade register of the Dutch Chamber of Commerce under registration number 20161638.

Being listed in Norway at Oslo Stock Exchange as its primary venue of listing, Dockwise is subject to the Norwegian Code of Practice for Corporate Governance (Code of Practice). The Corporate Governance Policy of Dockwise is based on this Code of Practice and should ensure efficient management and control over the operations of the Dockwise Group of Companies. To create this efficient management and control, Dockwise developed **VALUES** and **PRINCIPLES** and improved systems for **INFORMATION**, **MONITORING** and **COMMUNICATION**. In addition the Company also applies **ACCOUNTABILITY** and **REMUNERATION** that enhance and maximize corporate profits, long term health, continuity and overall success of the business of the Dockwise Group. On the basis of “comply or explain” a paragraph by paragraph discussion of the principles of the Norwegian Code of Practice is included at the end of this chapter.

Values and Principles

In 2010 Dockwise redefined and revived its Values and Principles. The Values and Principles are principle based and management is leading by example. They pursue that all employees are aware of the Values and Principles and behave accordingly. Business partners are encouraged to live by them as well. The formulated Principles relate to:

- Sustainable and profitable business;
- Integrity and disclosure;
- Health safety environment and security;
- People;
- Fair competition;
- Compliance and reporting.

These Values and Principles are supported by a whistleblower policy offering employees at Dockwise an opportunity to express their concerns about suspected misconduct at Dockwise. Values and Principles are standardized in various policies such as an Insider Trading Policy, a Disclosure Policy and a Code of Conduct.

Information, Monitoring and Communication

The Dockwise framework for internal controls should ensure integrity of the financial reporting as well as compliance with rules and regulations. For this aim Dockwise started the NAVI (NAVigating into the future) project in 2009. The NAVI project has lead to more streamlined processes with an enhanced use of the ERP system. Hereby assurance should be provided that assets are safeguarded, that records properly reflect transactions necessary to permit preparation of financial statements, that procedures are carried out by qualified personnel and that published financial statements are properly prepared and do not contain any material misstatements. To support this a formal manual of authorities was introduced in 2010.

As part of the annual report process, management’s accountability for business controls is enforced through the formal issuance of Letters of Representation by management to the Board of Directors.

In the NAVI project during 2010 the primary processes and related procurement and financial processes within Dockwise have been re-arranged into five main processes. In the first Quarter of 2011, further documentation of most of these main processes will be finalized in the Dockwise management system.

General Meeting of Shareholders

The Annual General Meeting of Shareholders Dockwise shall be held once in every calendar year at such time and place as the Board of Directors shall appoint. The Board shall convene a Special General Meeting at the request of shareholders holding not less than 10% in nominal value of paid-up capital of Dockwise. At least 14 days clear notice of an Annual General Meeting shall be given to each shareholder.

Except as otherwise provided in the Bye-laws, the quorum at any General Meeting of Dockwise shall be constituted by one or more shareholders either present in person or represented by proxy, holding in aggregate shares carrying one third of the voting rights entitled to be exercised at such meeting.

Nomination Committee

In accordance with article 23.4 of the Bye-laws, Dockwise operates a Nomination Committee. This Committee was installed during the Annual General Meeting on 30 July 2007. The Nomination Committee assists the General Meeting of Dockwise in determining the composition and remuneration of the Board. The Nomination Committee is responsible for evaluating the balance of skills, knowledge and experience on the Board as well as the size, structure and composition of the Board, retirements and appointments of new members of the Board (whether as addition or replacements to the current composition) and will make appropriate recommendations to the Annual General Meeting of Shareholders on such matters. In addition, the Nomination Committee is responsible for making recommendations to the shareholders at the Annual General Meeting of Shareholders as to remuneration to be paid to Board members. The Nomination Committee is currently composed of two members: Wim van Vonno (chairman) and Adri Baan. The Nomination Committee had one meeting in 2010, which was attended by both members.

Board of Directors

Dockwise Ltd. is managed by a one-tier Board of Directors with responsibility for the overall management of the Company. The Directors are elected by the shareholders at the Annual General Meeting. The Nomination Committee ensures that proposals for appointment to the Annual General Meeting are made on an independent basis. The Board Profile in this respect are the terms of reference. At the end of 2010 the Board consisted of the following members:

Board member	Appointed	Reappointed
Mr. Adri Baan (1942), Chairman	2007	2010
Mr. André Goedée (1951), CEO	2007	2009
Mr. Tom Ehret (1952), Deputy Chairman	2007	2010
Mr. Danny McNease (1951)	2007	2009
Mr. Rutger van Slobbe (1952)	2007	2009
Mr. Jaap van Wiechen (1972)	2009	

During the year under review, Mr. Pietro Franco Tali (1949) resigned as a member of the Board of Directors. Of this six member Board of Directors, five members are non-executive. The majority of the Board members are independent of the Executive Management of the Company, of main business associates and of the main shareholders. The composition of the Board is in accordance with the Board Profile and with the Norwegian Corporate Governance Code. Members of the Board of Directors are appointed for a period of two years. The schedule of resignation is as follows:

Board member	2011	2012	2013	2014	2015
Adri Baan		*		*	
Tom Ehret		*		*	
André Goedée	*		*		*
Danny McNease	*		*		*
Rutger van Slobbe	*		*		*
Jaap van Wiechen	*	*		*	

The remuneration of the Board Members is determined by the General Meeting of Shareholders upon the recommendation of the Nomination Committee. No contracts have been entered into with any of the Board members entitling them to any benefits upon termination of their function as member of the Board. However, André Goedée is entitled to benefits upon termination of his function as Chief Executive Officer, see "Employment and Severance Agreements of Executive Management" below.

Board of Directors: Profiles



Adri Baan (born 1942), Chairman

Mr. Baan was first appointed on July 30, 2007. He held senior positions with and was a member of the board of directors of Royal Philips Electronics N.V. from 1984 to 2001. Furthermore, he was formerly an independent director of PSA Corporation Limited (Port of Singapore Authority) and PSA Europe Limited, a non-executive director of ICI plc, a non-executive director of International Power plc., a member of the supervisory board of ASM International N.V., Chairman of the supervisory board of the Authority for Financial Markets in the Netherlands, and a director of NPM Capital. He is currently the chairman of the supervisory board of Wolters Kluwer N.V. and Royal Volker Wessels Stevin N.V., member of the supervisory board of OCE N.V. and Imtech N.V., member of the board of the preference shares Foundation ASML N.V., chairman of

the Trust Office of KAS Bank N.V. and senior advisor of Warburg Pincus, UK. He is also a member of the supervisory board of the University of Amsterdam and the Amsterdam Medical Center. Mr. Baan has a master's degree in Physics from the University of Amsterdam. He is a Dutch citizen and resides in the Netherlands.



Tom Ehret (born 1952), Member and Deputy Chairman

Mr. Ehret was first appointed to the Board of Directors on October 15, 2007. He retired as chief executive officer of Acergy SA (formerly Stolt Offshore SA) in April 2008. Mr. Ehret has been active in the offshore oil and gas business for over 30 years, and has held a variety of positions, both technical and commercial, working with Comex SA, FMC Corporation, Coflexip Stena Offshore and Technip S.A. He has managed companies for over 20 years. Mr. Ehret has been trained as a mechanical engineer, and started working as a Research and development engineer before moving into project management. In addition to the Issuer, Mr. Ehret currently holds the following directorships: SBM Offshore N.V. (supervisory board), Acergy SA (until the 7/1/2011), Green Holdings Corporation and Comex SA. He is also an operating partner with Advent International

Inc. Mr. Ehret is a French citizen and resides in France.



André Goedée (born 1951), Director and Chief Executive Officer (CEO)

Mr. Goedée has held the position as CEO of the Company since 2003 and was first appointed to the Board of Directors on May 4, 2007. Mr. Goedée has 41 years of experience with the shipping, drilling and heavy marine transport industries. He spent eight years with Nedlloyd Lines and twelve years with Neddrill Drilling Contractors. He graduated from Rijnlands Lyceum, Wassenaar and Merchant Marine College, Scheveningen. He holds a degree as Master Mariner and has served as the executive vice president of the Heerema Group. Prior to being appointed CEO of the Company in 2003, he served as chief executive officer of the European speciality staffing division of Vedior, a global staffing organization. Mr. Goedée is a Dutch citizen and resides in the Netherlands


Danny McNease (born 1951), Member

Mr. McNease was first appointed to the Board of Directors on October 15, 2007. He retired at the end of 2008 from Rowan Companies Inc., an international offshore and land drilling contractor, after more than 30 years with the company. Mr. McNease is a graduate of the University of Southern Mississippi and the Columbia University Executive Program. He has served in the Drilling Division of Rowan Companies Inc. as a barge engineer, driller, rig Superintendent and manager both in the United States and abroad before moving into executive Management positions. Mr. McNease is chairman of the board of Axon Energy Products and is advisor to HitecVision AS. Mr. McNease is a United States citizen and resides in the United States.


Rutger van Slobbe (born 1952), Member

Mr. Van Slobbe was first appointed to the Board of Directors on July 13, 2007. He has been active in the container transport business since he joined Nedlloyd Lines in 1982. After serving in various operational and executive positions, Mr. Van Slobbe was appointed as executive director of P&O Nedlloyd in 1997. He stepped down as Member of the executive board of directors after the acquisition and delisting of P&O Nedlloyd by Maersk Sealand in 2005. Mr. Van Slobbe holds various additional positions, including member of the supervisory board of directors of the Port of Rotterdam N.V., member of the supervisory board of directors of the Royal Netherlands Sea Rescue Institution (KNRM), chairman of the supervisory board of directors of Cargonaut B.V., member of the supervisory board of directors of Shipping and Transport College (STC) Rotterdam and co-owner of Oxalis Coöperatie U.A. Mr. Van Slobbe is a Dutch citizen and resides in the Netherlands.


Jaap van Wiechen (born 1972), Member

Mr. Van Wiechen was first appointed on November 4, 2009 and started on 1 December 2009. He has been active in the investment industry since he joined HAL Investments B.V. in 1997. Within HAL, Mr. Van Wiechen is responsible for the following HAL-portfolio companies where he also acts as a member of the supervisory board of directors and audit committees: Mercurius Groep B.V., N.V. Nationale Borgmaatschappij, FD Mediagroep B.V. and InVesting B.V. Next to these board positions, Mr. Van Wiechen is a member of the board of Stichting Pensioenfonds HAL. Mr. Van Wiechen is a Dutch citizen and resides in the Netherlands.

In order to assure a more independent consideration of matters of a material character the Board of Directors operates the following committees:

Audit Committee

The Audit Committee assists the Board of Directors in financial reporting, external and internal audits and controls, including preparation and reviewing of Dockwise's annual consolidated financial statements, reviewing and monitoring the extent of the non-audit work undertaken by external auditors, advising on the appointment of external auditors and reviewing the effectiveness of Dockwise's internal controls and risk management systems. The ultimate responsibility for reviewing and approving Dockwise's Annual Report and accounts and the half-yearly reports remains with the Board of Directors.

The Audit Committee is composed of three members of the Board of Directors who are independent of the Management:



Jaap van Wiechen (Chairman), Rutger van Slobbe and Adri Baan. The Audit Committee had six meetings and eight conference calls in 2010, four of which meetings were attended by Dockwise's auditor to discuss amongst others 2009 annual accounts, 2010 interim accounts and planning of the 2010 audit. All the meetings were attended by the Chief Financial Officer of Dockwise.

Remuneration Committee

The Remuneration Committee assists the Board of Directors in determining its responsibilities in relation to remuneration, including making recommendations to the Board on the remuneration of the Chief Executive Officer, the Chief Commercial Officer, the Chief Operating Officer and the Chief Financial Officer of the Company and establishing guidelines for the remuneration of the other senior managers of the Company. The Remuneration Committee is composed of two members of the Board of Directors who are independent of the Management:



Rutger van Slobbe (Chairman) and Adri Baan. The Remuneration Committee had two meetings in 2010 that both were attended by the Chief Executive Officer of Dockwise.

Project Committee

The Project Committee assists the Board of Directors in reviewing projects with a value larger than USD 25 million. The projects are presented to the Project Committee on a case-by-case basis and the Project Committee will give its recommendations to the Board of Directors. The ultimate responsibility for approving contracts with a value over USD 25 million remains with the Board of Directors. The Project Committee is composed of two members of the Board of Directors who are independent of the Management:



Tom Ehret (Chairman) and Adri Baan. The Project Committee had two meetings in 2010 that both were attended by the Chief Commercial Officer of Dockwise.

Executive Management

In addition to the Board of Directors, the following Executive Managers have been delegated the day-to-day business activities and decisions by the Board of Directors.

Executive manager	Appointed	Position
Mr. André Goedée (1951)	2003	Chief Executive Officer
Mr. Martin Adler (1965)	2008	Chief Commercial Officer
Mr. Rob Strijland (1949)	2008	Chief Operating Officer
Mr. Peter Wit (1967)	2009	Chief Financial Officer

Executive Management: Profiles



**André Goedée (born 1951),
Chief Executive Officer (CEO)**

Mr. Goedée has held the position as CEO of the Company since 2003 and was first appointed to the Board of Directors on May 4, 2007. Mr. Goedée has 41 years of experience with the shipping, drilling and heavy marine transport industries. He spent eight years with Nedlloyd Lines and twelve years with Neddrill Drilling Contractors. He graduated from Rijnlands Lyceum, Wassenaar and Merchant Marine College, Scheveningen. He holds a degree as Master Mariner and has served as the executive vice president of the Heerema Group. Prior to being appointed CEO of the Company in 2003, he served as chief executive officer of the European speciality staffing division of Vedor, a global staffing organization. Mr. Goedée is a Dutch citizen and resides in the Netherlands



**Peter Wit (born 1967),
Chief Financial Officer (CFO)**

Mr. Wit joined Dockwise as Chief Financial Officer in 2009. He has a Master's Degree in Business Administration from Groningen University and a (post doctorate) Degree in Controlling from VU Amsterdam. Mr. Wit leads the Company's global Finance, Legal and Information Technology Departments. Before joining Dockwise, Mr. Wit was employed by Shell where he served as Chief Operations Officer and Finance Manager of Shell's Asset Management Company and VP Finance for Shell's Solar business. He also worked as the Head of Finance for Shell's Albanian oil exploration venture. Mr. Wit is a Dutch citizen and resides in the Netherlands.



**Martin Adler (born 1965),
Chief Commercial Officer (CCO)**

Mr. Adler has served as Chief Commercial Officer for Dockwise since May 2008 and is responsible for the Company's global sales and marketing activities. Mr. Adler also oversees the Company's international offices in Houston, Rio de Janeiro, Busan, Shanghai, Singapore, Perth and Moscow. Prior to assuming his current role, Mr. Adler held positions as Senior Vice President for the Shaw Group (Stone & Webster) and various senior management positions at Fluor.

Mr. Adler has gained extensive operational and project management experience in both home office engineering and site construction across a variety of industries. Mr. Adler holds a Master's Degree from Delft University of Technology. He completed the International

Master of Business Administration program (MBA) at the Erasmus University Rotterdam. Mr. Adler is a Dutch citizen and resides in the Netherlands.



**Rob Strijland (born 1949),
Chief Operating Officer (COO)**

Mr. Strijland was appointed as Chief Operational Officer in March, 2008. Prior to this appointment, he was employed by Royal Wagenborg Group where he held the position of Director of Fleet Management. Mr. Strijland's previous experience includes Senior Management positions with Allocean Maritime (UK), Hanson Aggregates (UK), Amsterdam Schipdock and ITC Towage & Salvage. Mr. Strijland studied Marine Engineering and Naval Architecture. Mr. Strijland is a Dutch citizen and resides in the Netherlands.

Remuneration policy

The remuneration of the Board of Directors is determined from time to time by the shareholders in their Annual General Meeting. For 2010 the annual remuneration for Board membership was USD 79,000 increased by USD 7,000 for each Board Committee Chairmanship a Board member is fulfilling. The remuneration for Chairmanship of the Board of Directors was USD 132,000. Each Board member is compensated for travel, hotel and incidental expenses. André Goedée does not receive compensation for serving on the Board of Directors.

No contracts have been entered into with any of the Directors entitling them to any benefits upon termination of their function as a Director. However André Goedée is entitled to termination benefits upon termination of his function as Chief Executive Officer.

Executive Management

The remuneration policy for management should ensure that Dockwise:

- Provides competitive rewards that attract, retain and motivate executives of the highest caliber;
- Sets demanding levels of performance that support the company's core values;
- Structures remuneration at a level that reflects the executive's duties and accountabilities and is competitive within The Netherlands and, for certain roles, internationally;
- Benchmarks remuneration against appropriate comparison groups at the 50th percentile up to the 70th percentile in exceptional cases;
- Aligns executive incentive rewards with the creation of value for shareholders;
- Complies with applicable legal requirements and appropriate standards of governance.

Unless otherwise terminated the employment agreement of each executive manager terminates on the first day of the month in which the senior manager reaches the age of 65. In the event of earlier termination of his employment agreement, the executive manager is subject to a non- competitive and non- solicitation provision applicable for 12 months after the date of termination. All employment agreements of executive managers contain a severance arrangement and most of the agreements contain a change of control agreement.

Next to fixed base salaries, other benefits and pension premiums, executive management (and certain key employees) is incentivized through a long term incentive plan (LTIP) as approved during the Annual General Meeting of Shareholders in 2010. This long term incentive plan to a certain extent replaces the Economic Value Added (EVA) bonus system that Dockwise has in place for all its employees. EVA is hereby calculated as the difference between net operating profit and weighted average cost of capital. It reflects the delta EVA compared to the previous year. Apart from financial criteria, the EVA plan includes an appraisal of the individual performance against annually set individual targets. For the participants to the LTIP, the annual percentage under the EVA plan is maximized at 150% of the target incentive paid in cash and resulting from the EVA performance over the previous book year. Under the LTIP the Board has the discretionary power to award conditional shares with a vesting period of three years subject to continued employment and certain performance conditions to executive management and certain key employees. Part of the performance criteria is the performance on Total Shareholder Return (TSR) of Dockwise compared to a defined peer group. After the first year, this performance on TSR for Dockwise and its peers was as indicated in the table below. The grant of conditional shares varies between 10% of base salary for key employees and up to 60% of base salary for executive managers.

Name	Currency	Price	Market Value (m)	- 3 Month % Change	- 1 Yr % Change	BETA ¹ (Vs. Peers)	BETA ² (Vs. Total Market)	DY 2010E ⁴	TSR ⁵
Dockwise (AEX)	€	19.55	321	9%	(7%)	NA	NA	NA	NA
Dockwise (Oslo)	NK	157.00	1,397	9%	(11%)	0.5	1.0	-	(11%)
Subsea 7	NK	143.00	27,878	32%	56%	1.0	1.2	0.9%	59%
Aker Solutions	NK	99.25	27,195	16%	32%	0.9	1.1	2.4%	35%
Petrofac	£	1587.00	5,487	16%	65%	0.7	1.1	1.8%	68%
Saipem	€	36.84	16,256	25%	53%	0.9	1.1	1.6%	56%
SBM Offshore	€	16.77	2,810	21%	22%	0.8	0.7	3.0%	26%
Technip	€	69.10	7,556	17%	40%	1.0	1.3	2.0%	43%
Technicas Reunidas	€	47.82	2,661	22%	19%	0.8	1.0	2.6%	22%
Wood Groep	£	559.00	2,964	28%	81%	0.9	1.3	1.1%	84%
McDermott	U\$	20.69	4,830	40%	67%	1.6	1.7	-	67%
Fluor	U\$	66.26	11,847	34%	47%	1.1	1.2	0.8%	49%
Foster Wheeler	U\$	34.52	4,294	41%	17%	1.7	1.8	-	17%
Worley Parsons	A\$	26.74	6,420	20%	(8%)	1.0	1.7	2.9%	(5%)
Helix	U\$	12.14	1,280	9%	3%	2.3	2.1	-	3%
Peer Average ³				25%	38%	1.13	1.34	1.9%	

¹ 2 year Beta using weekly intervals regressed against an index comprised of Dockwise and its peers.

² Beta is calculated against total domestic market

³ Average excludes Dockwise AEX and Oslo entities

⁴ All Estimates are an analyst consensus taken from IBES and are denominated in USD

⁵ TSR is shareholder return over the last 12 months

At the end of 2010 Board members and members of Executive Management held the following number of vested and unvested shares under different ownership, retention and performance plans:

Number of shares	Full (vested) ownership	2008	2009	2009 ³	2010 ⁴	Total
Adri Baan	1,884					1,844
André Goedée	138,600			15,018	9,429	163,047
Martin Adler		10,027 ¹	10,172 ¹	11,091	5,803	37,093
Peter Wit			24,633 ²	11,553	6,044	42,230

For all unvested shares a vesting condition of 3 years continued employment is applicable and for the unvested shares 2010 additional performance criteria are set.

¹ May 2008 and February 2009 respectively

² September 2009

³ November 2009

⁴ January 2010

For pensions of its employees, Dockwise makes contributions to two defined benefit plans that provide pension benefits upon retirement. Dockwise's pension obligations are insured.

Norwegian Code of Practice

Being a Bermuda Limited, Dockwise is not subject to Dutch Corporate Governance Code. In accordance with the rules of the Oslo Stock Exchange, the venue of the primary listing, Dockwise is subordinated to the Norwegian Code of Practice to the articles of which Dockwise complies as follows:

Principle set forth in the Norwegian code of practice

Dockwise implementation

1. Implementation and reporting on corporate governance code

The board of directors must ensure that the company implements sound corporate governance. The board of directors must provide a report on the company's corporate governance in the annual report. The report must cover every section of the Code of Practice. If the company does not fully comply with this Code of Practice, this must be explained in the report. The board of directors should define the company's basic corporate values and formulate ethical guidelines and guidelines for social responsibility in accordance with these values.

Dockwise is committed to good corporate governance and has therefore among others adopted a Corporate Governance policy and Rules of Procedure for the Board of Directors. Dockwise applies the Norwegian Code of Practice as amended last at 21 October 2010. Business ethics and corporate values are included in the Company's values and principles

2. Business

The company's business should be clearly defined in its articles of association. The company should have clear objectives and strategies for its business within the scope of the definition of its business in its articles of association. The annual report should include the business activities clause from the articles of association and describe the company's objectives and principal strategies.

The object of the business of the Dockwise Group is defined in the Company's memorandum of association and the [Company profile](#) of this annual report provides a further description of the business activities, the objectives and strategy of the Company.

3. Equity and dividends

The company should have an equity capital at a level appropriate to its objectives, strategy and risk profile. The board of directors should establish clear and predictable dividend policy as the basis for the proposals on dividend payments that it makes to the general meeting. The dividend policy should be disclosed.

Dockwise targets an optimal level of equity related to net debt and earnings potential. At the end of 2010, the equity / net debt level of almost 2 and the net debt / EBITDA ratio of 2.6 was considered by the Board to be an adequate ratio with respect to the risks and the scope of the operations.

Mandates granted to the board of directors to increase the company's share capital should be restricted to defined purposes. If the general meeting is to consider mandates to the board of directors for the issue of shares for different purposes, each mandate should be considered separately by the meeting. Mandates granted to the board should be limited in time to no later than the date of the next annual general meeting. This should also apply to mandates granted to the board for the company to purchase its own shares.

In 2010 the Annual General Meeting of shareholders approved a dividend policy which is included in this annual report and published on the Company's website.

Separate mandates for different purposes to the Board to issue shares are requested annually for a period of 1 year or the next Annual General Meeting of shareholders whichever is earlier. So far this mandate was never exercised.

Principle set forth in the Norwegian code of practice

Dockwise implementation

4. Equal treatment of shareholders and transactions with close associates

The company should only have one class of shares. Any decision to waive the pre-emption rights of existing shareholders to subscribe for shares in the event of an increase in share capital must be justified. Where the board of directors resolves to carry out an increase in share capital and waive the pre-emption rights of existing shareholders on the basis of a mandate granted to the board, the justification must be publicly disclosed in a stock exchange announcement issued in connection with the increase in share capital. Any transaction the Company carries out in its own shares should be carried out either through the stock exchange rate or at prevailing stock exchange prices if carried out in any other way. If there is limited liquidity in the Company's shares, the Company should consider other ways to ensure equal treatment of all shareholders. In the event of any not immaterial transactions between the Company and shareholders a shareholder's parent company, members of the board of directors, executive personnel or close associates of any such parties, the board should arrange for a valuation to be obtained from an independent third party. This will not apply if the transaction requires the approval of the general meeting pursuant to the requirements of the Public Companies Act. Independent valuations should be arranged in respect of transactions between companies in the same group where any of the companies involved have minority shareholders.

The company should operate guidelines to ensure that members of the board of directors and executive personnel notify the board if they have any material direct or indirect interest in any transaction entered into by the company.

There is only one class of shares in Dockwise. In case of an increase in share capital any waiver of pre-emptive rights will be justified. The interests of all shareholders will be taken into account and all shareholders will be treated fairly.

As set forth in the Corporate Governance Policy of Dockwise any material transactions between Dockwise and any of the Dockwise shareholders, Board members or senior management or close associates of such persons, will be subject to a valuation from an independent third party. As a general rule, a transaction will be considered material if it exceeds 5% of the issued share capital of the Company.

Rules and procedures for notification to the Board by Directors and senior management in case of any material direct or indirect interest in any transaction entered into by Dockwise are set forth in the Corporate Governance Policy, the Bye-laws and the Bermuda Companies Act.

5. Freely negotiable shares

The company's shares must, in principle, be freely negotiable. Therefore, no form of restriction on negotiability should be included in a company's articles of association.

The shares in Dockwise are in general freely transferable. However the Bye-laws of Dockwise provide that the Board may decline to register the transfer of any share in the register of shareholders, or if required, refuse to direct any registrar appointed by Dockwise to register the transfer of any interest in a share where such transfer would result in 50% or more of the shares or votes being held, controlled or owned directly or indirectly by individuals or legal persons resident for tax purposes in Norway or, alternatively, such shares or votes being effectively connected to a Norwegian business activity, in order to avoid the Company being deemed a Controlled Foreign Company (CFC) pursuant to Norwegian tax rules. The right will only be used for the purpose of avoiding CFC taxation, and not in any way to treat investors differently.

The slight deviation from section 5 of the Code of Practice is justified in the best interest of the shareholders

6. General Meetings

The board of directors should take steps to ensure that as many shareholders as possible may exercise their rights by participating in general meetings of the company, and that general meetings are an effective forum for the views of shareholders and the board. Such steps should include:

- Making the notice calling the meeting and the support information on the resolutions to be considered at the general meeting, including the recommendations of the nomination committee, available on the company's website no later than 21 days prior to the date of the general meeting.
- Ensuring that the resolutions and supporting information distributed are sufficiently detailed and comprehensive to allow shareholders to form a view on all matters to be considered at the meeting.
- Setting any deadline for shareholders to give notice of their intention to attend the meeting as close to the date of the meeting as possible.
- The board of directors and the person chairing the meeting making appropriate arrangements for the general meeting to vote separately on each candidate nominated for election to the company's corporate bodies.
- Ensuring that the members of the board of directors and the nomination committee and the auditor are present at the general meeting.
- Making arrangements to ensure an independent chairman for the general meeting.

The annual general meeting of Dockwise will be held each year prior to the end of June. Any shareholder or group of shareholders representing not less than 10% of the current issued and outstanding share capital of Dockwise may require that the Board convenes an extraordinary general meeting. Pursuant to the Corporate Governance Policy of Dockwise the Board shall send notices of general meetings no later than 21 days prior to the meeting and will observe that the notice and any supporting material, such as the agenda, recommendations of the Nomination Committee and other documents are sufficiently detailed and comprehensive. Notices of general meetings and the supporting material are made available on the Company's website on the same day as said information is sent to the shareholders.

Shareholders who are unable to attend may vote by proxy. A proxy form will be attached to the notice of the general meeting.

The general meeting is chaired by the chairman or the deputy chairman of the board (Bye-law 20.8). Members of the Board, the Nomination Committee and the auditor are present at the annual general meeting.

Minutes of the meeting are published on the corporate website and through the notification system of Oslo Børs. The minutes are kept available for inspection in the company's offices in Bermuda and Breda.

Shareholders who cannot attend the meeting in person should be given the opportunity to vote. The company should:

- Provide information on the procedure for representation at the meeting through a proxy.
- Nominate a person who will be available to vote on behalf of shareholders as their proxy.
- To the extent possible prepare a form for the appointment of a proxy, which allows separate voting instructions to be given for each matter to be considered by the meeting and for each of the candidates nominated for election.

Principle set forth in the Norwegian code of practice

Dockwise implementation

7.Nomination committee

The company should have a nomination committee, and the general meeting should elect the chairperson and members of the nomination committee and should determine the committee's remuneration. The nomination committee should be laid down in the company's articles of association. The general meeting should stipulate guidelines for the duties of the nomination committee.

The members of the nomination committee should be selected to take into account the interests of shareholders in general. The majority of the committee should be independent of the board of directors and the executive personnel. At least one member of the nomination committee should not be a member of the corporate assembly, committee of representatives or the board. No more than one member of the nomination committee should be a member of the board of directors, and any such member should not offer himself for re-election to the board. The nomination committee should not include the company's chief executive or any other executive personnel. The nomination committee's duties are to propose candidates for election to the corporate assembly and the board of directors and to propose the fees to be paid to members of these bodies. The nomination committee should justify its recommendations. The company should provide information on the membership of the committee and any deadlines for submitting proposals to the committee.

Dockwise operates a Nomination Committee appointed by the general meeting, see Bye-law 23.4. The Nomination Committee consists of two members of which one is a Board member. Although the Chairman of the Nomination Committee, not being the Board member, has a casting vote, Dockwise is not in compliance with section 7 of the Code of Practice, which states that a majority of the committee should be independent to the Board of Directors. Further guidelines for the work of the Nomination Committee are set forth in the Corporate Governance Policy of Dockwise.

Dockwise deviates from section 7 of the Code of Practice by operating a Nomination Committee of 2 members of which an independent chairman

8. Corporate assembly and board of directors: composition and independence

The composition of the corporate assembly should be determined with a view to ensuring that it represents a broad cross-section of the company's shareholders. The composition of the board of directors should ensure that the board can attend to the common interest of all shareholders and meets the company's need for expertise, capacity and diversity. Attention should be paid to ensuring that the board can function effectively as a collegiate body. The composition of the board of directors should ensure that it can operate independently of any special interest. The majority of the shareholder-elected members of the board should be independent of the company's executive personnel and material business contacts. At least two of the members of the board elected by shareholders should be independent of the company's main shareholder(s). The board of directors should not include executive personnel. If the board does include executive personnel, the company should provide an explanation for this and implement consequential adjustments to the organizations of the work of the board, including the use of board committees to help ensure more independent preparation of matters for discussion by the board, cf. Section 9. The chairman of the board of directors should be elected by the general meeting so long as the Public Companies Act does not require that the chairman must be appointed either by the corporate assembly or by the board of directors as a consequence of an agreement that the company shall not have a corporate assembly. The term of office for members of the board of directors should not be longer than two years at a time. The annual report should provide information to illustrate the expertise of the members of the board of directors, and information on their record of attendance at board meetings. In addition, the annual report should identify which members are considered to be independent. Members of the board of directors should be encouraged to own shares in the company.

Dockwise does not have a corporate assembly as this is not a corporate body under the Bermuda Companies Act.

The Board of Directors has collective responsibility for the success of the Company. The Board of Directors presently consists of 6 persons, the majority of which is independent from the Executive Management and material business contacts (see [Board of Directors profiles](#)). The requirement as to independence from the company's main shareholders (owning more than 10% of the shares) is also fulfilled.

The Chief Executive Officer is a member of the Board of Directors. He may not be elected Chairman. The appointment of the Chief Executive Officer to the Board is considered to enhance continuity, the flow of information and interactions between the Board and the management. In order to strengthen and ensure adequate procedures regarding certain matters as described above under item 4 "Board Committees", Dockwise operates an Audit Committee, a Remuneration Committee and a Project Committee consisting solely of persons being independent of the management.

Directors are elected by the general meeting. The general meeting also elects the Chairman of the Board, not being the Chief Executive Officer. The general meeting may, in accordance with Bermuda Companies Act, authorize the Board to fill any vacancy in their number left unfilled at a general meeting. Pursuant to the Bye-laws, Directors shall hold office for a period of two years unless otherwise resolved by the general meeting.

The deviation from section 8 of the Code of Practice is intended to enhance continuity, the flow of information and interactions between the Board and the company's management.

9. The work of the board of directors

The board of directors should produce an annual plan for its work, with particular emphasis on objectives, strategy and implementation. The board of directors should issue instructions for its own work as well as for the executive management with particular emphasis on clear internal allocation of responsibilities and duties. In order to ensure a more independent consideration of matters of a material character in which the chairman of the board is, or has been, personally involved, the board's consideration of such matters should be chaired by some other member of the board. The Public Companies Act stipulates that large companies must have an audit committee. The entire board of directors should not act as the company's audit committee. Smaller companies should give consideration to establishing an audit committee. In addition to the legal requirements on the composition of the audit committee etc., the majority of the members of the committee should be independent. The board of directors should also consider appointing a remuneration committee in order to help ensure thorough and independent preparation of matters relating to compensation paid to the executive personnel. Membership of such a committee should be restricted to members of the board who are independent of the company's executive personnel. The board of directors should provide details in the annual report of any board committees appointed. The board of directors should evaluate its performance and expertise annually.

Provisions on the role, the proceedings and confidentiality obligations of the Board as well as division of responsibilities are set forth in the Rules of Procedure for the Board of Directors. Pursuant to these procedures the Board shall annually prepare plans and evaluate performance and achievement.

In order to ensure that the preparation of Board matters relating to financial reporting and remuneration is dealt with in an appropriate manner, Dockwise operates an Audit Committee, a Remuneration Committee and a Project Committee, all consisting solely of Directors being independent of the management.

Principle set forth in the Norwegian code of practice

Dockwise implementation

10. Risk management and internal control

The board of directors must ensure that the company has sound internal control and systems for risk management that are appropriate in relation to the extent and nature of the company's activities. Internal control and the systems should also encompass the company's corporate values, ethical guidelines and guidelines for corporate social responsibilities.

The board of directors should carry out an annual review of the company's most important areas of exposure to risk and its internal control arrangements.

The board of directors should provide an account in the annual report of the main features of the company's internal control and risk management systems as they relate to the company's financial reporting.

The obligations with regard to internal control and systems for risk management are further described in the Corporate Governance Policy and Rules of Procedure for the Board of Directors. Such matters are subject to annual review by the Audit Committee. Please refer to section "Risk

management" in this annual report. The Chief Financial Officer shall give balanced presentations to the Audit Committee at least once per year on all risks of material significance and on how the internal control system handles these risks. In its annual review of risks and control procedures, the Audit Committee focuses on:

- changes from previous year's reports;
- extent and quality of management procedures for monitoring risks and internal control systems;
- extent and frequency of management reporting and quality thereof;
- material shortcomings or weaknesses that could impact financial results or standing; and
- Functionality of reporting procedures.

The Board is updated on the financial situation of the company in each Board meeting (bi-monthly) and receives monthly Board reports on the financial situation. Board members have free access to executives, employees and books and records of the company.

11. Remuneration of the board of directors

The remuneration of the board of directors should reflect the board's responsibility, expertise, time commitment and the complexity of the company's activities. The remuneration of the board of directors should not be linked to the company's performance. The company should not grant share options to members of its board. Members of the board of directors and/or companies with which they are associated should not take on specific assignments for the company in addition to their appointment as a member of the board. If they do nonetheless take on such assignments this should be disclosed to the full board. The remuneration for such additional duties should be approved by the board. Any remuneration in addition to normal directors' fees should be specifically identified in the annual report.

The remuneration of the members of the Board is determined by the general meeting upon recommendation of the Nomination Committee. The annual remuneration of the individual Board members is disclosed in the annual report. Dockwise has implemented a policy in respect of remuneration of its Board members.

The Chief Executive Officer, also being a member of the Board of Directors, received only in his capacity as executive member unvested shares in Dockwise Ltd.

12. Remuneration of executive personnel

The board of directors is required by law to prepare guidelines for the remuneration of the executive personnel. These guidelines are communicated to the annual general meeting. The guidelines for the remuneration of the executive personnel should set out the main principles applied in determining the salary and other remuneration of the executive personnel. The guidelines should help to ensure convergence of the financial interests of the executive personnel and the shareholders. Performance-related remuneration of the executive personnel in the form of share options, bonus programmes or the like should be linked to value creation for shareholders or the company's earnings performance over time. Such arrangements, including share option arrangements, should incentivise performance and be based on quantifiable factors over which the employee in question can have influence. Performance related remuneration should be subject to an absolute limit.

The Board determines the remuneration of the executive committee members upon recommendation for such remuneration by the Remuneration Committee. The Board establishes guidelines for the remuneration of senior management of the Company upon recommendation for such guidelines by the Remuneration Committee. Both the management's remuneration and said guidelines will be communicated to the annual general meeting.

The incentive scheme of Dockwise may include share-options if approved by the general meeting. In such case the Board is authorized to grant share-options under such scheme and report on an annual basis to the general meeting if and how many share-options have been granted.

No share-options will be granted to Board members, although such share-options may be granted to the Chief Executive Officer also if he is a Board member.

Principle set forth in the Norwegian code of practice

Dockwise implementation

13. Information and communications

The board of directors should establish guidelines for the company's reporting of financial and other information based on openness and taking into account the requirement for equal treatment of participants in the securities market. The company should publish an overview each year of the dates for major events such as its annual general meeting, publication of interim reports, public presentations, dividend payment date if appropriate, etc.

All information distributed to the company's shareholders should be published on the company's web site at the same time as it is sent to shareholders.

The board of directors should establish guidelines for the company's contact with shareholders other than through general meetings.

Annual reports, interim results, quarterly results, press releases, stock exchange notifications, investor presentations and other possible price sensitive information will be timely and accurately distributed to shareholders and other subscribers through the Oslo Børs Distribution Network. Simultaneously this information is made available on the Company's website. On a yearly basis, the Company publishes a financial calendar and an overview of releases in the past calendar year. All releases are archived on the Company's website. The Company adopted a disclosure policy which is available on the Company's website. Guidelines for contact with shareholders other than through general meetings are set forth in the Corporate Governance Policy of Dockwise.

14. Take-overs

The board of directors should establish guiding principles for how it will act in the event of a take-over bid.

In a bid situation, the company's board of directors and management have an independent responsibility to help ensure that shareholders are treated equally, and that the company's business activities are not disrupted unnecessarily. The board has a particular responsibility to ensure that shareholders are given sufficient information and time to form a view of the offer.

The board of directors should not seek to hinder or obstruct take-over bids for the company's activities or shares unless there are particular reasons for this.

In the event of a take-over bid for the company's shares, the company's board of directors should not exercise mandates or pass any resolution with the intention of obstructing the take-over bid unless this is approved by the general meeting following announcement of the bid.

If an offer is made for a company's shares, the company's board of directors should issue a statement making a recommendation as to whether shareholders should or should not accept the offer. If the board finds itself unable to give a recommendation to shareholders on whether or not to accept the offer. The board's statement on the offer should make it clear whether the views expressed are unanimous, and if this is not the case it should explain the basis on which specific members of the board have excluded themselves from the board's statement. The board should arrange a valuation from an independent expert. The valuation should include an explanation, and should be made public no later than at the time of the public disclosure of the board's statement.

Any transaction that is in effect a disposal of the company's activities should be decided by a general meeting, except in cases where such decisions are required by law to be decided by the corporate assembly.

Guiding principles on how the Board will act in case of a take-over bid are set forth in the Corporate Governance Policy of Dockwise, in which the further recommendations of the Code of Practice are implemented. In the case of a take-over bid, the members of the Board will follow the recommendations in the Code of Practice and use their best effort to ensure that all the shareholders of the company are treated equally.

15. Auditor

The auditor should submit the main features of the plan for the audit of the company to the audit committee annually. The auditor should participate in meetings of the board of directors that deal with the annual accounts. At these meetings the auditor should review any material changes in the company's accounting principles, comment on any material estimated accounting figures and report all material matters on which there has been disagreement between the auditor and the executive management of the company.

The auditor should at least once a year present to the audit committee a review of the company's internal control procedures, including identified weaknesses and proposals for improvement.

The board of directors should hold a meeting with the auditor at least once a year at which neither the chief executive nor any other member of the executive management is present.

The board of directors should establish guidelines in respect of the use of the auditor by the company's executive management for services other than the audit.

The board of directors must report the remuneration paid to the auditor at the annual general meeting, including details of the fee paid for audit work and any fees paid for other specific assignments.

The Corporate Governance Policy and the Rules of Procedure of the Board of Directors of Dockwise provide that Dockwise's auditor shall be present at Board meetings when necessary for evaluation of the Company's financial status and in any event at least once annually in connection with approval and signing of the annual report.

At these meetings, the auditor reviews any material changes in the company's accounting principles, comments on estimated figures of material importance and reports all material matters on which there has been disagreement between the auditor and the management of the company.

These meetings are also attended by the Chief Executive Officer, in his capacity as member of the Board of Directors.

Financial Statements 2010

Consolidated Financial Statements 2010	70
Company Financial Statements 2010	123
Other Information	134

Consolidated Financial Statements 2010

Consolidated Income Statement for the Year ended 31 December 2010	71
Consolidated Statement of Comprehensive Income for the Year ended 31 December 2010	72
Consolidated Balance Sheet as at 31 December 2010	73
Consolidated Statement of changes in Equity	75
Consolidated Statement of Cash Flows	77
Notes to the Consolidated Financial Statements	79

Consolidated Income Statement

Note For the Year ended 31 December 2010			
<i>(x USD 1,000)</i>			
		2010	2009
<u>6</u>	Revenue	439,127	478,041
<u>7</u>	Direct costs	(314,297)	(315,144)
	Gross profit	124,830	162,897
<u>8</u>	Other income	115	3,410
<u>9</u>	Administrative expenses	(47,201)	(53,861)
<u>10</u>	Other expenses	(8,658)	-
<u>5</u>	Results from operating activities	69,086	112,446
	Finance income	916	2,612
	Finance costs	(52,944)	(77,000)
<u>12</u>	Net finance income / (costs)	(52,028)	(74,388)
	Profit / (loss) before income tax	17,058	38,058
<u>13</u>	Income tax credit / (expense)	299	(1,477)
<u>5</u>	Profit / (loss) for the year	17,357	36,581
	Attributable to:		
	Equity holders of the Company	17,357	36,581
<u>5</u>	Profit / (loss) for the year	17,357	36,581
	Earnings per share:		
<u>22</u>	Basic earnings per share (in USD)	0.822	2.731
<u>22</u>	Diluted earnings per share (in USD)	0.815	2.722

Consolidated Statement of Comprehensive Income

Note	For the Year ended 31 December 2010	
	<i>(x USD 1,000)</i>	
	2010	2009
<i>Profit / (loss) for the year</i>	<i>17,357</i>	<i>36,581</i>
Other comprehensive income:		
Effective portion of changes in fair value of cash flow hedges	(5,642)	5,732
Net change in fair value of cash flow hedges transferred to profit or loss	4,709	3,593
<i>Other comprehensive income, net of income tax</i>	<i>(933)</i>	<i>9,325</i>
Total comprehensive income for the year	16,424	45,906
Attributable to:		
Equity holders of the Company	16,424	45,906
Total comprehensive income for the year	16,424	45,906

Consolidated Balance Sheet

Note As at 31 December 2010			
<i>(x USD 1,000)</i>			
		31 Dec 2010	31 Dec 2009
ASSETS			
Non-current assets			
<u>14</u>	Property, plant and equipment	886,157	941,941
<u>15</u>	Intangible assets	594,464	598,288
<u>16</u>	Employee benefits	4,605	4,008
		1,485,226	1,544,237
Current assets			
<u>18</u>	Inventories	20,030	20,561
<u>13</u>	Current tax assets	253	-
<u>19</u>	Trade and other receivables	49,655	70,232
<u>20</u>	Cash and cash equivalents	73,129	51,858
		143,067	142,651
<u>5</u>	Total assets	1,628,293	1,686,888

		31 Dec 2010	31 Dec 2009
Note	EQUITY		
	Capital and reserves attributable to equity holders of the Company		
	Issued share capital	126,428	103,219
	Share premium	863,289	783,008
	Reserves	(37,261)	(36,328)
	Retained earnings	10,087	(28,218)
	Unappropriated result	17,357	36,581
<u>21</u>	Total equity	979,900	858,262
	LIABILITIES		
	Non-current liabilities		
<u>23</u>	Non-current interest-bearing borrowings	512,269	670,253
		512,269	670,253
	Current liabilities		
<u>23</u>	Current maturities of interest-bearing borrowings	9,361	9,393
<u>25</u>	Trade and other payables	126,541	147,387
<u>13</u>	Income tax liabilities	-	1,113
<u>24</u>	Provisions	222	480
		136,124	158,373
	Total liabilities	648,393	828,626
<u>5</u>	Total equity and liabilities	1,628,293	1,686,888

Consolidated Statement of changes in Equity

Attributable to equity holders of the Company							
(x USD 1,000)	Issued share capital	Share premium	Hedging reserve	Reserve own shares	Retained earnings	Unappropriated result	Total
Balance at 1 January 2009	229,755	420,580	(44,768)	(686)	(75,647)	46,976	576,210
<i>Total comprehensive income for the year</i>							
Profit or loss	-	-	-	-	-	36,581	36,581
Other comprehensive income for the year							
Effective portion of changes in fair value of cash flow hedges	-	-	5,732	-	-	-	5,732
Net change in fair value of cash flow hedges reclassified to profit or loss	-	-	3,593	-	-	-	3,593
Total other comprehensive income for the year	-	-	9,325	-	-	-	9,325
<i>Total comprehensive income for the year</i>	-	-	<i>9,325</i>	-	-	<i>36,581</i>	<i>45,906</i>
<i>Transactions with equity holders, recorded directly in equity</i>							
Contributions by and distributions to equity holders							
Issue of ordinary shares related to direct placements	98,415	28,360	-	-	-	-	126,775
Issue of ordinary shares related to secondary offering	84,707	24,410	-	-	-	-	109,117
Capital reduction	(309,658)	309,658	-	-	-	-	-
Equity-settled share-based payment transactions	-	-	-	-	453	-	453
Own shares acquired	-	-	-	(199)	-	-	(199)
Addition to reserves	-	-	-	-	46,976	(46,976)	-
Total contributions by and distributions to equity holders	(126,536)	362,428	-	(199)	47,429	(46,976)	236,146
<i>Total transactions with equity holders, recorded directly in equity</i>	<i>(126,536)</i>	<i>362,428</i>	-	<i>(199)</i>	<i>47,429</i>	<i>(46,976)</i>	<i>236,146</i>
Balance at 31 December 2009	103,219	783,008	(35,443)	(885)	(28,218)	36,581	858,262

Attributable to equity holders of the Company							
(x USD 1,000)	Issued share capital	Share premium	Hedging reserve	Reserve own shares	Retained earnings	Unappropriated result	Total
Balance at 1 January 2010	103,219	783,008	(35,443)	(885)	(28,218)	36,581	858,262
<i>Total comprehensive income for the year</i>							
Profit or loss	-	-	-	-	-	17,357	17,357
Other comprehensive income for the year							
Effective portion of changes in fair value of cash flow hedges	-	-	(5,642)	-	-	-	(5,642)
Net change in fair value of cash flow hedges reclassified to profit or loss	-	-	4,709	-	-	-	4,709
Total other comprehensive income for the year	-	-	(933)	-	-	-	(933)
<i>Total comprehensive income for the year</i>	-	-	(933)	-	-	17,357	16,424
<i>Transactions with equity holders, recorded directly in equity</i>							
Contributions by and distributions to equity holders							
Issue of ordinary shares related to rights issue	22,938	79,344	-	-	-	-	102,282
Issue of ordinary shares related to direct placement	271	937	-	-	-	-	1,208
Equity-settled share-based payment transactions	-	-	-	-	1,724	-	1,724
Addition to reserves	-	-	-	-	36,581	(36,581)	-
Total contributions by and distributions to equity holders	23,209	80,281	-	-	38,305	(36,581)	105,214
<i>Total transactions with equity holders, recorded directly in equity</i>	23,209	80,281	-	-	38,305	(36,581)	105,214
Balance at 31 December 2010	126,428	863,289	(36,376)	(885)	10,087	17,357	979,900

Consolidated Statement of Cash Flows

Note For the Year ended 31 December 2010		
(x USD 1,000)		
	2010	2009
<i>Cash flows from operating activities</i>		
<u>5</u> Profit for the year	17,357	36,581
<i>Adjustments for:</i>		
<u>14</u> - Depreciation and impairment losses property, plant and equipment	92,101	85,045
<u>15</u> - Amortization and impairment losses intangible assets	5,609	11,368
<u>8</u> - Gain on sale of property, plant and equipment	(115)	(3,410)
<u>16</u> - Decrease / (Increase) employee benefits	(597)	(1,282)
<u>17</u> - Equity settled share based payments	1,724	453
<u>12</u> - Net finance costs	52,028	74,388
<u>13</u> - Income tax credit / (expense)	(299)	1,477
Operating cash flow before movements in working capital	167,808	204,620
<i>Changes in:</i>		
<u>18</u> Decrease / (Increase) inventories	531	(3,652)
<u>19</u> Decrease / (Increase) current receivables	19,416	20,588
<u>25</u> (Decrease) / Increase current liabilities	(23,820)	(26,735)
<u>24</u> (Decrease) / Increase in provision	(258)	(176)
Cash generated from operating activities	163,677	194,645
<u>12</u> Interest (paid) / received	(44,307)	(62,519)
Transaction costs related to borrowings	(2,135)	(1,300)
<u>13</u> Income tax received / (paid)	(1,067)	865
	(47,509)	(62,954)
Net cash from operating activities	116,168	131,691

Note	For the Year ended 31 December 2010	
	(x USD 1,000)	
	2010	2009
<i>Cash flows from investing activities</i>		
<u>14</u>	Acquisition of property, plant and equipment	(37,747) (24,907)
<u>15</u>	Acquisition of intangible assets	(1,785) (2,683)
<u>15</u>	Adjustment to the cost of previously recognized business combinations	- 8,232
<u>14</u>	Proceeds from sale of property, plant and equipment	2,227 8,000
	<i>Net cash used in investing activities</i>	<i>(37,305) (11,358)</i>
<i>Cash flows from financing activities</i>		
<u>23</u>	Repayment of borrowings	(161,082) (325,540)
<u>21</u>	Proceeds of issue of share capital	106,990 249,072
	Transaction costs related to share issue	(3,500) (13,180)
<u>21</u>	Purchase of own shares	- (199)
	<i>Net cash from (used in) financing activities</i>	<i>(57,592) (89,847)</i>
	Net increase / (decrease) in cash and cash equivalents	21,271 30,486
<u>20</u>	Cash and cash equivalents at beginning of the year	51,858 21,372
	Cash and cash equivalents at end of the year	73,129 51,858

Notes to the Consolidated Financial Statements

1 Reporting entity

Dockwise Ltd. (the "Company" or "Dockwise") is a company incorporated under the laws of Bermuda and is domiciled in The Netherlands. Dockwise is listed at both the Oslo Stock Exchange (OSE) and NYSE Euronext Amsterdam (Euronext). The address of the Company's registered office is Canon's Court, 22 Victoria Street, Hamilton HM 12 Bermuda. The head office of Dockwise is located at Lage Mosten 21 Breda, the Netherlands. The Consolidated Financial Statements of Dockwise as at and for the year ended 31 December 2010 comprise Dockwise and its subsidiaries (together referred to as the "Group" and individually as "Group entities"). The Dockwise Group is one of the world's leading integrated heavy lift services providers.

2 Basis of preparation

A. Statement of Compliance

These Consolidated Financial Statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) as adopted by the European Union (EU-IFRS).

The financial statements were approved and authorized for issue by the Board of Directors on 24 February 2011.

B. Basis of measurement

The Consolidated Financial Statements have been prepared on the historical cost basis, except that derivative financial instruments and plan assets of defined benefit pension plans are valued at fair value.

The methods used to measure fair values are discussed further in note 4.

C. Functional and presentation currency

Dockwise reports in United States Dollars (USD) in view of the concentration of operational revenues and expenditures in this currency. The USD is also Dockwise's functional currency. All financial information is presented in thousands of USD unless stated otherwise, and has been rounded to the nearest thousand.

D. Use of estimates and judgments

The preparation of financial statements in conformity with IFRSs requires management to make judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances; the results of which form the basis of making the judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Judgments made by management in the application of IFRSs that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next years are discussed in note 32.

E. Changes in accounting policies

Starting as of 1 January 2010, the Group has changed its accounting policies in the following area:

Presentation of financial statements

The Consolidated Statement of Cash Flows starts with the profit for the year whereas in previous years profit from operations was the starting point.

Comparative information has been restated so that it also is in conformity with the revised presentation. Since the change only impacts presentation aspects, there is no impact on earnings per share.

3 Significant accounting policies

The accounting policies set out below have been applied as at and for the period ended 31 December 2010 presented in these Consolidated Financial Statements and have been applied consistently by Group entities.

A. Basis of Consolidation

Subsidiaries

Subsidiaries are entities controlled by Dockwise. Control exists when Dockwise or its subsidiaries have the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, potential voting rights that presently are exercisable or convertible are taken into account. The financial information of subsidiaries is included in the Consolidated Financial Statements from the date that control commences until the date that control ceases.

Transactions eliminated on consolidation

Intragroup balances and transactions and any unrealized gains and losses arising from intragroup transactions, are eliminated in preparing the Consolidated Financial Statements.

B. Foreign currencies

Foreign currency transactions

Transactions in foreign currencies are translated at the foreign exchange rate effective on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated to USD at the foreign exchange rate effective on that date. Foreign exchange differences arising on translation are recognized in the income statement. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate on the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are translated to USD at foreign exchange rates effective on the dates the fair value was determined.

Financial information of foreign operations

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated to USD at foreign exchange rates effective on the balance sheet date. The revenues and expenses of foreign operations are translated to USD at rates approximating the foreign exchange rates effective on the dates of the transactions. Foreign currency translation differences are recognized directly in equity.

C. Financial instruments

Non-derivative financial instruments

Non-derivative financial instruments comprise trade and other receivables, cash and cash equivalents, loans and borrowings and trade and other payables. These non-derivative financial instruments are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition these non-derivative financial instruments are measured at amortized cost using the effective interest method, less any impairment losses.

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

Derivative financial instruments

The Group uses derivative financial instruments to hedge part of its exposure to foreign exchange and interest rate risks arising from operational and financing activities. In accordance with its treasury policy, the Group does not hold or issue derivative financial instruments for trading purposes. Derivative financial instruments are recognized initially at fair value. Subsequent to initial recognition, derivative financial instruments are stated at fair value. The gain or loss on re-measurement to fair value is recognized immediately in profit or loss.

However, where derivatives qualify for cash flow hedge accounting, the effective part is recognized in a hedging reserve (part of equity). In case option contracts are used in a cash flow hedge accounting relationship, the time value related part of the fair value change is recognized in the income statement immediately.

Hedging

Where a derivative financial instrument is designated as a hedge of the variability in cash flows of a recognized asset or liability, or a highly probable forecasted transaction, the effective part of any gain or loss on the derivative financial instrument is recognized directly in equity. When the forecasted transaction subsequently results in the recognition of a non-financial asset or non-financial liability, the associated cumulative gain or loss is removed from equity and is included in the initial cost or other carrying amount of the non-financial asset or liability. If a hedge of a forecasted transaction subsequently results in the recognition of a financial asset or a financial liability, the associated gains and losses that were recognized directly in equity are reclassified into profit or loss in the same period or periods during which the asset acquired or liability assumed affects profit or loss (i.e., when interest income or expense is recognized). For cash flow hedges, other than those covered by the preceding two policy statements, the associated cumulative gain or loss is removed from equity and recognized in the income statement in the same period or periods during which the hedged forecast transaction affects profit or loss. The ineffective part of any gain or loss is recognized immediately in the income statement. When a hedging instrument expires or is sold, terminated or exercised or the entity revokes designation of the hedge relationship, but the hedged forecast transaction is still expected to occur, the cumulative gain or loss at that point remains in equity and is recognized in accordance with the above policy when the transaction occurs. If the hedged transaction is no longer expected to take place, the cumulative unrealized gain or loss recognized in equity is recognized immediately in the income statement.

Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognized as a deduction from equity, net of any tax effects. When share capital recognized as equity is repurchased, the amount of the consideration paid, which includes directly attributable costs, is, net of tax effects, recognized as a deduction from equity. Repurchased shares are classified as treasury shares and are presented as a deduction from total equity. When treasury shares are sold or reissued subsequently, the amount received is recognized as an increase in equity, and the resulting surplus or deficit on the transaction is transferred to / from retained earnings.

D. Property, plant and equipment

Property, plant and equipment comprise the following categories:

- Heavy transport and other vessels;
- Other operating assets;
- Assets under construction.

All items of property, plant and equipment are stated at cost less accumulated depreciation and impairment losses (see accounting policy I "Impairment"). Cost includes expenditure that is directly attributable to the acquisition of an asset and directly attributable borrowing costs. Depreciation is charged to the income statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment.

The residual values and useful lives are reviewed, and adjusted if not insignificant, annually on balance sheet date.

Subsequent costs

The Group recognizes in the carrying amount of an item of property, plant and equipment the cost of replacing part of such an item when that cost is incurred if it is probable that the future economic benefits embodied with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced items is derecognized. All other costs are recognized in the income statement as an expense as incurred.

Heavy transport and other vessels

In accordance with IAS 16 (Property, Plant and Equipment), the Group has adopted the component approach for the heavy transport and other vessels under which different components have different economic lives.

The estimated useful lives of these components are as follows:

• Hull	30 years and up to 50 years after Life Time Extension
• Accommodation	30 years
• Electrical machinery	20 years
• Engines	30 years
• Ballast tank / systems	30 years
• Navigations	5 years
• Auxiliary machines	20 years
• Safety equipment	20 years
• Survey & docking	5 years

If components of assets are replaced (e.g. in case of a Life Time Extension), the old component is derecognized and the new component is capitalized.

Other operating assets

Other operating assets consist mainly of computer equipment and sea fastening equipment, as far as the life cycle is more than 1 year. Sea fastening equipment with a useful life shorter than 1 year is included in inventories. These assets are valued at cost, less straight-line depreciation based on the estimated economic lives.

Assets under construction

Assets under construction are valued at cost including directly attributable borrowing costs. Assets under construction are transferred to the applicable asset category within property, plant and equipment when the specific asset is completed and brought into use.

E. Intangible assets

General

Intangible assets comprise the following categories:

- Goodwill;
- Trade names;
- Customer relationships;
- Technology;
- Computer software.

Intangible assets are capitalized if they are acquired by the Group from third parties. Development expenditure for software is capitalized only if these costs can be measured reliably, the software is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and use the software. All intangible assets are stated at cost less accumulated amortization (except goodwill and trade names) and impairment losses (see accounting policy I, "Impairment").

Expenditure on internally generated goodwill and brands is recognized in the income statement as an expense as incurred.

Subsequent expenditure

Subsequent expenditure on capitalized intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Goodwill

Goodwill represents the excess of the cost of an acquisition over the net fair value of the Group's share of the identifiable assets, liabilities and contingent liabilities of the acquired companies at the date of acquisition.

Goodwill is tested annually for impairment (see accounting policy I, "Impairment") and carried at cost less accumulated impairment losses. Impairment losses on goodwill are not reversed. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

Goodwill is allocated to cash-generating units ("CGU's") for the purpose of impairment testing. In this respect the Group has identified two CGU's, being Dockwise Heavy Transport and Dockwise Yacht Transport. The goodwill arisen from the acquisition of OKI and ODL is allocated to the CGU of Dockwise Heavy Transport as this business combination is completely for the benefit of the Heavy Transport activities.

Trade names

The trade names of the above-mentioned CGU's and OKI and ODL were acquired in 2007. These trade names are shown at cost. The capitalized trade names have an infinite useful life and are therefore not amortized. They are tested annually for impairment (see accounting policy I, "Impairment") and carried at cost less accumulated impairment losses.

Customer relationships

The customer relationships of the Yacht Transport-business and OKI and ODL were acquired in 2007. These customer relationships are recognized at cost, less accumulated straight-line amortization based on the estimated useful life of 5 and 10 years respectively and impairment losses (see accounting policy I, "Impairment").

Technology

The technology of OKI and ODL was acquired in 2007. This technology is recognized at cost less accumulated straight-line amortization over the estimated useful life of 11 years and impairment losses (see accounting policy I, "Impairment").

Computer software

Acquired computer software is capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized on a straight-line basis over the estimated useful life of 3 years.

F. Employee benefits

Defined contribution plans

Obligations for contributions to defined contribution pension plans are recognized as an expense in the income statement as incurred.

Defined benefit plans

The Group's net obligation in respect of defined benefit pension plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value, less the fair value of any plan assets. The discount rate is the yield at the balance sheet date on AA credit rated bonds that have maturity dates approximating to the terms of the Group's obligations. The calculation is performed by a qualified actuary using the projected unit credit method.

When the benefits of a plan are improved, the portion of the increased benefit relating to past service by employees is recognized as an expense in the income statement on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expense is recognized immediately in the income statement.

In respect of actuarial gains and losses that arise in calculating the Group's obligation in respect of a plan, to the extent that any cumulative unrecognized actuarial gain or loss exceeds 10 per cent of the greater of the present value of the defined benefit obligation and the fair value of plan assets, that portion is recognized in the income statement over the expected average remaining working lives of the employees participating in the plan. Otherwise, the actuarial gain or loss is not recognized. Where the calculation results in a benefit to the Group, the recognized asset is limited to the net total of any unrecognized actuarial losses and past service costs and the present value of any future refunds from the plan or reductions in future contributions to the plan.

Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short-term cash bonus plans if the Group has a present or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Share based payments

The grant date fair value of share-based payment awards is recognized as personnel expenses, with a corresponding increase in equity over the period that the employees become unconditionally entitled to the shares.

At each balance sheet date the Group revises its estimates of the number of shares that are expected to vest. It recognizes the impact of the revision of original estimates, if any, in the income statement with a corresponding adjustment to equity.

G. Inventories

Inventories mainly consist of bunker and lubricants stocks on board the vessels, sea fastening inventories and spare parts. The costs of inventories are based on the average cost principle and include expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. Inventories are stated at the lower of cost and net realizable value.

H. Trade and other receivables

Work-in-progress is valued in proportion to the stage of completion of projects on the balance sheet date. The balance of work in progress to be invoiced less advance payments received is recognized in other receivables (positive balance), or in current liabilities as deferred income or advances on contracts (negative balance).

I. Impairment

Financial assets

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset.

An impairment loss in respect of a financial asset measured at amortized cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate. All impairment losses are recognized in profit or loss. An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognized. For financial assets measured at amortized cost, the reversal is recognized in profit or loss.

Non-financial assets

The carrying amounts of the Group's non-financial assets, other than inventories (see accounting policy G, "Inventories"), assets arising from employee benefits (see accounting policy F, "Employee benefits") and deferred tax assets (see accounting policy O, "Income tax"), are reviewed on each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. For goodwill and intangibles that have indefinite lives or that are not yet available for use, the Company assesses at the end of each reporting period whether there is any indication that an asset may be impaired. Irrespective of whether there is any indication of impairment the Company annually tests the intangible assets with an indefinite useful life and intangible assets not yet available for use for impairment by comparing their carrying amount with their recoverable amount.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing, is allocated to cash-generating units that are expected to benefit from the synergies of the combination.

An impairment loss is recognized if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognized in the income statement. Impairment losses recognized in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to cash-generating units and then, to reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

J. Capital and reserves

The capital and reserves of the Group consist of:

- Issued share capital;
- Share premium;
- Hedging reserve;
- Reserve own shares;
- Retained earnings;
- Unappropriated profit / (loss).

Share capital consists of ordinary shares. Dividends are recognized as a liability in the period in which they are declared.

K. Interest-bearing borrowings

The parts of the borrowings falling due after more than 12 months after balance sheet date are recognized as non-current liabilities. The amounts due within 12 months after balance sheet date are classified within current liabilities.

L. Trade and other payables

Trade and other payables are recognized initially at fair value. Subsequent to initial recognition they are stated at amortized cost.

M. Revenue

Revenue from transportation services rendered is recognized in the income statement in proportion to the stage of completion of a voyage on the balance sheet date. The stage of completion is assessed by reference to the number of days sailed prior to the balance sheet date compared to the total days sailing expected to be required for each individual contract. Revenue related to engineering and installation projects in progress is recognized in the income statement in proportion to the stage of completion. The stage of completion is determined by the cost incurred on projects, compared to the total expected cost in respect of the projects.

No revenue is recognized if there are significant uncertainties regarding recovery of the consideration due or associated costs.

N. Expenses

Foreign exchange differences

Foreign exchange gains and losses are allocated to the line item "Administrative expenses" in the Consolidated Income Statement. Fair value changes on financial instruments used in cashflow hedge relationships are accounted for as described in note 3c.

Operating lease payments

Payments made under operating leases are recognized in the income statement on a straight-line basis over the term of the lease. Lease incentives received are recognized in the income statement as an integral part of the total lease expense.

Net finance income / costs

Net finance income / costs comprise interest expense on borrowings calculated using the effective interest rate method, interest receivable on funds invested, dividend income and fair value changes on hedging instruments that are recognized in the income statement.

Interest income is recognized in the income statement as it accrues, using the effective interest method. Dividend income is recognized in the income statement on the date the Group's right to receive payments is established.

Provisions

A provision is recognized if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Additions and releases from provisions are recognized under the heading "Direct costs" or "Administrative expenses" whichever is relevant.

O. Income tax

Income tax on the profit or loss for the year comprises current and deferred tax. Income tax is recognized in the income statement except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity.

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years. The major part of the Group's income is taxed under the Dutch tonnage tax regime.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Temporary differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future are not accounted for. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantially enacted on the balance sheet date.

A deferred tax asset is recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realized. Additional income taxes that arise from the distribution of dividends are recognized at the same time as the liability to pay the related dividend.

P. Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise share options granted to employees.

Q. Segment reporting

A segment is a distinguishable component of the Group that is engaged in providing related services (business segment), which are subject to risks and rewards that are different from those of other segments. The Group's primary format for segment reporting is based on business segments.

Segment information is presented in respect of the Group's business segments which are based on the Group's management and internal reporting structure.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Inter-segment pricing is determined on an arm's length basis. Segment capital expenditures are the total costs incurred during the period to acquire property, plant and equipment, and intangible assets other than goodwill.

R. New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are effective for annual periods beginning after 1 January 2010, and have not been applied in preparing these Consolidated Financial Statements. None of these is expected to have a significant effect on the Consolidated Financial Statements of the Group.

4 Determination of fair values

A number of the Group's accounting policies and disclosures require the determination of fair value, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and / or disclosure purposes based on the following methods. Where applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to those assets or liabilities.

Property, plant and equipment

The fair value of property, plant and equipment recognized as a result of a business combination is based on market values. The market value of the vessels is based on external valuation reports.

Intangible assets

The fair value of trade names acquired in a business combination is based on the discounted estimated royalty payments that have been avoided as a result of the trade name being owned. The fair value of the other intangible assets is based on the discounted cash flows expected to be derived from the use and eventual sale of the assets.

Inventories

The fair value of inventories, mainly consisting of bunkers and lubricants on board of the vessels, sea fastening inventories and spare parts, acquired in a business combination is determined based on quoted market prices for similar items.

Derivatives

The fair value of forward exchange contracts is estimated by discounting the difference between the contractual forward price and the current forward price for the residual maturity of the contract using a risk-free interest rate (based on government bonds).

The fair value of interest rate swaps is estimated by discounting estimated future cash flows based on the terms and maturity of each contract and using market interest rates for a similar instrument at the measurement date. The fair value of the currency options is calculated as the difference between striking price, spot price, current volatility rate and market interest rate.

The (over the counter) derivatives and borrowings used by the Company are classified as level 2 in the IFRS hierarchy. The different levels have been defined as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices);
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Non-derivative financial liabilities

Fair value, which is determined for disclosure purposes, is calculated based on the present value of future principal and interest cash flows, discounted at the market rate of interest at the reporting date. For finance leases the market rate of interest is determined by reference to similar lease agreements.

Share-based payments

For determining the fair value of the share based payment plans the Black-Scholes formula is used. Measurement inputs include share price on measurement date, expected volatility, risk-free interest rate, dividend yield, and the term of the options. For determining the fair value of the LTIP awards, a Monte Carlo simulation is used. Dividends have not been included in the measurement of the grant date fair value.

5 Segment reporting

Business segments

The Group comprises the following business segments:

- Dockwise Heavy Lift (DHL). This segment focuses on the Heavy Marine Transport and Offshore/Onshore installation market.
- Dockwise Yacht Transport (DYT). This segment focuses on the transportation of all types of yachts.

Geographical areas

As the Group's customers are spread over the world and the projects locations are not bound to specific Geographical areas for individual customers, the Group has no segments in geographical areas. The fleet of the Company operates on a global basis.

In the table below the segmental information for the years 2010 and 2009 is presented for Dockwise Heavy Lift Vessels (DHL) and Dockwise Yacht Transport (DYT).

	Heavy Lift		Yacht Transport		Consolidated	
(x USD 1,000)	2010	2009	2010	2009	2010	2009
Total external revenues	402,885	434,217	36,242	43,824	439,127	478,041
Intersegment revenue	-	-	-	-	-	-
Total segment revenue	402,885	434,217	36,242	43,824	439,127	478,041
Reportable segment profit / (loss) before interest and income tax	75,297	121,958	(6,211)	(9,512)	69,086	112,446
Net finance costs					(52,028)	(74,388)
Income tax credit / (expense)					299	(1,477)
Profit / (loss) for the year					17,357	36,581

In 2010 a revenue of USD 83 million was generated for a major Transport and Installation contract in the Heavy Lift segment.

	Heavy Lift		Yacht Transport		Eliminations		Consolidated	
(x USD 1,000)	2010	2009	2010	2009	2010	2009	2010	2009
Segment assets	1,598,107	1,640,788	104,628	116,161	(74,442)	(70,061)	1,628,293	1,686,888
Segment liabilities	584,180	758,072	138,655	140,615	(74,442)	(70,061)	648,393	828,626
Capital expenditure	31,492	24,666	8,040	2,924	-	-	39,532	27,590
Depreciation	76,853	71,843	9,048	13,202	-	-	85,901	85,045
Impairment loss of tangible assets	6,200	-	-	-	-	-	6,200	-
Amortization of intangible assets	3,709	6,126	1,900	1,242	-	-	5,609	7,368
Impairment loss of intangible assets	-	-	-	4,000	-	-	-	4,000

The assets and liabilities for the Heavy Lift segment are utilized in the Heavy Marine Transport and the Offshore / Onshore market.

6 Revenue

A breakdown of the revenues is as follows:

(x USD 1,000)	2010	2009
Dockwise Heavy Lift	402,885	434,217
Offshore / Onshore projects	126,709	60,764
Heavy Marine Transport	276,176	373,453
Dockwise Yacht Transport	36,242	43,824
Total revenue	439,127	478,041

7 Direct costs

Direct costs consist of depreciation and amortization, contract related expenses and vessel operating expenses, which include fuel, sea fastening materials, harbor dues, canal passages, subcontractors, crew, vessel maintenance and insurances.

A breakdown of these costs is as follows:

<i>(x USD 1,000)</i>	2010	2009
Contract related expenses	168,325	168,591
Vessel operating expenses	48,262	50,140
Depreciation and impairment loss of property, plant and equipment	92,101	85,045
Amortization and impairment loss of intangible assets	5,609	11,368
Total direct costs	314,297	315,144

8 Other income

Other income includes the book profit realized on the divestment of assets and amounts to USD 115 (2009: book profit on divestment vessels USD 3,410).

9 Administrative expenses

A breakdown of the administrative expenses is as follows:

<i>(x USD 1,000)</i>	2010	2009
Personnel expenses of management and office staff	18,466	19,062
Other general and administrative expenses	28,735	34,799
Total administrative expenses	47,201	53,861

The personnel expenses in 2009 included USD 1.2 million redundancy expenses. The other general administrative expenses in 2009 include non-recurring items for an amount of USD 5.7 million with respect to the listing at the NYSE Euronext Amsterdam in December 2009 and pre-acquisition costs.

10 Other expenses

The other expenses 2010 relate to the derecognition of a claim in respect of the Mighty Servant 3 (see note 19).

11 Personnel expenses

A breakdown of the personnel expenses is as follows:

(x USD 1,000)	2010	2009
Wages and salaries	31,267	30,844
Social security contributions	3,523	2,256
Contributions to defined contribution plans	759	944
Expenses relating to defined benefit plans	2,131	1,881
Total personnel expenses	37,680	35,925

Wages and salaries include USD 1,724 (2009: USD 453) relating to share based payments.

The personnel expenses are included in the following items of the income statement:

(x USD 1,000)	2010	2009
Contract related expenses	19,214	16,863
Administrative expenses (management and office staff)	18,466	19,062
Total personnel expenses	37,680	35,925

The crew on board of the vessels is hired from the ship manager Anglo Eastern. In 2010 the costs for the crew amounted to USD 23,343 (2009: USD 25,705).

For the remuneration of Board of Directors and Executive Management reference is made to note 10 of the Company Financial Statements.

The number of FTE's, excluding the crew hired from the ship manager Anglo Eastern, as at 31 December 2010 was 314 (2009: 295), which can be divided as follows:

FTE's	2010	2009
Crew on board vessels	-	1
Management and office staff	314	294
Total FTE's	314	295

A breakdown of the employees employed inside respectively outside the Netherlands is as follows:

FTE's	2010	2009
Inside the Netherlands	173	178
Outside the Netherlands	141	117
Total FTE's	314	295

12 Net finance costs

The net finance costs recognized in profit and loss are as follows:

<i>(x USD 1,000)</i>	2010	2009
Interest income	156	378
Result on Debt Buy Back transactions	760	2,234
Finance income	916	2,612
Interest expense on financial liabilities measured at amortized costs	(41,509)	(67,847)
Net change in fair value of cash flow hedges reclassified to profit or loss	(4,709)	(3,593)
Consent fee and write-offs of capitalized loan fees	(6,726)	(5,560)
Finance expenses	(52,944)	(77,000)
Net finance costs	(52,028)	(74,388)

The interest income relates to interest over bank deposits. All the above finance income and expenses relate to assets and liabilities not at fair value.

The result on Debt Buy Back transactions reflects the difference between the nominal amount of the debt bought back and the actual cash payment less the write-off of the relevant part of the capitalized loan fees and related transaction costs.

The finance expenses include USD 2,188 in relation to the unwinding of one of the interest rate swaps in order to end the overhedged situation as at end of 2010.

The changes in fair value of derivatives recognized directly in equity are as follows:

<i>(x USD 1,000)</i>	2010	2009
Effective portion of changes in fair value of cash flow hedges	(5,642)	5,732
Recognized in:		
Hedging reserve	(5,642)	5,732

13 Income tax expense

A breakdown of the income tax expense is as follows:

(x USD 1,000)	2010	2009
Current year	139	1,655
Adjustment for prior years	(438)	(178)
Current tax expense / (credit)	(299)	1,477
Use of deferred taxes	-	-
Deferred tax expense	-	-
Total income tax expense / (credit) recognized in income statement	(299)	1,477

(x USD 1,000)	2010	2009
Profit / (loss) for the year	17,357	36,581
Total income tax expense / (credit) current year	139	1,655
Prior years	(438)	(178)
Total income tax expense / (credit)	(299)	1,477
Profit / (loss) excluding tax expense	17,058	38,058

Income tax using the company's Dutch tax rate	25.50%	4,350	25.50%	9,705
Effect of prior years	(2.57%)	(438)	(0.47%)	(178)
Effect of different tax basis	(24.69%)	(4,211)	(21.15%)	(8,050)
	1.75%	(299)	(3.88%)	1,477

Reconciliation of effective tax rate

The majority of the income of the Group is taxable in the Netherlands. The shipping activities are in principal taxable under the Dutch tonnage tax system, however the Dutch fiscal unit has a negative taxable result due to the deduction of finance expenses. The Group's financing activities are taxable in a separate Dutch fiscal unit. For 2010, the income tax credit is due to recognition of tax losses related to prior years in the Dutch operating fiscal unit.

The effect of different tax basis mainly includes the effect of the tax calculation based on tonnage of the fleet in stead of on profit before tax and to a minor extent the effect of taxable income in foreign entities.

Current tax assets and liabilities

The income tax asset of USD 253 represents the amount of income taxes receivable (2009: liability USD 1,113) in respect of current and prior periods.

Deferred tax assets

Accumulated deferred tax assets amounting to USD 58 million (2009: USD 39 million) relating to tax losses from the Groups financing activities are not recognized as the fiscal unit incurring these losses is not expected to generate sufficient income to compensate these losses.

14 Property, plant and equipment

The movement schedule of Property, plant and equipment is as follows:

<i>(x USD 1,000)</i>	Heavy transport and other vessels	Other operating assets	Assets under construction	Total
Cost				
Opening balance 2009	1,062,095	18,042	39,839	1,119,976
Additions	13,434	6,271	5,202	24,907
Disposals	(20,514)	(104)	-	(20,618)
Transfer to intangible assets	-	(1,830)	(753)	(2,583)
Transfer	38,869	-	(38,869)	-
Closing balance 2009	1,093,884	22,379	5,419	1,121,682
Opening balance 2010	1,093,884	22,379	5,419	1,121,682
Additions	29,832	4,696	3,219	37,747
Disposals	(23,163)	(7,352)	-	(30,515)
Transfer	347	5,072	(5,419)	-
Closing balance 2010	1,100,900	24,795	3,219	1,128,914
Depreciation and impairment losses				
Opening balance 2009	(106,876)	(4,855)	-	(111,731)
Depreciation	(79,839)	(5,206)	-	(85,045)
Reversal of depreciation on disposed assets	16,015	104	-	16,119
Transfer to intangible assets	-	916	-	916
Closing balance 2009	(170,700)	(9,041)	-	(179,741)

<i>(x USD 1,000)</i>	Heavy transport and other vessels	Other operating assets	Assets under construction	Total
Opening balance 2010	(170,700)	(9,041)	-	(179,741)
Depreciation	(79,261)	(6,640)	-	(85,901)
Impairment	(6,200)	-	-	(6,200)
Reversal of depreciation on disposed assets	21,852	7,233	-	29,085
Closing balance 2010	(234,309)	(8,448)	-	(242,757)
Carrying amounts				
Closing balance 2009	923,184	13,338	5,419	941,941
Closing balance 2010	866,591	16,347	3,219	886,157

The impairment on Heavy transport and other vessels of USD 6,200 in 2010 relates to the MV Enterprise, which was divested in 2010. The depreciation in 2009 included USD 3 million relating to a book loss on the derecognition of one of the thrusters of the Yacht Express (Heavy Transport and other vessels).

Assets under construction

The assets under construction, valued at cost, comprise the following:

<i>(x USD 1 million)</i>	31 Dec 2010	31 Dec 2009
Test press	-	4.9
Newbuilt vessel	1.7	-
Other	1.5	0.5
Total assets under construction	3.2	5.4

Type 0 Vessel

In September 2010 the Company decided to invest in a newbuilt vessel (Type 0) and made capital commitments in February 2011.

Security

As at 31 December 2010, the heavy transport vessels with a carrying amount of USD 866,591 are subject to a registered debenture to secure bank loans (see note 23 "Interest-bearing borrowings").

15 Intangible assets

The movement schedule of intangible assets is as follows:

<i>(x USD 1,000)</i>	Goodwill	Trade- names	Customer relation- ships	Techno- logy	Computer software	Total
Cost						
Opening balance 2009	548,559	34,870	23,436	7,700	5,052	619,617
Adjustment to the cost of previously recognized business combinations	(8,232)	-	-	-	-	(8,232)
Additions	-	-	-	-	2,683	2,683
Disposals	(34)	-	-	-	(4,096)	(4,130)
Transfer from property, plant and equipment	-	-	-	-	2,583	2,583
Closing balance 2009	540,293	34,870	23,436	7,700	6,222	612,521
Opening balance 2010	540,293	34,870	23,436	7,700	6,222	612,521
Additions	-	-	-	-	1,785	1,785
Closing balance 2010	540,293	34,870	23,436	7,700	8,007	614,306
Amortization and impairment losses						
Opening balance 2009	-	-	(3,942)	(994)	(1,152)	(6,088)
Amortization	-	-	(2,335)	(700)	(4,333)	(7,368)
Impairment loss	(34)	-	(3,966)	-	-	(4,000)
Disposals	34	-	-	-	4,105	4,139
Transfer from property, plant and equipment	-	-	-	-	(916)	(916)
Closing balance 2009	-	-	(10,243)	(1,694)	(2,296)	(14,233)
Opening balance 2010	-	-	(10,243)	(1,694)	(2,296)	(14,233)
Amortization	-	-	(3,041)	(700)	(1,868)	(5,609)
Closing balance 2010	-	-	(13,284)	(2,394)	(4,164)	(19,842)
Carrying amounts						
Closing balance 2009	540,293	34,870	13,193	6,006	3,926	598,288
Closing balance 2010	540,293	34,870	10,152	5,306	3,843	594,464

The amortization in 2009 included USD 2 million relating to a book loss on the derecognition of Computer Software. In 2009 an amount of USD 4 million was impaired for the Cash Generating Unit (CGU) Dockwise Yacht Transport for the asset classes Goodwill (USD 34) and Customer Relationships (USD 3,966). The impairment reflects current and expected disappointing trading conditions mainly as a result of the economic worldwide downturn for this CGU.

Impairment testing for cash-generating units containing goodwill and/or tradenames

For the purpose of impairment testing, goodwill and trade names are allocated to the Group's business segments which represent the lowest level within the Group at which these intangibles are monitored for internal management purposes.

The aggregate carrying amounts of goodwill and trade names allocated to each unit are as follows:

(x USD 1,000)	2010		2009	
	Goodwill	Trade-names	Goodwill	Trade-names
Dockwise Heavy Transport	540,293	26,057	540,293	26,057
Dockwise Yacht Transport	-	8,813	-	8,813
	540,293	34,870	540,293	34,870

Value in use is determined by discounting the future cash flows generated from the continuing use of the unit and is based on the following key assumptions:

- Cash flows are projected based on actual operating results and the 3-year business plan;
- Cash flows for a further period do not exceed the useful life of 50 years on a vessel basis. Cash flows after the 3-year business plan are extrapolated using a constant growth rate of 3% (2009: 2% for Dockwise Heavy Transport and 3% for Dockwise Yacht Transport), which does not exceed the long-term average rate for the industry. Management believes that this forecast period was justified due to the estimated useful life of the vessels. Vessels are expected to have a 20-year Life Time Extension after 30 years;
- At the end of the extended life time of the vessels a cash-in is considered for the scrap value of the respective divested vessels;
- A pre-tax discount rate of 9.0 percent (2009: 9.0 percent) was applied in determining the recoverable amount of the units. The discount rate was estimated based on a weighted average cost of capital, which was based on an industry average cost of equity.

The values assigned to the key assumptions represent management's assessment of future trends in the Heavy Transport and Yacht Transport Industry and are based on both external sources and internal sources.

The above estimates are particularly sensitive in the following areas:

- An increase of 1 percentage point in the discount rate used would have decreased the net recoverable amount for the Dockwise Heavy Transport segment by USD 295,064 and for the Dockwise Yacht Transport segment by USD 11,972. Such an increase would not lead to an impairment of goodwill for Dockwise Heavy Transport and to an impairment of USD 9,152 for Dockwise Yacht Transport;
- A 1 percent point decrease in future expected gross profit as an absolute number would have decreased the net recoverable amount for the Dockwise Heavy Transport segment by USD 56,954 and for the Dockwise Yacht Transport segment by USD 3,234 resulting in an impairment loss of USD 414 for the latter segment.

16 Employee benefits

The Group makes contributions to two defined benefit pension plans. Employees that joined the Group up till 2003 are entitled to a final pay plan, whereas employees joining the Group after 2003 are entitled to an average pay plan. The plans are reinsured with an external insurance company.

16.1 Balance sheet

The amounts recognized in the balance sheet are determined as follows:

<i>(x USD 1,000)</i>	2010	2009
Present value of funded obligations	19,201	17,175
Fair value of plan assets	(17,052)	(15,325)
Present value of net obligations	2,149	1,850
Unrecognized actuarial gains and losses	(6,754)	(5,858)
Employee benefit liability (asset)	(4,605)	(4,008)

Movements in the net employee benefits liability (asset) recognized in the balance sheet are as follows:

<i>(x USD 1,000)</i>	2010	2009
Net (asset) / liability for defined benefit obligations at opening balance	(4,008)	(2,726)
Contributions paid	(3,019)	(3,049)
Expense recognized in the income statement	1,857	1,680
Actuarial losses (gains) recognized in income statement	274	201
Currency (gain) / loss	291	(114)
Net (asset) / liability for defined benefit obligations at closing balance	(4,605)	(4,008)

Movements in the defined benefit obligation are as follows:

<i>(x USD 1,000)</i>	2010	2009
Opening balance	17,175	13,736
Service cost	1,507	1,234
Interest cost	802	747
Actuarial (gains) and losses	1,261	1,231
Benefits paid	(296)	(252)
Currency (gain) / loss	(1,248)	479
Closing balance	19,201	17,175

Movements in the fair value of plan assets are as follows:

<i>(x USD 1,000)</i>	2010	2009
Opening balance	15,325	12,267
Expected return on plan assets	452	301
Actuarial gains / (losses)	(334)	(467)
Contributions paid	3,019	3,049
Benefits paid	(296)	(252)
Currency gain / (loss)	(1,114)	427
Closing balance	17,052	15,325

16.2 Income statement

The amounts recognized in the income statement are as follows:

<i>(x USD 1,000)</i>	2010	2009
Current service cost	1,507	1,234
Interest cost	802	747
Expected return on plan assets	(452)	(301)
Recognized actuarial losses / (gains)	274	201
	2,131	1,881

The expenses are all included in the "Administrative expenses" in the income statement.

16.3 Actuarial assumptions

The principal actuarial assumptions were as follows:

	2010	2009
Discount rate	5.00%	5.10%
Expected return on plan assets	5.00%	5.10%
Future salary increase (incl. inflation adjustment)	3.00%	3.00%
Future pension increases	n/a	n/a
	GBM/V	GBM/V
Mortality tables used	2010-2060	2005-2050

The retirement age within the Group is set at the age of 65.

16.4 Historical information

(x USD 1,000)	2010	2009	2008	2007
Present value of defined benefit obligation	19,201	17,175	13,736	14,519
Fair value of plan assets	17,052	15,325	12,267	12,887
Deficit / (surplus) in the plan	2,149	1,850	1,469	1,632
Experience adjustment arising on plan liabilities	(76)	(7)	729	-
Experience adjustment arising on plan assets	(334)	(482)	(3,132)	(3,748)

The Group expects USD 2.5 million in contributions to be paid in respect of the funded defined benefit plans in 2011.

17 Share based payments

In 2009, the Board of Directors proposed a new performance related, share based, long-term incentive plan for Chief Officers and Senior Management (the "LTIP"). The conditions under which Shares are awarded to Chief Officers and Senior Management under the LTIP were approved at the Annual General Meeting of shareholders in 2010. The LTIP replaced the 100% EVA cash bonus system as of 1 January 2010, thus reducing the short term part of the incentive. Under the LTIP the Board of Directors has the discretionary power to award conditional Shares with a vesting period of three years, subject to continued employment and attainment performance conditions. The Consolidated Financial Statements include the costs of the LTIP based on a grant date of 1 January 2010.

The LTIP foresees in:

- A short term incentive (STI): an annual maximized percentage of the annual salary paid in cash and resulting from the EVA performance over the previous book year. The pay-out levels will be in line with market levels for peer group companies and maximized at a percentage of base salary;
- A long term incentive (LTI): an annual conditional grant of shares rewarding performance over a period of three years. Performance will be based on TSR (total shareholder return compared to a defined peer group) and EVA.

In 2008 and 2009, the Board of Directors has awarded conditional shares with a vesting period of 3 years subject to continued employment to certain members of the Executive Management upon signing of their employment agreement and to certain Senior Managers.

The terms and conditions relating to the grant of the shares are as follows:

Grantdate	Employee entitled	Number of shares*	Fair value	Vesting Conditions
1 May 2008	Executive Management	10,027	67.05	3 year's service
27 February 2009	Executive Management	10,172	15.06	3 year's service, TSR, EVA performance
1 September 2009	Executive Management	24,633	22.76	3 year's service
3 November 2009	Executive and Senior Management	57,488	29.31	3 year's service
4 January 2010	Executive Management	21,276	32.11	3 year's service, TSR, EVA performance
1 July 2010	Senior Management	48,095	23.52	3 year's service
18 October 2010	Senior Management	35,176	21.15	3 year's service, TSR, EVA performance

* After reverse stock split 2009

The expenses related to the arrangement with Executive Management and Senior management can be summarized as follows:

<i>(x USD 1,000)</i>	2010	2009
Executive Management	1,038	345
Senior Management	686	108
Total expense recognized as personnel expenses	1,724	453

For the determination of the fair values of the plans we refer to note 4 "Determination of fair values". The main parameters used for the calculation of the expenses of the awarded shares in 2010 are:

Parameter	4 Jan 2010	1 July 2010	18 Oct 2010
Share price (EUR)	22.14	19.20	18.15
Risk free interest rate	1.93%	1.07%	0.97%
Volatility	62%	57%	58%
Vesting period	3 years	3 years	3 years
Exchange rate (EUR / USD)	1.4318	1.2251	1.3974

18 Inventories

Inventories include fuel, lubricants, spare parts and sea fastening amounting to USD 20,030 (2009: USD 20,561). In 2010 fuel, lubricants, spare parts and sea fastening recognized as direct costs amounted to USD 77,166 (2009: USD 73,825). No inventories are stated at fair value less costs to sell. Furthermore no inventories are subject to retention of title clauses. In 2010 and 2009 no write-down of inventories was accounted for.

19 Trade and other receivables

A breakdown of trade and other receivables is as follows:

<i>(x USD 1,000)</i>	31 Dec 2010	31 Dec 2009
Trade receivables	27,552	40,757
Less: allowance for impairment	(6,193)	(5,091)
Trade receivables - net	21,359	35,666
MS3 receivables	-	8,658
Work in progress to be invoiced	18,336	17,471
Other receivables	3,132	3,001
Prepayments	6,828	4,275
Fair value derivatives	-	1,161
Total trade and other receivables	49,655	70,232

Mighty Servant 3 settlement

The Company has settled its dispute with its former shareholders related to the reinstatement of the Mighty Servant 3 in 2010. As a result, the Company will, in the event of an award, be entitled to the full proceeds of the arbitration it has initiated against its hull and machinery underwriters at the time of the sinking of the Mighty Servant 3, which occurred prior to the change in ownership of the Company in 2007. As a consequence, the Company will no longer pursue its claim in this respect against its former shareholders (2009: USD 8,658).

The said arbitration proceedings are related to the costs of the salvaging of the Mighty Servant 3 in the port of Luanda, Angola, and the subsequent costs of repairs and towing the vessel to Cape Town, South Africa, in the summer of 2007. The amount for which the arbitration has been initiated is USD 9.5 million plus interest and costs. No assurance can be given as to the outcome of these arbitration proceedings.

As the requirements for recognizing an asset from a claim on insurers (being that payment should be virtually certain) differ from the requirements for recognizing an asset based on a receivable from a contract party such as the former shareholders (being that payment of such a receivable should be probable), the Company derecognized in 2010 through profit and loss the USD 8,658 receivable on the former shareholders it had recorded on its balance sheet as at 2009. Any proceeds from the arbitration process will be recognized as other income through profit and loss if and when these are awarded.

20 Cash and cash equivalents

A breakdown of cash and cash equivalents is as follows:

<i>(x USD 1,000)</i>	31 Dec 2010	31 Dec 2009
Cash in bank and at hand	73,129	51,858
Cash and cash equivalents in the consolidated statement of cash flows	73,129	51,858

The cash in bank and at hand are at free disposal of the company.

21 Capital and reserves attributable to the shareholders of the Company

Issued share capital

On 20 September 2010 Dockwise announced an equity raising by a fully committed rights issue. The equity raising resulted in the following changes in the number of common shares:

- A rights issue of 4,587,506 new common shares to existing shareholders;
- A direct placement of 54,225 new common shares to four existing shareholders (subscribers fee).

The authorized share capital as at 31 December 2010 comprises 40,000,000 ordinary shares of USD 5 each. In total 25,285,511 (December 2009: 20,643,780) shares are issued and fully paid up. All shares rank equally with regard to the Company's residual assets. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of shareholders of Dockwise.

The movement schedule of the number of ordinary shares (restated for the reverse stock split in 2009) is as follows:

Number of ordinary shares	2010	2009
On issue at opening balance	20,643,780	11,487,771
Rights issue	4,587,506	4,235,280
Direct placement	54,225	4,920,729
On issue at closing balance - fully paid	25,285,511	20,643,780

Share premium

The increase of the share premium reserve in 2010 as a result of the share issues includes USD 3,500 for transaction related costs which were deducted from the proceeds of the shares issued in 2010.

Hedging reserve

Hedging reserve USD 36,376 negative (2009: USD 35,443 negative) comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments in respect of hedged transactions that have not yet occurred.

Reserve own shares

The reserve own shares USD 885 negative (2009: USD 885 negative) comprises the cost of the Company's shares held by the Company for the purpose of servicing a share based payment plan for key employees. At 31 December 2010 the Group held 20,199 (2009: 20,199) of the Company's shares for the purpose of a share based payment plan for key employees. These shares have a vesting period ending May 2011, February 2012 and September 2012.

Dividends

In 2010 no dividends were paid. After the balance sheet date no dividend payments were approved.

22 Earnings per share

The calculation of 2010 basic earnings per share at 31 December 2010 amounting to USD 0.822 (2009: USD 2.731) was based on the profit attributable to ordinary shareholders of USD 17,357 (2009: USD 36,581) and a weighted average number of ordinary shares outstanding calculated as follows:

Number of shares	2010	2009
Issued ordinary shares as at 1 January	20,643,780	11,487,771
Effects of:		
- Own shares	(20,199)	(20,199)
- Rights issue	477,093	622,629
- Direct placement	5,393	1,306,350
Weighted average number of ordinary shares at at 31 December	21,106,067	13,396,551

The calculation of 2010 diluted earnings per share at 31 December 2010 amounting to USD 0.815 (2009: USD 2.722) was based on profit attributable to ordinary shareholders of USD 17,357 (2009: USD 36,581) and a weighted number of ordinary shares outstanding after adjustment for the effect of dilutive potential ordinary shares calculated as follows:

Number of diluted shares	2010	2009
Weighted average number of ordinary shares (basic)	21,106,067	13,396,551
Effects of:		
- Share based payments	180,937	42,412
Weighted average number of ordinary shares (diluted) as at 31 December	21,287,004	13,438,963

23 Interest-bearing borrowings

This note provides information about the contractual terms of the Group's interest-bearing loans and borrowings, which are measured at amortized cost. For more information about the Group's exposure to interest rate and foreign currency risk, see note 26 "Financial risk management". A breakdown of interest-bearing borrowings is as follows:

(x USD 1,000)	31 Dec 2010	31 Dec 2009
Non-current liabilities		
Non-current interest-bearing borrowings	512,269	670,253
	512,269	670,253
Current liabilities		
Current maturities of interest-bearing borrowings	9,361	9,393
	9,361	9,393
Interest-bearing borrowings	521,630	679,646

The movement schedule of the Interest-bearing borrowings is as follows:

(x USD 1,000)	2010	2009
Opening balance	679,646	1,001,345
Repayment of borrowings - Scheduled	(9,377)	(9,646)
Repayment of borrowings - Debt Buy Back (cash)	(39,705)	(129,091)
Repayment of borrowings - Debt Buy Back (non-cash)	(1,533)	(6,276)
Repayment of borrowings - Divestment property, plant and equipment	(2,000)	(8,000)
Repayment of borrowings - Mandatory	(51,600)	(143,803)
Repayment of borrowings - Voluntary	(58,400)	(35,000)
Amortization of loan fees (non-cash)	4,599	10,117
Closing balance	521,630	679,646

At 31 December 2010, the Group has drawn four bank loans with an aggregate original nominal amount of USD 1,024,500. The bank loans are secured over the shares of all significant subsidiaries, bank accounts, insurance policies, intercompany receivables and over heavy transport vessels with a carrying amount of USD 866,591 (see note 14, "Property, plant and equipment") and other fixed assets.

The outstanding balance excluding capitalized bank fees (USD 8,439) amounts to USD 530,069 as at 31 December 2010. The secured bank loans bear a variable interest, based on LIBOR plus an applicable margin of 1.25% to 4.50%. The average effective interest rate on loans drawn under the Senior Facilities Loan Agreement in 2010 was 6.3% (2009: 6.9%). The loans mature between 2013 and 2016.

Terms

The key financial covenants in the Senior Facilities Loan Agreement ('SFA') can be summarized as follows:

Dockwise must comply with three principal covenants under the Senior Credit Facilities:

- Leverage ratio: a ratio of consolidated net debt to consolidated normalized EBITDA* (each as defined in the Senior Credit Facilities) equal to or less than 4.00 as of 31 December 2010;
- Interest coverage ratio: a ratio of consolidated normalized EBITDA* to consolidated net debt service (each as defined in the Senior Credit Facilities) equal to or greater than 2.25 as of 31 December 2010;
- Cash flow cover ratio: a ratio of consolidated cash flow to consolidated net debt service (each as defined in the Senior Credit Facilities) equal to or greater than 1.00 as of 31 December 2010.

* The EBITDA has to be normalized for specific items as defined in the loan agreement. For this reason the EBITDA for the calculation of the covenants cannot be derived from the figures in this annual report.

Set forth below is a summary of these requirements.

Ratio	Q4 2010	Q2 2011	Q4 2011	Q2 2012	Q4 2012	Q2 2013	Q4 2013
Leverage ratio	≤ 4.00	≤ 3.75	≤ 3.75	≤ 3.50	≤ 3.50	≤ 3.00	≤ 3.00
Interest cover ratio	≥ 2.25	≥ 2.25	≥ 2.25	≥ 2.25	≥ 2.25	≥ 2.25	≥ 2.25
Cash flow cover ratio	≥ 1.00	≥ 1.00	≥ 1.00	≥ 1.00	≥ 1.00	≥ 1.00	≥ 1.00

As of 31 December 2010 Dockwise's leverage ratio was 2.59 to 1 (31 December 2009: 2.92 to 1), Dockwise's interest cover ratio was 4.01 to 1 (31 December 2009: 3.32 to 1) and Dockwise's cash flow cover ratio was 4.34 to 1 (31 December 2009: 5.37 to 1).

24 Provisions

The movement schedule of provisions is as follows:

(x USD 1,000)	Restructuring	Onerous contract	Total
Opening balance 2010	91	389	480
Provisions made / (released) during the period	-	359	359
Provisions used during the period	(91)	(526)	(617)
Closing balance 2010	-	222	222
Non-current	-	-	-
Current	-	222	222
Total provisions	-	222	222

The obligation for future payments on leases for office space has been provided for as onerous contracts as the contracts were non-cancellable leases. The offices in Houston (2009) and China (2010) were relocated after which the Group has ceased to use the previous office space.

25 Trade and other payables

A breakdown of trade and other payables is as follows:

<i>(x USD 1,000)</i>	31 Dec 2010	31 Dec 2009
Other trade payables	12,314	24,032
Fair value derivatives	41,608	39,316
Deferred income	16,233	39,741
Advances on contracts	24,116	12,027
Non-trade payables and accrued expenses	32,270	32,271
Total trade and other payables	126,541	147,387

The non current part of the fair value derivatives is USD 17 million (2009: USD 17 million). For the contractual maturities of the derivatives reference is made to note 26 "Financial Risk Management". Besides the derivatives the trade and other payables are due within 1 year.

26 Financial risk management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk;
- Liquidity risk;
- Market risk.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyze the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterpart to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers.

Trade and other receivables

The Group has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis. Credit evaluations are performed on new customers requiring credit over a certain amount, although usually freight income is invoiced and paid before discharging. Project management and engineering contracts are largely based on pre-financing by customers in order to limit the credit risk. The Group does not require collateral in respect of financial assets.

Investments

Investments are allowed only in liquid securities and only with counterparties that have a credit rating equal to or better than the Group. Transactions involving derivative financial instruments are with counterparties with sound credit ratings. Given their high credit ratings, management does not expect any counterparty to fail to meet its obligations.

The maximum exposure to credit risk is represented by the carrying amount of each financial asset, including derivative financial instruments, in the balance sheet.

Guarantees

The Group's policy is to provide financial guarantees in respect of long-term contracts for pre-paying customers and financial guarantees in relation to the yards with respect to the construction or conversion of vessels etc.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

<i>(x USD 1,000)</i>	Carrying amount	
	31 Dec 2010	31 Dec 2009
Trade receivables (net of allowance)	21,359	35,666
Other receivables	3,132	11,659
Derivatives	-	1,161
Work in progress to be invoiced	18,336	17,471
Cash and cash equivalents	73,129	51,858
	115,956	117,815

The Group's policy is to only have position at financial institutions with a minimum "A" credit ranking. Depending on the rating of the institution a maximum position of at highest USD 40 million is allowed.

The other receivables in 2009 included USD 8,658 in relation to the sinking of the MS3 (see note 19 for further information on this receivable). The maximum exposure to credit risk at the reporting date by segment was:

<i>(x USD 1,000)</i>	Carrying amount	
	31 Dec 2010	31 Dec 2009
Dockwise Heavy Transport	114,698	114,535
Dockwise Yacht Transport	1,258	3,280
	115,956	117,815

The trade receivables from the Heavy Transport segment are receivables from industrial customers and for the Yacht Transport segment receivables mainly from private individuals. Since the individual contract values in the Heavy Transport segment are relatively high the outstanding trade receivables are due from a relative small number of customers. To a large extent the credit risk for both segments is mitigated as the majority of the freight is paid prior to discharging. As at 31 December 2010 the largest individual outstanding trade receivable amounts to USD 4.4 million (31 December 2009: USD 12 million).

As of 31 December 2010, receivables with a total amount of USD 6,193 (2009: USD 5,091) were impaired. The impairment allowance is based on an individual assessment of the recoverable amounts of the receivables.

An impairment of USD 1,883 (2009: USD 4,762) in respect of trade receivables was recognized in "Direct costs". The ageing of the impaired receivables as of 31 December 2010 is:

<i>(x USD 1,000)</i>	31 Dec 2010	31 Dec 2009
< 1 year	476	3,979
1-2 years	3,359	896
2-5 years	2,358	216
> 5 years	-	-
	6,193	5,091

The movement in the allowance for impairment during the financial year is as follows:

<i>(x USD 1,000)</i>	2010	2009
Opening balance	5,091	329
Impairment loss / (release) recognized	1,883	4,762
Receivables written off	(781)	-
Closing balance	6,193	5,091

The allowance accounts in respect of trade receivables are used to record impairment losses unless the Group is satisfied that no recovery of the amount owing is possible; at that point the amount considered irrecoverable is directly written off against the allowance.

As at 31 December 2010 trade receivables of USD 18,602 (2009: USD 12,045) are overdue, but not impaired as this amount is largely received in 2011. The ageing of these receivables is as follows:

<i>(x USD 1,000)</i>	31 Dec 2010	31 Dec 2009
< 6 months	18,202	9,884
6-12 months	400	1,329
> 1 year	-	832
	18,602	12,045

Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation. The Group incorporated a short-term and a long-term cash flow projection procedure in order to manage future cash flows.

The Group's operational cash flow is largely based on pre-financing by customers in order to cover its operational direct expenses. In addition, the Group holds a Revolving Credit Facility of USD 170 million that can be drawn down to meet short-term financing needs. As at 31 December 2010 USD 19 million of this Revolving Credit Facility is used for guarantees. The applicable interest rate on this facility is LIBOR plus 125 basis points.

The following are the contractual maturities of undiscounted financial liabilities, including interest payments and excluding the impact of netting agreements.

31 December 2010	Carrying amount	Contractual cash flows	6 months or less	6-12 months	1-2 years	2-5 years	More than 5 years
<i>(x USD 1,000)</i>							
Non-derivative financial liabilities							
Secured bank loans	521,630	(596,321)	(10,871)	(12,700)	(49,424)	(250,966)	(272,360)
Trade and other payables*	68,700	(68,700)	(68,700)	-	-	-	-
Derivative financial liabilities							
Interest rate							
swaps used for hedging	41,263	(56,550)	(12,043)	(12,043)	(16,060)	(16,404)	-
Forward exchange contracts used for hedging inflow	345	(212)	(212)	-	-	-	-
	631,938	(721,783)	(91,826)	(24,743)	(65,484)	(267,370)	(272,360)

* Excludes derivatives (shown separately) and deferred income.

31 December 2009	Carrying amount	Contractual cash flows	6 months or less	6-12 months	1-2 years	2-5 years	More than 5 years
<i>(x USD 1,000)</i>							
Non-derivative financial liabilities							
Secured bank loans	679,646	(793,906)	(13,741)	(13,706)	(29,654)	(62,335)	(674,470)
Trade and other payables*	68,330	(68,330)	(68,330)	-	-	-	-
Derivative financial liabilities							
Interest rate swaps used for hedging	38,941	(70,226)	(11,957)	(11,631)	(26,146)	(20,492)	-
European currency options	(1,161)	469	571	(102)	-	-	-
Forward exchange contracts used for hedging inflow	375	(189)	-	(189)	-	-	-
	786,131	(932,182)	(93,457)	(25,628)	(55,800)	(82,827)	(674,470)

* Excludes derivatives (shown separately) and deferred income.

The following table indicates the periods in which the cash flows associated with derivatives that are cash flow hedges are expected to occur. This table is also indicative for the moment cash flows will affect the income statement.

31 December 2010	Carrying amount	Expected cash flows	6 months or less	6-12 months	1-2 years	2-5 years	More than 5 years
<i>(x USD 1,000)</i>							
Interest rate swaps							
Assets	-	4,172	786	786	1,149	1,451	-
Liabilities	(41,263)	(60,722)	(12,829)	(12,829)	(17,209)	(17,855)	-
Forward exchange contracts							
Assets	-	8,039	8,039	-	-	-	-
Liabilities	(345)	(8,251)	(8,251)	-	-	-	-
	(41,608)	(56,762)	(12,255)	(12,043)	(16,060)	(16,404)	-

31 December 2009	Carrying amount	Expected cash flows	6 months or less	6-12 months	1-2 years	2-5 years	More than 5 years
<i>(x USD 1,000)</i>							
Interest rate swaps							
Assets	-	4,517	804	768	1,574	1,371	-
Liabilities	(38,941)	(74,743)	(12,761)	(12,399)	(27,720)	(21,863)	-
European currency options							
Assets	1,161	30,251	25,930	4,321	-	-	-
Liabilities	-	(29,782)	(25,359)	(4,423)	-	-	-
Forward exchange contracts							
Assets	-	7,099	-	7,099	-	-	-
Liabilities	(375)	(7,288)	-	(7,288)	-	-	-
	(38,155)	(69,946)	(11,386)	(11,922)	(26,146)	(20,492)	-

Market risk

Currency risk

The Group is exposed to currency risk on purchases and to a small extent to sales that are denominated in a currency other than the U.S. Dollar (USD), the functional currency of the major Group entities. The currency in which these transactions primarily are denominated is Euro.

For Selling, General & Administrative expenses the Group applied up to and including April 2010 a policy of managing the 12-months position of mainly the Euro with hedging being applied to a maximum of 80% of the net cash flows. The Group used forward contracts and zero-cost collar options to hedge its exposure. These derivatives will end in April 2011. As from 1 May 2011 the currency risk on transactions in Euro is accounted for in the Income statement.

Interest on borrowings is denominated in USD which matches the cash flows generated by the underlying operations of the Group. This provides an economic hedge and no (currency) derivatives are entered into.

In respect of other monetary assets and liabilities denominated in other foreign currencies than Euro the group ensures that its net exposure is kept to an acceptable level. These assets and liabilities are not material in respect of the total activities of the Group.

The Group's investments in non-USD denominated subsidiaries are not hedged as those currency positions are considered to be long-term in nature.

Exposure to currency risk

The Group's exposure to foreign currency risk was as follows based on notional amounts:

(x 1,000)	31 December 2010			31 December 2009		
	EUR	CAN	SGD	EUR	CAN	SGD
Bank account	2,000	-	-	8,628	-	-
Trade and other receivables	4,297	-	-	494	-	-
Trade payables	(3,958)	-	-	(3,220)	(182)	(2,476)
Gross balance sheet exposure	2,339	-	-	5,902	(182)	(2,476)
Estimated purchases 2011 / 2010	(30,000)	-	-	(31,300)	-	-
Gross exposure	(27,661)	-	-	(25,398)	(182)	(2,476)
Forward exchange contracts	11,000	-	-	31,500	-	-
Net exposure	(16,661)	-	-	6,102	(182)	(2,476)

The following significant exchange rates applied during the year:

USD	31 Dec 2010	31 Dec 2009
Average rate Euro/USD	1.321	1.396
Reporting date mid-spot rate Euro/USD	1.333	1.439

Sensitivity analysis

Based on the gross balance sheet exposure a 10% weakening of the USD against the Euro at 31 December would have (decreased) / increased equity and profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular interest rate, remain constant.

(x USD 1,000)	31 Dec 2010	31 Dec 2009
Effect on income statement profit or (loss):		
Euro	311	849
British pound	-	(29)
Norwegian crone	-	(42)

A 10% strengthening of the USD against the Euro would have had the same but opposite effect as the amounts shown above, on the basis that all other variables remain constant.

Interest rate risk

The Group adopts a policy of ensuring that at least 80 percent of its exposure to changes in interest rates on borrowings is on a fixed rate basis. This is achieved by entering into interest rate swaps.

At the reporting date the interest rate profile of the Group's interest-bearing financial instruments was:

<i>(x USD 1,000)</i>	31 Dec 2010	31 Dec 2009
Cash and cash equivalents	73,129	51,858
Interest bearing borrowings excl. capitalized bank fees	530,069	692,683

At 31 December 2010 nearly 100% of the exposure to floating rate funding was hedged.

Fair value sensitivity analysis

The Group does not account for any fixed rate financial assets and liabilities at fair value through profit and loss, and the Group does not designate derivatives (interest rate swaps) as hedging instruments under a fair value hedge accounting model.

A decrease of 100 basis points in interest rates at the reporting date would have increased or (decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular foreign currency rates, remain constant.

<i>(x USD 1,000)</i>	Income statement	Equity
31 December 2010		
Cash and cash equivalents	(731)	-
Interest bearing borrowings excl. capitalized bank fees	-	(591)
Cash flow sensitivity (net)	(731)	(591)
31 December 2009		
Cash and cash equivalents	(519)	-
Interest bearing borrowings excl. capitalized bank fees	-	(757)
Cash flow sensitivity (net)	(519)	(757)

Fuel price risk

The Group includes fuel escalation clauses in its contracts in order to minimize the exposure to increasing fuel prices.

Fair values

The fair values of financial assets and liabilities, together with the carrying amounts shown in the balance sheet, are as follows:

(x USD 1,000)	31 December 2010		31 December 2009	
	Carrying amount	Fair value	Carrying amount	Fair value
Trade and other receivables *	42,827	42,827	64,796	64,796
Cash and cash equivalents	73,129	73,129	51,858	51,858
Interest rate swaps used for hedging				
Liabilities	(41,263)	(41,263)	(38,941)	(38,941)
European currency options				
Assets	-	-	1,161	1,161
Forward exchange contracts used for hedging				
Liabilities	(345)	(345)	(375)	(375)
Non-current interest-bearing borrowings	(512,269)	(520,708)	(670,253)	(683,290)
Trade and other payables **	(68,700)	(68,700)	(68,330)	(68,330)
Current maturities of interest-bearing borrowings	(9,361)	(9,361)	(9,393)	(9,393)
	(515,982)	(524,421)	(669,477)	(682,514)
Unrecognised (loss) gain		(8,439)		(13,037)

* Excludes derivatives (shown separately) and prepayments.

** Excludes derivatives (shown separately) and deferred income.

Basis for determining fair value

The basis for determining fair values in the table above is discussed in note 4.

Interest rates used for determining fair value

The interest rates used to discount estimated cash flows, where applicable, are based on the relevant market interest rate at the reporting date (USD 3 months Libor) and were as follows:

In %	31 Dec 2010	31 Dec 2009
Derivatives	0.30	0.25
Loans and borrowings	0.30	0.25

Fair value hierarchy

The (over the counter) derivatives and borrowings used by the Company are classified as level 2 in the IFRS hierarchy.

Forecasted transactions

The Group classifies its currency options and forward exchange contracts as cash flow hedges and states them at fair value. The notional amounts and fair values of the contracts outstanding as at 31 December 2010 are as follows:

(x USD 1,000)	31 December 2010		31 December 2009	
	Notional amount	Fair value	Notional amount	Fair value
Participating forward EUR/USD, 100% purchased call option part	-	-	30,216	1,161
Participating forward EUR/USD, 50% sold put option part	-	-	15,108	-
Forward contracts to sell EUR/USD	14,664	(345)	15,108	(375)

The remaining time to maturity does not exceed one year. The maturity dates of the individual call option contracts match the estimated underlying cash flow pattern. The maturity dates are equally divided over the year.

The fair value of the participating forwards at 31 December 2010 is negative USD 345 (2009: USD 786), which is included in Trade and other payables (note 25) as part of the fair value derivatives.

Hedging

The Group adopts a policy of ensuring that part of its exposure to changes in interest rates on borrowings is on a fixed rate basis. Interest rate swaps, denominated in USD, have been entered into to achieve an appropriate mix of fixed and floating rate exposure within the Group's policy. The notional amounts and fair values of the outstanding six swaps can be specified as follows:

(x USD 1,000)	31 December 2010		31 December 2009	
	Notional amount	Fair value	Notional amount	Fair value
Floating to fixed swaps				
Maturing 31 December 2009, fixed at 3.87%	-	-	15,000	-
Maturing 30 June 2010, fixed at 4.73%	-	-	159,200	(2,972)
Maturing 30 June 2014, fixed at 3.39%	119,422	(7,631)	119,422	(3,752)
Maturing 30 June 2010, fixed at 4.73%	-	-	119,422	(2,643)
Maturing 30 June 2012, fixed at 5.41%	200,000	(14,575)	100,000	(14,751)
Maturing 30 June 2012, fixed at 5.40%	200,000	(14,518)	100,000	(13,596)
Maturing 30 June 2012, fixed at 1.875%	-	-	150,000	(1,227)
Maturing 30 June 2014, fixed at 3.925%	-	(2,323)	-	-
Maturing 30 June 2014, fixed at 3.925%	-	(2,216)	-	-
	519,422	(41,263)	763,044	(38,941)

The fair value of the swaps at 31 December 2010 is USD 41,263 (2009: USD 38,941) presented as a liability in Trade and other payables (note 25) as part of the fair value derivatives.

Interest-bearing borrowings

Fair value is calculated based on discounted expected future principal and interest cash flows.

Trade and other receivables and payables

For receivables and payables with a remaining life of less than one year, the notional amount is deemed to reflect the fair value. All other receivables and payables are discounted to determine the fair value.

Capital management

The board's policy is to maintain a strong capital base and aim for an optimal solvency ratio. If the cash flow of the Company after investment opportunities in the worldwide organization, commercial projects, people and assets is sufficient, dividends will be paid out to shareholders in order to insure long term shareholder value creation. Neither the Company nor any of its subsidiaries are subject to externally imposed capital requirements. Reference is made to Article 35 of the Articles of Association of Dockwise Ltd. For provisions governing the appropriation of profit. Article 35 is disclosed in the Company Financial Statements in the section "Other Information".

In 2010 the board decided to issue USD 103 million of new capital to reinforce its capital structure given the announced investment in a newbuilt vessel.

27 Operating leases

Leases as lessee

Non-cancellable operating lease rentals are payable as follows:

(x USD 1,000)	31 Dec 2010	31 Dec 2009
Less than one year	5,959	3,671
Between one and five years	17,397	9,457
More than five years	2,359	3,961
Total operating leases	25,715	17,089

The Group leases offices in Breda (The Netherlands), Houston (USA), Shanghai (China), Busan (Korea), Singapore, Perth (Australia) and Fort Lauderdale (USA) and a warehouse in Breda (The Netherlands). Furthermore the company has entered into lease agreements for company cars and other operational equipment. All lease commitments are categorized as operating lease. The office leases typically run for a period of five to ten years, with an option to renew the lease after that date. Car leases run for a period of four years.

During the year ended 31 December 2010, USD 4,087 (2009: USD 4,420) was recognized as an expense in the income statement in respect of operating leases.

28 Capital commitments

In September 2010 the Company decided to invest in a newbuilt vessel (Type 0) and made capital commitments in Februari 2011.

As at 31 December 2010, the Group has no remaining material investment commitments (2009: USD 4 million).

29 Contingencies

Bank Guarantees

At 31 December 2010, the Group has bank guarantees with a total amount of USD 19 million (2009: USD 28.1 million) of which USD 3 million (2009: USD 9 million) is outside the Revolving Facility of USD 170 million.

Litigation

Some Group companies are, as a result of their normal business activities, involved either as plaintiffs or defendants in claims. Based on the information presently available and management's best estimate the financial position of the Group is not likely to be significantly influenced by any of these matters. Should the actual outcome differ from the assumptions and estimates, the financial position of the Group would be impacted.

30 Related parties

Related party transactions

There were no transactions with related parties in 2010 and 2009. All transactions with Group companies are at arms' length. The transactions between Dockwise Ltd. and its 100% subsidiary Delphi Aquisition Holding B.V. included a USD 104 million additional payment on shares.

During the year 2010 and 2009 the Group received no charges from related parties and neither did the Group recharge certain amounts to related parties, except for the remuneration of Board of Directors and Executive Management for which reference is made to note 10 of the Company Financial Statements.

31 Group entities

Control of the Group

Dockwise Ltd. ("Dockwise") is listed at both the Oslo Stock Exchange (OSE) and NYSE Euronext Amsterdam (Euronext).

List of Group companies (legal entities)

The following group companies are included in the Consolidated Financial Statements of Dockwise Ltd:

Name	Country of incorporation	Ownership interest	
		31 Dec 2010	31 Dec 2009
Dockwise Ltd.	Bermuda	100%	100%
Delphi Acquisition Holding B.V.	The Netherlands	100%	100%
Delphi Acquisition Holding I B.V.	The Netherlands	100%	100%
Delphi Finance A B.V.	The Netherlands	100%	100%
Delphi Finance B B.V.	The Netherlands	100%	100%
Dockwise Transport N.V.	Netherlands Antilles	100%	100%
Dockwise Transport B.V.	The Netherlands	100%	100%
Dockwise Shipping B.V.	The Netherlands	100%	100%
Dockwise B.V.	The Netherlands	100%	100%
Dockwise U.S.A. LLC	United states of America	100%	100%
Dockwise Shanghai	China	100%	100%

Name	Country of incorporation	31 Dec 2010	31 Dec 2009
Dockwise Korea YH	Korea	100%	100%
Dockwise Australia PTY-LTD	Australia	100%	100%
Dockwise Transport Nigeria Ltd.	Nigeria	100%	100%
Dockwise Transport Services Brasil Ltda	Brasil	100%	100%
Dockwise Shipping B.V. (Singapore Branch)	Singapore	100%	100%
Dockwise Transport Services S.A. de C.V.	Mexico	100%	100%
Dockwise OOO	Russia	100%	100%
Dockwise Malaysia Sdn Bhd	Malaysia	30%	30%
DYT Netherlands B.V.	The Netherlands	100%	100%
Dockwise Yacht Transport USA LLC	United states of America	100%	100%
Dockwise Yacht Transport (France) Sarl ¹	France	-	100%
DYT Europe SRL	Italy	100%	100%
Offshore Kinematics Holding Inc.	United states of America	100%	100%
Offshore Kinematics Inc.	United states of America	100%	100%
Ocean Dynamics LLC	United states of America	100%	100%
Ocean Dynamics	China	100%	100%
Dock Express 10 B.V. ²	The Netherlands	-	100%
Dock Express 12 B.V. ²	The Netherlands	-	100%
Super Servant 3 B.V.	The Netherlands	100%	100%
Super Servant 4 B.V.	The Netherlands	100%	100%
Transshelf B.V.	The Netherlands	100%	100%
Mighty Servant 1 B.V.	The Netherlands	100%	100%
Mighty Servant 3 B.V.	The Netherlands	100%	100%
Swan B.V.	The Netherlands	100%	100%
Swift B.V.	The Netherlands	100%	100%
Teal B.V.	The Netherlands	100%	100%
Tern B.V.	The Netherlands	100%	100%
Black Marlin B.V.	The Netherlands	100%	100%
Blue Marlin B.V.	The Netherlands	100%	100%
Dockwise Enterprise B.V. ³	The Netherlands	-	100%
Dockwise Explorer B.V.	The Netherlands	100%	100%
Yacht Express B.V.	The Netherlands	100%	100%
Dockwise Transporter B.V.	The Netherlands	100%	100%
Target B.V.	The Netherlands	100%	100%
Talisman B.V.	The Netherlands	100%	100%
Treasure B.V.	The Netherlands	100%	100%
Triumph B.V.	The Netherlands	100%	100%
Trustee B.V.	The Netherlands	100%	100%

¹ Company liquidated in the course of 2010

² Vessel has been sold in the course of 2009 and company liquidated in the course of 2010

³ Vessel has been sold in the course of 2010 and company liquidated in the course of 2010

32 Accounting estimates and judgments

Management discussed the development, selection and disclosure of the Group's critical accounting policies and estimates and the application of these policies and estimates.

Valuation of the Group's Heavy Transport vessels

In accordance with IAS 16 (Property, Plant & Equipment), the Group has adopted the component approach for the heavy transport and other vessels under which different components have different economic lives.

The estimated useful lives of these components are as follows:

• Hull	30 years and up to 50 years after Life Time Extension
• Accommodation	30 years
• Electrical machinery	20 years
• Engines	30 years
• Ballast tank/systems	30 years
• Navigations	5 years
• Auxiliary machines	20 years
• Safety equipment	20 years
• Survey & docking	5 years

The estimation could change significantly as a result of technical innovations and competitor actions in response to severe industry cycles. In case it appears that actual useful lives are less than previously estimated lives, management will adjust the depreciation period. Moreover, management will write off or write down technically obsolete or non-strategic (components of) assets that have been sold or put out of service.

In calculating the book values of the vessels, management has also taken into account certain residual values, which are based on the scrap value.

Impairment testing for cash-generating units containing goodwill and tradenames

The impairment testing for cash-generating units containing goodwill and trade names requires a number of estimates and judgments in order to calculate the net present value of future cash flows such as the development of revenues and costs, residual values at the end of the useful life of vessels, the discount rate etc. The key assumptions used for the impairment testing of goodwill and trade names are discussed in note 15 "Intangible assets".

Defined benefit pension obligations

The present value of the Group's pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost (income) for pensions include the discount rate. Any changes in the assumptions will impact the carrying amount of pension obligations. The calculation of the pension obligations is performed by a qualified actuary.

Management determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows, which are expected to be necessary to settle the pension obligations. In determining the appropriate discount rate, management considers the interest rates of high-quality corporate bonds that are denominated in the currency in which the pension benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability.

Other key assumptions for pension obligations are based in part on current market conditions. Additional information is disclosed in note 16 "Employee benefits".

33 Subsequent events

In September 2010 the Company decided to invest in a newbuilt vessel (Type 0) and made capital commitments in February 2011. The total capital expenditures for the newbuilt vessel are estimated at some USD 240 million.

Company Financial Statements 2010

Company Balance Sheet as at 31 December 2010	124
Company Income Statement for the Year ended 31 December 2010	125
Notes to the Company Financial Statements	126

Company Balance Sheet

Note	As at 31 December 2010		
	(x USD 1,000)		
	31 Dec 2010	31 Dec 2009	
ASSETS			
Non-current assets			
<u>3</u>	Financial fixed assets	974,558	853,818
		974,558	853,818
Current assets			
<u>4</u>	Receivables from group companies	3,989	23,333
	Trade and other receivables	60	-
	Cash and cash equivalents	2,590	330
		6,639	23,663
	Total assets	981,197	877,481
SHAREHOLDERS' EQUITY			
Equity			
Capital and reserves attributable to equity holders of the Company			
	Issued share capital	126,428	103,219
	Share premium	863,289	783,008
	Reserves	(37,261)	(36,328)
	Retained earnings	10,087	(28,218)
	Unappropriated result	17,357	36,581
<u>5</u>	Total equity	979,900	858,262
LIABILITIES			
Current liabilities			
	Trade and other payables	223	1,427
<u>4</u>	Payables to group companies	-	17,094
	Income tax liabilities	-	66
	Other payables and accrued expenses	1,074	632
	Total liabilities	1,297	19,219
	Total equity and liabilities	981,197	877,481

Company Income Statement

Note For the Year ended 31 December 2010		
(x USD 1,000)	2010	2009
Share in result from participating interests, after tax	17,673	43,510
Other income (expenses) after tax	(316)	(6,929)
Profit / (loss) for the period	17,357	36,581

Notes to the Company Financial Statements

1 Reporting entity

In the context of the Company Financial Statements, "the Company" refers to Dockwise Ltd.

2 Significant accounting principles

Regarding the principles for recognition and measurement of assets and liabilities and determination of the profit (hereinafter referred to as principles for recognition and measurement) in the Company Financial Statements, Dockwise Ltd. uses the option provided in Section 362, sub 8 of Book 2 of the Dutch Civil Code. This means that the principles for recognition and measurement are the same as those applied for the Consolidated Financial Statements of the Dockwise Group. These Consolidated Financial Statements have been prepared in accordance with International Financial Reporting Standards as adopted by the European Union (EU-IFRS). For a detailed description of the accounting principles applied reference is made to the Consolidated Financial Statements, with the exception of the following:

(I) Financial fixed assets

The financial fixed assets include the participating interests in group companies. The participating interests in group companies are stated at equity value less a provision for impairment, if applicable.

(II) Receivables from group companies

The receivables from participating interests in group companies are recognized initially at fair value plus any directly attributable transaction cost. Subsequent to initial recognition they are stated at amortized cost less a provision for impairment. A provision for impairment is established when there is objective evidence that the Company will not be able to collect all amounts due to the company. The amount of the provision is the difference between the carrying amount of the receivables and the present value of estimated future cash flows. The amount of the provision is recognized in the income statement.

(III) Result from participating interests

The share in the result of participating interests consists of the share of the Company in the result of these participating interests. Results on transactions, with the transfer of assets and liabilities between the Company and its participating interests and between participating interests, are not recorded insofar these are unrealized.

If there is no further explanation provided to the items in the Company Balance Sheet and the Company Income Statement reference is made to the relevant notes in the Consolidated Financial Statements.

3 Financial fixed assets

The financial fixed assets include participating interests in group companies. At 31 December 2010 the Company directly holds all the shares in Delphi Acquisition Holding B.V., the Netherlands. The movement schedule is as follows:

Participating interests in Group companies		
<i>(x USD 1,000)</i>	2010	2009
Opening balance	853,818	467,749
Equity contributions	104,000	362,582
Share in result of participating interests	17,673	43,510
Adjustment purchase price allocation	-	(8,232)
Investments	-	252
Divestments	-	(21,368)
Other movements	(933)	9,325
Closing balance	974,558	853,818

The other movements relate to fair value adjustments of interest rate swaps included directly in equity of Group companies.

4 Receivables and payables from related parties

Receivables and payables from group companies are unsecured in nature and bear no interest.

5 Shareholders' equity

Movements in shareholders' equity during 2010, before appropriation of the net profit, are as follows:

(x USD 1,000)	Attributable to equity holders of the company						Total
	Issued share capital	Share premium reserve	Hedging reserve	Reserve own shares	Retained earnings	Unappropriated result	
Opening balance 2009	229,755	420,580	(44,768)	(686)	(75,647)	46,976	576,210
Issue of ordinary shares related to direct placement	98,415	28,360	-	-	-	-	126,775
Issue of ordinary shares related to secondary offering	84,707	24,410	-	-	-	-	109,117
Capital reduction	(309,658)	309,658	-	-	-	-	-
Effective portion of changes in fair value of cash flow hedges	-	-	5,732	-	-	-	5,732
Net change in fair value of cash flow hedges transferred to profit or loss	-	-	3,593	-	-	-	3,593
Purchase own shares	-	-	-	(199)	-	-	(199)
Share based payments	-	-	-	-	453	-	453
Appropriation of result	-	-	-	-	46,976	(46,976)	-
Total recognized income and expense	-	-	-	-	-	36,581	36,581
Closing balance 2009	103,219	783,008	(35,443)	(885)	(28,218)	36,581	858,262
Opening balance 2010	103,219	783,008	(35,443)	(885)	(28,218)	36,581	858,262
Issue of ordinary shares related to rights issue	22,938	79,344	-	-	-	-	102,282
Issue of ordinary shares related to direct placement	271	937	-	-	-	-	1,208
Effective portion of changes in fair value of cash flow hedges	-	-	(5,642)	-	-	-	(5,642)
Net change in fair value of cash flow hedges transferred to profit or loss	-	-	4,709	-	-	-	4,709
Share based payments	-	-	-	-	1,724	-	1,724
Appropriation of result	-	-	-	-	36,581	(36,581)	-
Total recognized income and expense	-	-	-	-	-	17,357	17,357
Closing balance 2010	126,428	863,289	(36,376)	(885)	10,087	17,357	979,900

On 20 September 2010 Dockwise announced a balance sheet reinforcement which included an equity raising by a fully committed rights issue. The equity raising resulted in the following changes in the number of common shares:

- A rights issue of 4,587,506 new common shares to existing shareholders;
- A direct placement of 54,225 new common shares to four existing shareholders (subscribers fee).

The authorized share capital as at 31 December 2010 comprised 40,000,000 ordinary shares of USD 5 each. In total 25,285,511 (December 2009: 20,643,780) shares are issued and fully paid up. All shares rank equally with regard to the Company's residual assets. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of shareholders of Dockwise.

The movement schedule of the number of ordinary shares (restated for the reverse stock split in 2009) is as follows:

Number of ordinary shares	2010	2009
On issue at opening balance - fully paid	20,643,780	11,487,771
Rights issue	4,587,506	4,235,280
Direct placement	54,225	4,920,729
On issue at closing balance - fully paid	25,285,511	20,643,780

Share premium

The increase of the share premium reserve in 2010 as a result of the share issues includes USD 3,500 for transaction related costs which were deducted from the proceeds of the shares issued in 2010.

Hedging reserve

Hedging reserve USD 36,376 negative (2009: USD 35,443 negative) comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments in respect of hedged transactions that have not yet occurred. The hedging reserve is a legal reserve for Dockwise Ltd. as the derivatives are contracted in the Dockwise Group.

Reserve own shares

The reserve own shares USD 885 negative (2009: USD 885 negative) comprises the cost of the Company's shares held by the Company for the purpose of servicing a share based payment plan for key employees. At 31 December 2010 the Group held 20,199 (2009: 20,199) of the Company's shares for the purpose of a share based payment plan for key employees. These shares have a vesting period ending May 2011, February 2012 and September 2012.

Dividends

In 2010 no dividends were paid. After the balance sheet date no dividend payments were approved.

6 Personnel

Throughout 2010 (and 2009) the Company employed no personnel.

7 Share based payments

In regards to the share based payments to staff and the Board of Directors, we refer to note 17 of the Consolidated Financial Statements.

8 Off-balance sheet commitments

As at 31 December 2010 and 31 December 2009, the Company has no capital commitments or other contingencies. For off-balance sheet commitment for the Group reference is made to note 28 and note 29 of the Consolidated Financial Statements.

Fiscal entity

The company constitutes a fiscal entity with its Dutch subsidiaries for VAT-purposes; the standard conditions prescribe that all companies of the fiscal entity are liable for the VAT payable as of 1 October 2009. The company is not part of the fiscal entities for income tax purposes within the Group.

9 Fees of the auditor

With reference to Section 2:382a (1) and (2) of the Dutch Civil Code, the fees for the financial year due to the Company's external auditor, KPMG Accountants N.V. in the Netherlands, and other KPMG member firms amounted to USD 648 for 2010 (2009: USD 1,096). The fees as included under other general and administration expenses in the income statement can be specified as follows:

	2010			2009		
	KPMG Accountants N.V.	KPMG other	Total	KPMG Accountants N.V.	KPMG other	Total
<i>(x USD 1,000)</i>						
Audit of the annual report	454	-	454	530	-	530
Other audit assignments	119	-	119	385	-	385
Tax services	-	-	-	-	-	-
Other non-audit activities	75	-	75	181		181
	648	-	648	1,096	-	1,096

10 Remuneration of Board of Directors and Executive Management

10.1 Remuneration of Board of Directors

The remuneration, including pension obligations as intended in Section 2:283 of the Dutch Civil Code, which were charged in the financial year to the Company and group companies, amounted to USD 496 in 2010 (2009: USD 602) for the Board of Directors and USD 3,016 in 2010 (2009: 2,397) for the Executive Management.

The compensations of Board of Directors only include base salary and are as follows:

<i>(x USD 1,000)</i>	2010	2009
A. Baan	132	140
A. Goedée	-	-
M. Antal ¹	-	70
B. Bekker ²	-	35
T. Ehret	86	84
D.F. McNease	79	84
R.P.M. van Slobbe	86	98
P.F. Tali ³	27	84
J. van Wiechen ⁴	86	7
	496	602

¹ pro rata (ending date: October 2009)

² pro rata (ending date: May 2009)

³ pro rata (ending date: May 2010)

⁴ pro rata (starting date: December 2009)

The base salary for the Board of Directors, which is denominated in Euro, was not increased in 2010.

Since the remuneration of Mr. André Goedée only relates to his function as CEO, his remuneration is disclosed in the remuneration of Executive Management personnel in note 10.2. The remuneration of the Board members is fixed in Euro. The above mentioned USD amounts have been derived by multiplying these Euro amounts with the average USD/Euro rate.

10.2 Remuneration of Executive Management personnel, including Board of Directors

The compensations of Executive Management, including Board of Directors, in 2010 are as follows:

2010

(x USD 1,000)	Base salary	Bonus paid in the year	Other benefits	Pension premium	Subtotal	Expenses	Total
						of shares granted	
Board of Directors	496	-	-	-	496	-	496
A. Goedée	429	181	40	121	771	247	1,018
P. Wit	330	-	3	71	404	362	766
M. Adler	317	-	3	65	385	428	813
R. Strijland	264	56	3	96	419	-	419
	1,836	237	49	353	2,475	1,037	3,512

The base salary for the Executive Management, which is denominated in Euro, was not increased in 2010.

The compensations of Executive Management, including Board of Directors, in 2009 are as follows:

2009

(x USD 1,000)	Base salary	Bonus paid in the year	Other benefits	Pension premium	Subtotal	Expenses	Total
						of shares granted	
Board of Directors	602	-	-	-	602	-	602
A. Goedée	454	167	42	132	795	24	819
P. Wit ¹	116	-	1	-	117	81	198
M. Adler	335	-	3	80	418	285	703
R. Strijland	279	60	3	137	479	-	479
C. Mennen ²	140	30	2	26	198	-	198
	1,926	257	51	375	2,609	390	2,999

¹ pro rata (starting date: September 2009)

² pro rata (ending date: August 2009)

The remuneration of the Executive Management is denominated in Euro. The above mentioned USD amounts have been derived by multiplying these Euro amounts with the average USD/Euro rate. At the end of 2010 Board members and members of Executive Management held the following number of vested and unvested shares under different ownership, retention and performance plans:

Number of shares	Full (vested) ownership	2008	2009	2009 ³	2010 ⁴	Total
Adri Baan	1,884					1,844
André Goedée	138,600			15,018	9,429	163,047
Martin Adler		10,027 ¹	10,172 ¹	11,091	5,803	37,093
Peter Wit			24,633 ²	11,553	6,044	42,230

For all unvested shares a vesting condition of 3 years continued employment is applicable and for the unvested shares 2010 additional performance criteria are set.

¹ May 2008 and February 2009 respectively

² September 2009

³ November 2009

⁴ January 2010

Breda, The Netherlands, 24 February 2011

A. Goedée (Chief Executive Officer)
P. Wit (Chief Financial Officer)
M. Adler (Chief Commercial Officer)
R. Strijland (Chief Operations Officer)

Board of Directors

A. Baan
A. Goedée
T. Ehret
D.F. McNease
R.P.M. van Slobbe
J. van Wiechen

Other information

Appropriation of result as provided for by the Articles of Association	135
Group Companies	136
Independent Auditors Report	137

Appropriation of result as provided for by the Articles of Association

Provisions in the Articles of Association (article 35 Dividends and other payments) governing the appropriation of profit

Dividends may be declared or distributed to the shareholders from “contributed surplus”, if there are reasonable grounds for believing that a) Dockwise is not, and would not after the payment be, unable to pay its liabilities as they become due; and b) the realizable value of Dockwise’s assets would not thereby be less than the aggregate of its liabilities and its issued share capital and share premium accounts. Contributed surplus (section 54(2) of the Companies Act (Bermuda) 1981) includes proceeds from donated shares, credits resulting from the redemption or conversion of shares at less than the amount set up as nominal capital and donations of cash and other assets of Dockwise.

The Board of Directors may award, at its discretion, the payment of future dividends on shares as stated in the Bye-laws. This is subject to Bermuda law. The amount of such dividends will be determined in light of the Company’s earnings and cash flow, capital requirements, financial condition and prospects, applicable contractual restrictions and other factors the Board of Directors deems relevant.

Dividend Policy

At the Annual General Meeting of Shareholders dated 6 May 2010 the following dividend policy was approved:

A primary Dockwise objective is to optimize the long term return on invested shareholder capital. This return is to be achieved by realizing sustainable growth and by stable dividend payments (Total Shareholder Return).

The Board will apply a dividend policy that is based on a pay out ratio of between 35 and 45% of adjusted net profit in any year, whilst enabling the company’s growth. The proposal in any year to actually pay out is subject to:

- The Company’s target net debt: EBITDA ratio of 2.5:1 post dividend payment (i.e. no dividend as long as net debt: EBITDA post such dividend would exceed 2.5:1 or is expected to breach 2.5:1 in the short term);
- The Company generating positive free cash flows, sufficient to meet its obligations under the Senior Facilities Agreement (no dividend if after the obligations under the Senior Facilities Agreement no positive free cash flow is reported);
- Absence of contractual restrictions limiting the Company’s ability to pay dividends (no dividends if contractual restrictions of any kind prohibit the company to pay dividend).

Each year declaration of dividends will be proposed to the Annual General Meeting (AGM). Dividends can be paid out of earnings, retained and current, as well as from paid in surplus after satisfaction of the legal reserve as referred to hereinafter.

Applicable laws and regulations authorize the payment of stock dividends if sufficient surplus exists to pay for the par value of the shares issued in connection with any stock dividend.

Alternatively the Company can offer an optional dividend, leaving the choice of cash or stock to the Shareholders. The choice of dividend proposal (cash, stock, mix or optional) takes into account the Company’s desired balance sheet structure and the interests of shareholders.

In addition Dockwise explicitly reserves the right to apply any amount set aside for dividend payments towards share buy-backs insofar as permitted under laws and bye-laws and insofar as deemed fiscally advantageous to shareholders.

Proposal for profit appropriation

The General Meeting of Shareholders will be asked to approve the following appropriation of the 2010 profit after tax: An amount of USD 17,357 to be added to the retained earnings.

Group Companies

Reference is made to the list of Group companies in [note 31](#) of the Consolidated Financial Statements.

Independent Auditor's Report

To: the shareholders and Board of Directors of Dockwise Ltd.

Report on the financial statements

We have audited the accompanying financial statements 2010 of Dockwise Ltd., Hamilton, Bermuda. The financial statements include the consolidated financial statements and the company financial statements. The consolidated financial statements comprise the consolidated balance sheet as at 31 December 2010, the consolidated income statement, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, and notes, comprising a summary of the significant accounting policies and other explanatory information. The company financial statements comprise the company balance sheet as at 31 December 2010, the company income statement for the year then ended and the notes, comprising a summary of the accounting policies and other explanatory information.

Management's responsibility

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards as adopted by the European Union and with Part 9 of Book 2 of the Netherlands Civil Code, and for the preparation of the management board report in accordance with Part 9 of Book 2 of the Netherlands Civil Code. Furthermore, management is responsible for such internal control as it determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Dutch law, including the Dutch Standards on Auditing. This requires that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion with respect to the consolidated financial statements

In our opinion, the consolidated financial statements give a true and fair view of the financial position of Dockwise Ltd. as at 31 December 2010 and of its result and its cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union and with Part 9 of Book 2 of the Netherlands Civil Code.

Opinion with respect to the company financial statements

In our opinion, the company financial statements give a true and fair view of the financial position of Dockwise Ltd. as at 31 December 2010 and of its result for the year then ended in accordance with Part 9 of Book 2 of the Netherlands Civil Code.

Report on other legal and regulatory requirements

Pursuant to the legal requirements under Section 2:393 sub 5 at e and f of the Netherlands Civil Code, we have no deficiencies to report as a result of our examination whether the management board

report, to the extent we can assess, has been prepared in accordance with part 9 of Book 2 of this Code, and whether the information as required under Section 2:392 sub 1 at b - h has been annexed. Further, we report that the management board report, to the extent we can assess, is consistent with the financial statements as required by Section 2:391 sub 4 of the Netherlands Civil Code.

Rotterdam, 24 February 2011

KPMG ACCOUNTANTS N.V.

J. van Delden RA

Appendix

Disclaimer	140
Contact	141

Disclaimer

Legal Form and Headquarters

Dockwise is an exempted limited liability company organized under the laws of Bermuda with its registered office at Canon's Court, 22 Victoria Street, Hamilton HM 12 Bermuda and its head office at Lage Mosten 21, 4822 NJ Breda The Netherlands. Dockwise is registered with the Bermuda registrar of Companies under registration number 39466 and with the trade register of the Dutch Chamber of Commerce under registration number 20161638.

Comparability of Accounts

Although the company and its predecessors have been operating for more than 30 years, the company was only incorporated on January 11, 2007 as "Sealift Ltd" and renamed Dockwise Ltd on July 30, 2007. The first financial year of the company ended on December 31, 2007. The operational performance of Dockwise Ltd. and Dockwise Transport NV for the year ended on December 31, 2007 was comparable. However the financial results of Dockwise Ltd. for the year ended December 31, 2006 differ from those of Dockwise Transport NV as a result of a significantly different legal and capital structure.

Listings of Shares

Shares in Dockwise are traded on Oslo Bors under the ticker DOCK and on NYSE Euronext Amsterdam under the ticker DOCKW. All shares are registered in book-entry form with the Norwegian Central Securities Depository (VPS) under ISIN BMG2786A1062 and in Euroclear Nederland, the Dutch centralized securities custody and administration system (EUROCLEAR) under ISIN BMG2786A2052.

Rounding of Numbers and Currency

Certain figures have been subject to rounding adjustments. Accordingly, in certain instances the sum of the numbers in a column or a row in tables contained in these documents may not conform exactly to the total figure given for that column or row.

All amounts mentioned in this annual report are stated in thousands of United States Dollars (USD) unless explicitly stated otherwise.

Forward Looking Statements

This annual report contains forward-looking statements. By their nature these involve risks and uncertainties because they relate to events and depend on circumstances that may or may not occur in the future. While the company has prepared these forward-looking statements in good faith and on the basis of assumptions it believes to be reasonable, the company cautions potential investors that forward-looking statements are not guarantees or warranties of future performance and that its actual financial condition, actual results of operations and cash flows and the developments of the markets or industry in which it operates may differ materially from those made or implied by the forward-looking statements contained in this annual report.

Audit and Jurisdiction

The audit of financial information included in this annual report were performed in accordance with Dutch law and auditing standards generally accepted in the Netherlands.

IFRS and Non IFRS Measures

Dockwise moved to International Financial Reporting Standards (IFRS) as its sole accounting standard from January 1, 2006 onwards. The financial information included in this document is based on IFRS, unless otherwise indicated.

Gross margin, EBITDA, adjusted EBITDA, revenue backlog, adjusted revenues, adjusted total costs and the related ratios presented in this annual report are supplemental measures of the company's performance and liquidity that are not required by or presented in accordance with IFRS. Furthermore neither EBITDA nor adjusted EBITDA is a measure of the company's financial performance or liquidity under IFRS and neither should be considered as an alternative to profit/loss, operating profit/loss or any other performance measures derived in accordance with IFRS or as an alternative to cash flow from operating activities or the company's liquidity. Dockwise uses these terms since these are frequently used by security analysts, investors and other interested parties in evaluating companies in the company's industry.

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